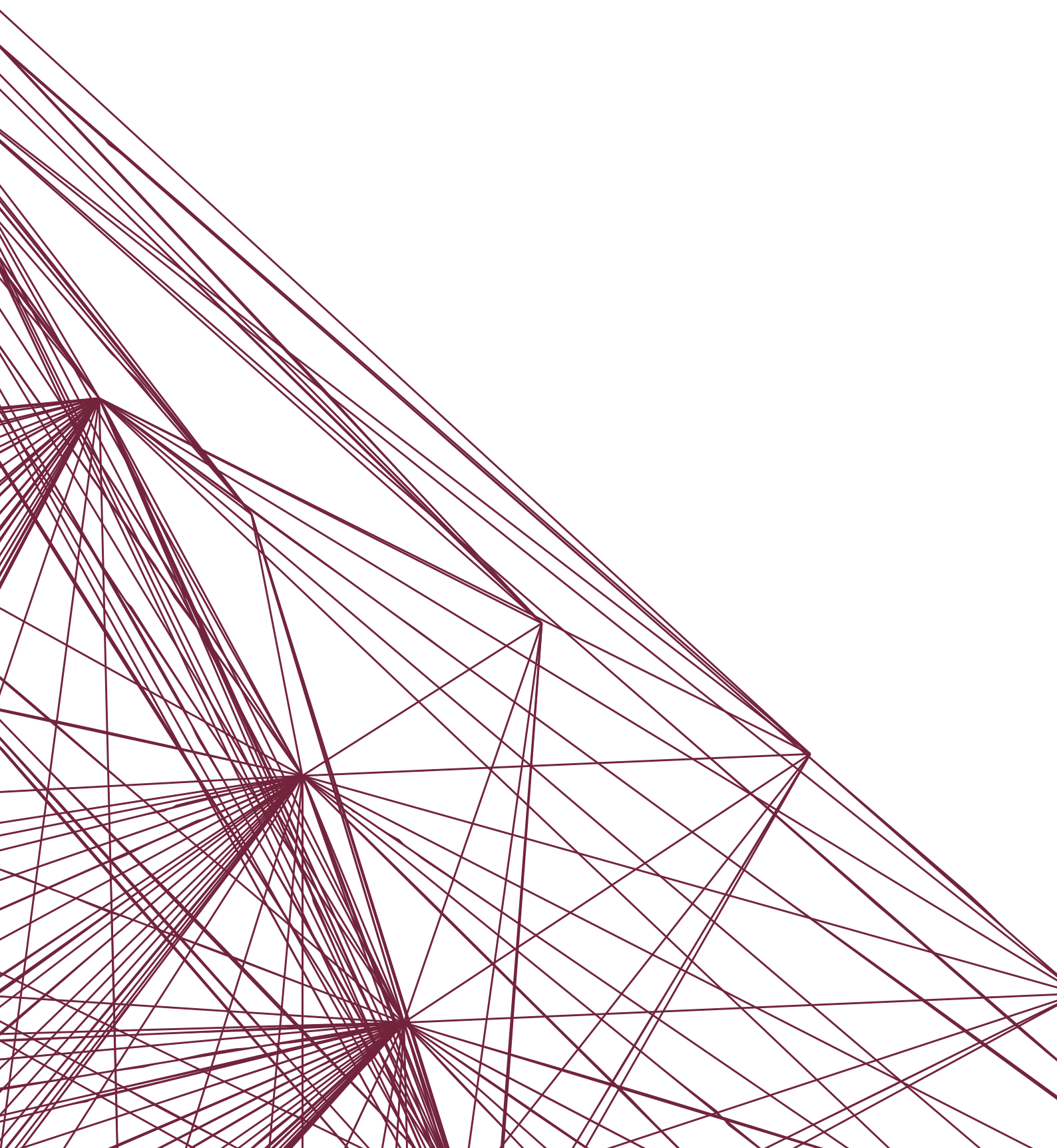


The Colombo Fort Land & Building PLC

Annual Report 2016/17





Industrial Products



Consumer Products



Leisure



Plantations



Property Rental



Motors



Services



Investments



Manufacturing

The Colombo Fort Land & Building PLC

Annual Report 2016/17

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Group Financial Highlights

Financial Performance - For the year ended 31st March,

		2017	2016 Restated	Change %
Revenue - Consolidated	Rs. million	41,016	36,860	11
Gross Profit	Rs. million	7,841	7,547	4
Share of Results of Associates (Net of Tax)	Rs. million	4.8	(10.7)	(145)
Profit before Interest & Tax (EBIT)	Rs. million	1,196	1,070	12
Profit/(Loss) before Tax	Rs. million	(916)	(518)	77
Profit/(Loss) for the Year	Rs. million	(1,078)	(680)	(59)
Profit/(Loss) Attributable to-				
Owners of the Company	Rs. million	(879)	(311)	183
Non Controlling Interest	Rs. million	(199)	(369)	46

Financial Position - As at 31st March,

		2017	2016	Change %
Total Assets	Rs. million	41,897	40,487	3
Total Shareholders' Funds	Rs. million	6,887	7,706	(11)
Non Controlling Interest	Rs. million	4,004	4,246	(6)
Total Equity	Rs. million	10,891	11,952	(9)
Total Debt	Rs. million	16,491	14,866	11
Total Capital Employed	Rs. million	27,382	26,818	2
Net Assets per Share	Rs.	38.26	42.28	(10)

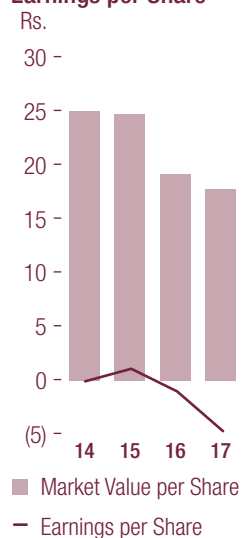
Market/Shareholder Information - As at 31st March,

		2017	2016	Change %
Number of Shares in Issue	million	180	180	-
Market Price of Share	Rs.	18.10	19.50	(7)
Market Capitalisation	Rs. million	3,258	3,510	(7)
Price Earnings Ratio (PER)	No. of times	(4)	(11)	(67)

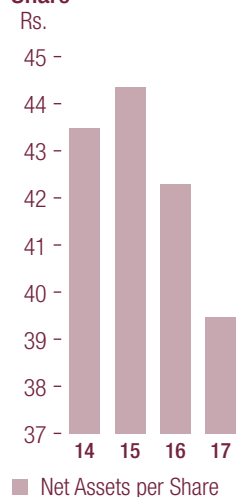
Key Financial Ratios - As at 31st March,

		2017	2016	Change %
Gross Profit Margin	%	19.12	20.47	(7)
EBIT Margin	%	2.92	2.90	1
Interest Cover	No. of times	0.57	0.67	(16)
Net Profit Margin	%	(2.63)	(1.85)	(42)
Earnings per Share	Rs.	(4.89)	(1.73)	183
Return on Capital Employed	%	4.37	3.99	10
Return on Equity	%	(9.90)	(5.69)	(74)
Debt Ratio	%	74.01	70.48	5
Total Assets Turnover	No. of times	1.02	1.10	(7)
Current Ratio	No. of times	0.51	0.53	(4)
Dividend Payout Ratio	No. of times	(0.06)	(0.17)	(65)

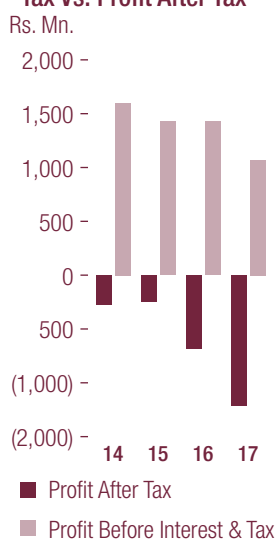
Market Value Vs. Earnings per Share



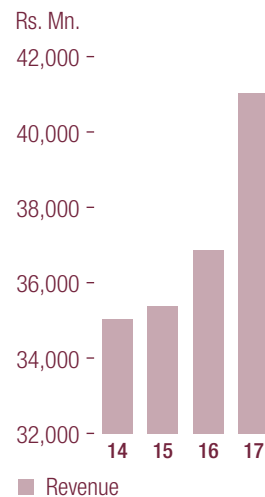
Net Assets per Share



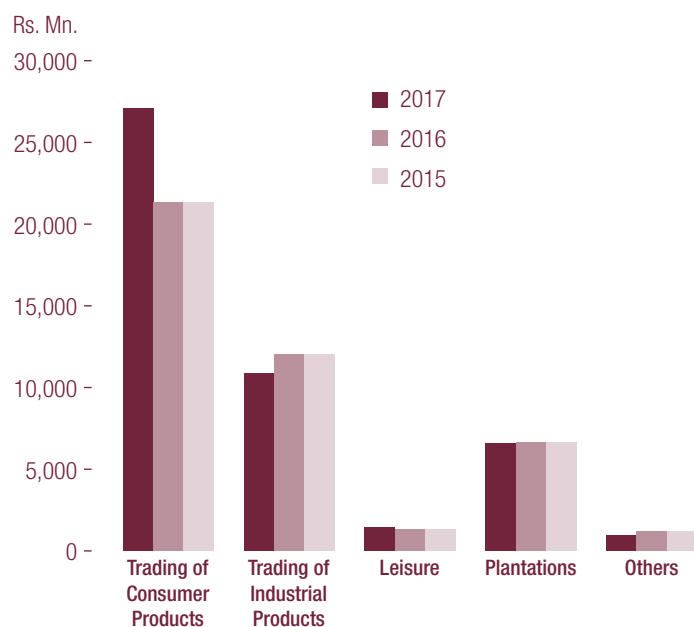
Profit Before Interest & Tax Vs. Profit After Tax



Revenue



Segment Contribution in the Group Revenue - (Gross)



Chairman's Review

On behalf of the Board of Directors it gives me great pleasure to present to you the Annual Report and the Audited Financial Statements for the year ended 31st March, 2017.

For the year under review, the Group recorded a turnover of Rs.41 Billion, an increase from Rs.36.9 Billion in the previous year. The loss at Group level increased from Rs.680 million to Rs.1.078 Billion. At Company level the profit declined slightly to Rs.122.4 million.

The adverse climatic conditions that the Group has had to face during this financial year contributed significantly to the increased losses that have been incurred. The failure of both the monsoons has meant that all the Group's subsidiaries that have a stake in agriculture have faced difficult trading conditions. Profitability has also been impacted by rising interest rates with the finance cost of the Group increasing from Rs.1.588 billion to Rs.2.11 billion in the year under review. The silver lining to the Group's performance has been the reduction in the losses in the Plantation Sector driven by higher tea prices.

The outlook for the year ahead remains weak. The dry climatic conditions are likely to continue, as are extreme weather conditions of flash floods and high temperatures. The recent increases in Value Added Tax (VAT) and Nation Building Tax (NBT), is likely to have an impact on consumer spending. Such an impact will affect the Group's businesses in the FMCG sector.

In order to tide over these difficult times, the Group will undertake an aggressive strategy of cost reductions to ensure that we can return to profitability as soon as possible. Where businesses are continuously running at losses, steps will be taken to either rationalise their operations or to dispose of them.

In spite of the adverse conditions experienced by the Company during the financial year under review, the Board of Directors is pleased to propose a First and Final Dividend of Rs.0.15 per share.

I would like to thank Mr. N.H.B.S. Perera who resigned from the Board of the Company after sixteen years of service. A valuable colleague, Mr. Perera's counsel and expertise in the fields of Agro-Chemicals and Plantation Sectors will be very hard to replace. We wish him the best on his retirement.

I would like to take this opportunity to thank the many stakeholders who help in the operations of the Group. My thanks also go out to my colleagues on the Board for their counsel and support as the Group grows out of the current troubled period.

A. Rajaratnam
Chairman

25th August, 2017

Directors' Profiles

A. Rajaratnam - Chairman

FCA

Mr. A. Rajaratnam having joined the Board in 1994, was appointed Chairman of the Company in November 2011. He also serves as Chairman on the Boards of certain subsidiaries of The Colombo Fort Land & Building Group and holds other Directorships within the Group.

S. D. R. Arudpragasam - Deputy Chairman

FCMA (U.K.)

Mr. S.D.R. Arudpragasam joined the Board in the year 2000 and was appointed Deputy Chairman in November 2011. He serves as Chairman of several subsidiaries of The Colombo Fort Land & Building PLC. Mr. Arudpragasam also holds the position of Deputy Chairman, Lankem Ceylon PLC and functions as Managing Director of E.B. Creasy & Company PLC, in addition to serving on the Boards of other companies in The Colombo Fort Land & Building Group.

Anushman Rajaratnam - Group Managing Director

B.Sc (Hons.), CPA, MBA

Mr. Anushman Rajaratnam joined the Board in November 2011. He has spent several years working overseas as a Consultant for a leading Accountancy Firm. He currently holds the position of Group Managing Director of The Colombo Fort Land & Building PLC and also serves on the Boards of several subsidiaries of the CFLB Group.

A. M. de S. Jayaratne - Director

B.Sc. (Econ.), FCA (Eng. and Wales), FCA (ICASL)

Mr. A.M. de S. Jayaratne joined the Board in 2005. He was a former Chairman of Forbes & Walker Limited, Colombo Stock Exchange, Ceylon Chamber of Commerce and The Finance Commission. He also served as Sri Lanka's High Commissioner in Singapore. Mr. Jayaratne is a Director of several listed and unlisted Companies.

R. Seevaratnam - Director

B.Sc. (Lond.), FCA (Eng. and Wales), FCA (ICASL)

Mr. R. Seevaratnam was appointed to the Board in 2009. He is a fellow member of The Institute of Chartered Accountants of England and Wales and Sri Lanka and holder of a General Science Degree from the University of London. He was a former Senior Partner of KPMG. Mr. Seevaratnam is a Director of several listed and unlisted companies.

Ms. Anandhiy K. Gunawardhana - Director

LL.B (Hons.) (Colombo), LL.M (Distinction) (Georgetown), Attorney-at-Law

Ms. Anandhiy K. Gunawardhana joined the Board in November 2011. Ms. Gunawardhana is an Attorney-at-Law and a Partner of Julius & Creasy, Attorneys-at-Law and Notaries Public. She graduated from the University of Colombo's Faculty of Law in 1995 with Second Class (Upper Division) Honours and also secured First Class Honours at the Attorneys-at-Law (Final) Examination in 1996, conducted by the Sri Lanka Law College. She is a Fulbright Scholar and was awarded the Master of Laws (LL.M with Distinction) by Georgetown University, Washington DC, in May 2000 and thereafter, served a 7 month internship with the International Monetary Fund's Legal Department in Washington DC. She was called to the Bar in June 1997 and was duly enrolled as an Attorney-at-Law of the Supreme Court of Sri Lanka. Having joined Julius & Creasy in August 1996, as an apprentice, she was made a Professional Associate in July 1997 and admitted as a Partner in 2005. Her areas of specialisation are Capital Markets, Corporate and Commercial Law, Insurance Law and Mergers & Acquisitions. She is a Life Member of the Bar Association of Sri Lanka, the Colombo Law Society, the University Women's Federation, Sri Lanka and the Alumni Association of the Faculty of Law, University of Colombo. She is a Director of Messrs. Jacey and Company, Jacey Trust Services (Private) Limited, Jacey Advisory Services (Private) Limited, Jacey Secretarial Services (Private) Limited and Brand Protection Services (Private) Limited, affiliate companies of the Firm engaged in providing ancillary services, and of G S Investments (Private) Limited, S V Investments (Private) Limited, A S Investments (Private) Limited, S S Investments (Private) Limited, G T Investments (Private) Limited, M B Investments (Private) Limited, G J Investments (Private) Limited, S A Investments (Private) Limited, S T Investments (Private) Limited, V P Investments (Private) Limited and Corporate Holdings (Private) Limited, which are investment companies and of LB Finance PLC and John Keells PLC.

C. P. R. Perera - Director

Mr. C.P.R. Perera was appointed to the Board in May 2013. He serves as a Director of several Companies in The Colombo Fort Land & Building Group and also holds directorships in other private and public companies. He is a past Chairman of the Sri Lanka Tea Board, Sri Lanka Insurance Corporation, PERC and Bank of Ceylon. He retired as Chairman of Forbes & Walker Limited and its subsidiary companies in June 2005 after almost 44 years of service. He presently functions as Chairman of Ceylon Tea Brokers PLC. Mr. Perera has served as a Committee Member of the Ceylon Chamber of Commerce, The Planters Association of Ceylon and on the Committee of Management of the Ceylon Planters Provident Society. He is presently an Appointed Member of the Monetary Board of the Central Bank of Sri Lanka.

Directors' Profiles contd.

P.M.A. Sirimane - Director

FCA, MBA

Mr. P.M.A. Sirimane was appointed the Board in May 2017. He joined the E.B. Creasy Group in October, 2009 and was appointed to the Board in November 2009. Amongst other senior positions he has functioned as Managing Director/CEO of Mercantile Leasing Limited, Group Finance Director of United Tractor & Equipment Limited, Chief Financial Officer, Sri Lanka Telecom Limited and Director SLT Hong Kong Limited. He has served as a Member of several Committees of the Institute of Chartered Accountants of Sri Lanka and was an ex-officio member of the International Leasing Association. Mr. Sirimane serves on the Boards of some of the subsidiaries of the E.B. Creasy Group. He also holds several other Directorships.

He is a Fellow of the Institute of Chartered Accountants of Sri Lanka and also holds a Masters in Business Administration from the University of Swinburne, Victoria, Australia.

Sanjeev Rajaratnam - Director

B.Sc., CA

Mr. Sanjeev Rajaratnam was appointed to the Board in May 2017. He holds a Bachelor of Science Degree in Business Administration from Boston College, U.S.A. and is a member of the Institute of Chartered Accountants in Australia. He has been associated with overseas companies in the field of Finance and currently holds the position of Deputy Managing Director of E.B. Creasy & Company PLC amongst other Directorships in The Colombo Fort Land & Building Group.

Risk Management Review

OVERVIEW

Risk management involves identifying potential risks faced by the Group and implementing proper risk management techniques to mitigate such risks.

The Colombo Fort Land & Building Group is involved in a diverse range of business activities. Whilst this diversification provides a hedge against the positive correlation of business and environmental risks, it also exposes the Group to a wider range of risks and opportunities. Therefore, a disciplined approach to risk management is important in order to ensure successful execution of strategic objectives and to express acceptance towards risk management which has been adequately compensated.

COMPANY'S APPROACH TO RISK

Risk management is an important function of our Group. The Group reviews and assesses significant risks on a regular basis and has implemented an oversight programme to ensure that there is a system of internal controls in place. It is more important to identify risks that may prevent a business from realising its potential, and to manage them in order to minimise adverse effects and maximise positive outcomes.

The risk management process involves identifying the risks, analysing and evaluating the risks and treating such risks by taking steps to reduce and eliminate the losses which may be faced by the Group. As a part of the Risk Management process, at the Group level, the Board reviews its strategies, processes, procedures and guidelines on a continuous basis to effectively identify, assess and respond to such risks.

The Group assesses risk at the individual transaction level and evaluates aggregated risk at the customer, industry, geographic and collateral-type levels, where appropriate. Risk assessment and risk management are the responsibilities of management. The risk infrastructure is designed to identify, evaluate and mitigate risks within each of the following categories;

RISK FACTORS

Strategic Risk

Strategic risk relates to the Group's future business plans and strategies, and includes risks associated with the markets and industries in which the Group operates, demand for products and services, competitor threats, technology and product innovation, mergers and acquisitions and public policy.

Operational Risk

Operational risk relate to the risk arising from the execution of business operations. The Group has established sound internal control systems in all its operations and continuously reviews and monitors those procedures to ensure accountability and transparency in all its operations.

The Group faces a number of operational risks on an ongoing basis, including: Stock management; Supply chain management; Key supplier failure; and IT security. The Group is continuously focusing on improving its controlling and monitoring processes to ensure smooth functioning of all its operations.

Financial Risk

Financial risk relates to the ability to meet financial obligations and mitigate credit risk, liquidity risk and exposure to broad market risks, including volatility in foreign currency exchange rates, interest rates and commodity prices. Liquidity risk is the risk of being unable to accommodate liabilities at maturity, fund asset growth and meet contractual obligations through access to funding at reasonable market rates. Credit risk is the risk of financial loss arising from a customer or counterparty failing to meet contractual obligations.

Legal and Compliance

Legal and compliance risk relates to changes in the Government and regulatory environment, compliance requirements with policies and procedures, including those relating to financial reporting, environmental health and safety and intellectual property risks. Government and regulatory risk is the risk that the Government or Regulators' actions which will impose additional cost or cause the Group to change its business models or practices.

New Business and Acquisitions

Innovation is encouraged across CFLB businesses and activities. Therefore, it is important that all elements of new business initiatives are well understood before commencement. All new business initiatives must be approved by all Directors prior to commencement. The new business approval process is a formal process whereby all relevant risks (e.g. market, credit, equity, legal, compliance, taxation, accounting, operational and systems issues) are reviewed to ensure that the transaction or operation can be managed properly and will not create unknown or unwanted risks for CFLB in the future.

Credit Risk

Credit Risk is defined as the risk of a counterparty failing to complete its contractual obligations when they fall due. The consequent loss is either the amount of the loan being unpaid, or the loss incurred in replacing a trading contract with a new counterparty.

Business Risk

New entrants into the markets and the intensification of competition from existing players in these markets, variation in consumer spending patterns and effects of the weather conditions for seasonal businesses are the significant business risks that the Group encounters.

Corporate Governance

The Colombo Fort Land & Building PLC's (CFLB) Corporate Governance policy has ensured transparency and accountability towards our valuable stakeholders. The core objective of all Corporate Governance rules and regulations is to ensure that the interests of all stakeholders are reasonably safeguarded. Thus, the Board strives to take all possible steps to comply with best practices on Corporate Governance as it builds trust among stakeholders and establishes a basis for responsible conduct.

Our values have been applicable at all levels and this guarantees the business transparency towards our valuable stakeholders and corporate society.

THE BOARD

Board Composition

The Board comprises of one Executive Director and eight Non-Executive Directors of whom four are Independent. The Directors possess the necessary expertise in the fields of finance, corporate management and corporate law with varied business and professional experience in order to direct, lead and control the Company's business activities successfully.

Mr. N.H.B.S. Perera, Independent, Non-Executive Director resigned from the Board with effect from 31st March, 2017 and Mr. P.M.A. Sirimane and Mr. Sanjeev Rajaratnam, Non-Executive Directors were appointed to the Board on 25th May, 2017.

Mr. A. Rajaratnam - Chairman - Non-Executive
Mr. S.D.R. Arudpragasam - Deputy Chairman - Non-Executive
Mr. Anushman Rajaratnam - Group Managing Director -Executive
Mr. N.H.B.S. Perera - Independent Non-Executive (Resigned with effect from 31st March, 2017)
Mr. A.M. de S. Jayaratne - Independent Non-Executive
Mr. R. Seevaratnam - Independent Non-Executive
Ms. A.K. Gunawardhana - Independent Non-Executive
Mr. C.P.R. Perera - Independent Non-Executive
Mr. P.M.A. Sirimane - Non-Executive (Appointed with effect from 25th May, 2017)
Mr. Sanjeev Rajaratnam - Non-Executive (Appointed with effect from 25th May, 2017)

Decision Making of the Board

The Board discusses matters relating to formulation and implementation of sound business strategies, ensuring an effective system to secure integrity of information, internal controls and risk management.

In addition to the decisions taken at Board Meetings, matters are referred to the Board and decided by resolutions in writing. The Board collectively and the Directors individually, act in accordance with the laws of the country, which are applicable to the business enterprise.

Board Responsibilities

- Formulation of short and long term strategies towards sustainable growth.
- Enhancing shareholder value.
- Identifying principal risks of the business.
- Overseeing systems of internal control.
- Approval of interim and annual financial statements.
- Ensuring compliance with laws and regulations.
- Authorising all material contracts, acquisitions or disposal of subsidiaries and approving capital projects.

Company Secretary and Independent Professional Advice

The Company and all the Directors may seek advice from Corporate Managers & Secretaries (Private) Limited (CMSL) who are qualified to act as Secretaries as per the provisions of the Companies Act No. 07 of 2007. CMSL assists the Board in ensuring that Board procedures are followed and that relevant rules and regulations are complied with. The Board in discharging its duties seeks independent professional advice from external parties when necessary.

Chairman's Role

The Chairman is a Non- Executive Director and is responsible for steering the Board to preserve order and to facilitate the effective discharge of Board functions. He conducts Board proceedings in a manner which always ensures the following:

- The effective participation of Directors.
- Encourages an effective contribution from Directors within their respective capabilities, for the benefit of the Company.
- Ascertains the views of Directors on issues under consideration.

The Board is in complete control of the Company's affairs and is alert to its obligation to all shareholder and other stakeholders.

Financial Acumen

The Board includes seven finance professionals who possess the knowledge and competence to offer the Board the necessary guidance on matters of finance.

Board Balance

Except for one Executive Director all Directors on the Board are Non-Executives of whom, four are Independent Directors. The Directors with a blend of experience in the fields of finance, business management and corporate law possessing a high standing of integrity and business acumen, constitute a balanced Board. This enables individual Directors to make a significant contribution towards the Board's decision making process. Further, the balanced structure of the Board makes the strategic decision making process more effective which ultimately facilitates build up of sustainable value for shareholders and all its other stakeholders.

Independent Directors on the Board have declared that they are Independent of management and free of any business or other relationship that could materially interfere with or could reasonably be perceived to materially interfere with the exercise of their unfettered and independent judgements. All Non- Executive Directors have also submitted signed and dated declarations of their independence or non-independence to the Board.

The Board makes a determination annually as to the independence or non-independence of each Non-Executive Director based on such declarations made on the defined criteria and other information available to the Board. The names of Directors determined to be “Independent” are set out in the Annual Report.

Mr. A.M. de S. Jayaratne, Mr. C.P.R. Perera and Mr. R. Seevaratnam are Directors of several subsidiaries of The Colombo Fort Land & Building PLC. Mr. A.M. de S. Jayaratne and Mr. C.P.R. Perera have served on the Board of some subsidiaries for a period exceeding nine years. These Independent Directors are also on the Boards of certain companies which has a significant shareholding in another and also serve on the Boards of some companies of which majority of the Directors serve on the Board of another, within the CFLB Group of companies. Mr. A.M. de S. Jayaratne has served on the Board of the Listed Entity for over a period of nine years. However, the Board having taken into consideration all other circumstances listed in the Rules pertaining to the Criteria for Defining Independence is of the view that the said Directors are nevertheless Independent.

Mr. N.H.B.S. Perera, who resigned from the Board of Directors with effect from 31st March, 2017 was a Director of several subsidiaries of The Colombo Fort Land & Building PLC. Mr. Perera served on the Board of some subsidiaries for a period exceeding nine years. He was also a member of the Board of certain companies which had a significant shareholding in another and also served on the Boards of some companies of which majority of the Directors serve on the Board of another, within the CFLB Group of companies. Mr. N.H.B.S. Perera served on the Board of the Listed Entity for over a period of nine years. However, the Board having taken into consideration all other circumstances listed in the Rules pertaining to the Criteria for Defining Independence was of the view that the said Director was nevertheless Independent.

Nomination Committee and Appointments to the Board

There is a formal and transparent procedure for the appointment of new Directors to the Board, which is in accordance with the recommendations made by the Nomination Committee, in consultation with the Chairman and in compliance with the provisions of the Articles of Association of the Company and the Rules on Corporate Governance.

The Nomination Committee comprises of Mr. A.M. de S. Jayaratne, Chairman, Mr. R. Seevaratnam, Independent Non-Executive Directors and Mr. S.D.R. Arudpragasam, Non-Executive Director.

Upon the appointment of a new Director to the Board, the Company makes the required disclosures to the shareholders by making announcements to the Colombo Stock Exchange.

Re-election of Directors

The Company's Articles of Association require two of the Directors in Office to retire at each Annual General Meeting. The Directors to retire in each year are those who have been longest in office since their last election or appointment. Retiring Directors are eligible for re-election by the shareholders.

DIRECTORS' REMUNERATION

Remuneration Committee and the Remuneration Procedure

The Remuneration Committee comprises of Mr. A.M. de S. Jayaratne, Chairman, Mr. R. Seevaratnam, Independent Non-Executive Directors and Mr. S.D.R. Arudpragasam, Non-Executive Director.

All managerial and secretarial services are provided by Corporate Managers & Secretaries (Private) Limited to whom a fee is paid.

The Remuneration Committee Report is set out on page 19 of this report.

RELATIONS WITH SHAREHOLDERS

Constructive use of Annual General Meeting (AGM) and Conduct of General Meetings

The Board makes use of the Annual General Meeting /General Meetings to communicate with shareholders and does encourage their active participation. The Board considers the AGM/General Meetings as an opportunity to communicate and maintain an appropriate dialogue with its shareholders and welcomes their suggestions. It also enables shareholders to meet and discuss Company matters with the Directors.

Major Transactions

In compliance with the requirements under Section 185 of the Companies Act No. 07 of 2007, the Directors take necessary measures to disclose to shareholders all proposed corporate transactions, which if entered into, would materially alter/vary the Company's net asset base.

Corporate Governance Contd.

ACCOUNTABILITY AND AUDIT

Financial Reporting and Going Concern

The Board undertakes the responsibility for the preparation and presentation of financial statements and ensures that they are prepared and presented in accordance with the Sri Lanka Accounting Standards adopted by The Institute of Chartered Accountants of Sri Lanka and the requirements of the Companies Act No. 07 of 2007. The Board values the timely publication of annual and quarterly results and other price-sensitive information enabling shareholders to make effective economic decisions and strives to take all possible steps to comply with the statutory requirements and procedures laid down by the Colombo Stock Exchange and the Securities and Exchange Commission with regard to those publications.

The Annual Report of the Board of Directors presents a balanced and understandable assessment of the Company's financial position, performance and future prospects.

The Directors, after making necessary inquiries and reviews of the Company's financial performance, position, future cash flows and potential borrowing facilities, have a reasonable expectation that the Company has adequate resources to continue as "a going concern" in the foreseeable future. Further, the Directors do not intend either to liquidate or cease its operations and therefore, the "going concern assumption" adopted in the preparation of the financial statements is appropriate.

All statutory and material declarations are highlighted in the Annual Report of the Board of Directors.

Compliance with Legal Requirements

The Board is conscious of its responsibility to the shareholders, the Government and the Society in which it operates and is unequivocally committed to upholding ethical behaviour in conducting its business. The Board strives to ensure that the Company and its Subsidiaries comply with the laws and regulations of the Country.

Internal Control

The Company maintains a sound internal control system to safeguard the shareholders' investment and the Company's assets. The board is responsible for ensuring the Company has in place an effective system of internal controls and periodical reviews are held to identify any deviations that may need corrective action. The observations of the Audit Committee are reported to the Board for appropriate action.

Audit Committee

The Audit Committee for the financial year ended 31st March, 2017 comprised of four Non-Executive Directors of whom three were Independent. The Chairman of the Committee is an Independent Non-Executive Director. The members of the Committee possess financial and industry experience to assist the Board in discharging its duties effectively.

The Report of the Audit Committee is set out on pages 16 and 17 of this Annual Report.

Related Party Transactions Review Committee

The Related Party transactions are disclosed in note 30 on pages 114 to 118.

The Report of the Related Party Transactions Review Committee appear on page 18 and 19.

The Company's compliance status with Section 7 and 9 of the Colombo Stock Exchange Listing Rules on Corporate Governance which is mandatory for listed entities is disclosed on pages 11 to 15.

ADHERENCE TO THE CORPORATE GOVERNANCE RULES OF THE COLOMBO STOCK EXCHANGE FOR LISTED COMPANIES

CSE Rule No.	Subject	Applicable Requirement	Compliance Status	Applicable Section in the Annual Report
7.10.1 (a)	Non-Executive Directors	Two or at least one third of the total number of Directors should be Non-Executive Directors.	Complied	Corporate Governance
7.10.2 (a)	Independent Directors	Two or one third of Non-Executive Directors, whichever is higher, should be Independent.	Complied	Corporate Governance
7.10.2 (b)	Independent Directors	Each Non-Executive Director should submit a declaration of Independence / Non-Independence in the prescribed format.	Complied	Corporate Governance
7.10.3 (a)	Disclosure relating to Directors	The Board shall annually make a determination as to the Independence or Non-Independence of each Non-Executive Director and names of Independent Directors should be disclosed in the Annual Report.	Complied	Corporate Governance
7.10.3 (b)	Disclosure relating to Directors	The basis for the Board to determine a Director is Independent, if criteria specified for Independence is not met.	Complied	Corporate Governance
7.10.3 (c)	Disclosure relating to Directors	A brief resume of each Director should be included in the Annual Report containing information on the nature of his/her expertise in relevant functional areas.	Complied	Directors' Profiles
7.10.3 (d)	Disclosure relating to Directors	Provide a brief resume of new Directors appointed to the Board with details specified in Rule 7.10.3(a), (b) and (c) mentioned above.	Complied	Directors' Profiles and Corporate Governance
7.10.5	Remuneration Committee	A Listed Company shall have a Remuneration Committee in conformity with the following; (a) Composition (b) Function (c) Disclosure in the Annual Report	Complied	Corporate Governance and Remuneration Committee Report
7.10.6	Audit Committee	The Company shall have an Audit Committee.	Complied	Corporate Governance and Audit Committee Report
7.10.6 (a)	Composition of Audit Committee	Shall comprise of a minimum of two Independent Non- Executive Directors or Non-Executive Directors a majority of whom shall be Independent, which ever shall be higher.	Complied	Audit Committee Report
		A Non-Executive Director shall be appointed as the Chairman of the Committee.	Complied	Audit Committee Report
		Unless otherwise determined by the Audit Committee the Chief Executive Officer and the Chief Financial Officer shall attend Audit Committee Meetings.	Not Applicable	Not Applicable
		The Chairman of the Audit Committee or one member should be a member of a professional accounting body.	Complied	Audit Committee Report

Corporate Governance Contd.

CSE Rule No.	Subject	Applicable Requirement	Compliance Status	Applicable Section in the Annual Report
7.10.6 (b)	Audit Committee Functions	Functions shall include; a. Overseeing the preparation, presentation and adequacy of disclosures in the Financial Statements in accordance with Sri Lanka Accounting Standards. b. Ensuring Compliance with financial reporting requirements, information requirements of the Companies Act and other relevant financial reporting related regulations and requirements. c. Overseeing the processes to ensure that the internal controls and risk management are adequate to meet the requirements of the Sri Lanka Auditing Standards. d. Assessment of the Independence and performance of the External Auditors. e. Making recommendations to the Board pertaining to appointment, re-appointment and removal of External Auditors, and approving the remuneration and terms of engagement of External Auditors.	Complied Complied Complied Complied Complied	Audit Committee Report
7.10.6 (c)	Disclosure in the Annual Report	a. Names of Directors comprising the Audit Committee. b. The Audit Committee shall make a determination of the Independence of the Auditors and disclose the basis for such determination. c. The Annual Report shall contain a Report of the Audit Committee setting out of the manner of compliance with their functions.	Complied Complied Complied	Audit Committee Report

CSE Rule No.	Subject	Applicable Requirement	Compliance Status	Applicable Section in the Annual Report
9.1	Related Party Transactions - Shareholder Approval	The Listed entity shall obtain prior approval from the shareholders by way of a Special Resolution for the Related Party Transactions listed below;		
9.1.1	Non-Recurrent Transactions	(a) Any Related Party Transaction of a value equal to, or more than: i. 1/3 of the Total Assets of the entity as per the latest Audited Financial Statements of the entity; - or ii. 1/3 of the Total Assets of the entity as per the latest Audited Financial Statements of the entity, when aggregated with other non-recurrent transactions entered into with the same Related Party during the same financial year.	Not Applicable Not Applicable	Not Applicable Not Applicable
9.1.2	Recurrent Transactions	(a) Any recurrent Related Party Transaction of value equal to, or more than i. 1/3 of the gross revenue (or equivalent term for revenue in the Income Statement) and in the case of group entity consolidated group revenue of the Entity as per the latest Audited Financial Statements of the entity; - or ii. 1/3 of the gross revenue (or equivalent term for revenue in the Income Statement) and in the case of group entity consolidated group revenue of the entity as per the latest Audited Financial Statements of the entity, when aggregated with other recurrent transactions entered into with the same Related Party during the same financial year. - and iii. the transactions are not in the ordinary course of the business and in the opinion of the Related Party Transactions Review Committee, are on terms favourable to the Related Party than those generally available to the public	Not Applicable Not Applicable Not Applicable	Not Applicable Not Applicable Not Applicable
9.2	Related Party Transactions Review Committee	A listed Company shall have a Related Party Transactions Review Committee (RPTRC) in Conformity with the following:		
9.2.1	Review of Transactions	Except for transactions set out in Rule 9.5, all other Related Party Transactions should be reviewed by the Related Party Transactions Review Committee	Complied	Related Party Transactions Review Committee Report
9.2.2	Composition	The Committee shall comprise a combination of Non-Executive Directors and Independent Non- Executive Directors and may also include Executive Directors at the option of the Listed Entity. One Independent Non-Executive Director shall be appointed as Chairman.	Complied Complied	Related Party Transactions Review Committee Report Related Party Transactions Review Committee Report

Corporate Governance Contd.

CSE Rule No.	Subject	Applicable Requirement	Compliance Status	Applicable Section in the Annual Report
9.2.3	Related Party Transactions Review Committee of the Parent Company	In a situation where both the parent company and the subsidiary are Listed Entities, the RPTRC of the parent company may be permitted to function as the RPTRC of the Subsidiary.	Not Applicable	Not Applicable
		However, if the Parent Company is not a Listed Entity, then RPTRC of the Parent Company is not permitted to act as the RPTRC of the subsidiary. The Subsidiary shall have a separate RPTRC.	Not Applicable	Not Applicable
9.2.4	Committee Meetings	The committee shall meet at least once a calendar quarter	Committee has met three times.	Related Party Transactions Review Committee Report
	Documentation of minutes	The Committee shall ensure that the minutes of all meetings are properly documented and communicated to the Board of Directors.	Complied	Related Party Transactions Review Committee Report
9.2.5	Professional and Expert Advice	Directors of the Committee should ensure that they have, or have access to, enough knowledge or expertise to assess all aspects of proposed Related Party Transactions, and where necessary, they should obtain appropriate professional and expert advice from an appropriately qualified person.	Complied	Related Party Transactions Review Committee Report
9.3	Disclosures			
9.3.1	Immediate Disclosures	i. The Listed Entity shall make an immediate announcement to the exchange: of any Non-Recurrent Related Party Transaction with value exceeding 10% of the equity or 5% of the total assets whichever is lower, of the entity as per the latest Audited Financial Statements.	Not Applicable	All the Non- Recurrent transactions were below the disclosure threshold
		or of the latest transaction if the aggregate value of all Non-Recurrent Related Party Transactions entered into with the same Related Partry during the same Financial year amounts to 10% of the equity or 5% of the total assets which ever is lower, of the entity as per the latest Audited Financial Statements.	Not Applicable	
		ii. Listed entity shall disclose subsequent non-recurrent transactions which exceeds 5% of the equity of the entity, entered into with the same Related Party during the financial year.	Not Applicable	

CSE Rule No.	Subject	Applicable Requirement	Compliance Status	Applicable Section in the Annual Report
9.3.2	Disclosure in the Annual Report	a) Disclosure of Non-Recurrent Related Party Transactions If aggregate value of the Non- Recurrent Related Party Transactions exceeds 10% of the equity or 5% of the Total Assets, whichever is lower, of the Listed Entity as per the latest Audited Financial Statements, the information must be presented in the Annual Report in accordance with the prescribed format under 9.3.2 (a) of the listing rules. b) Disclosure of Recurrent Related Party Transactions If the aggregate value of the recurrent Related Party Transactions exceeds 10% of the gross revenue/ income (or equivalent term in the Income Statement and in the case of group entity consolidated revenue) as per the latest Audited Financial Statements, the Listed entity must disclose the aggregate value of Recurrent Related Party Transactions entered into during the financial year in the Annual Report in accordance with the prescribed format under 9.3.2 (b) of the listing rules. c) Report by the Related Party Transactions Review Committee d) A declaration by the Board of Directors	Not Applicable Complied Complied Complied	All the Non- Recurrent transactions were below the disclosure threshold All the Recurrent transactions were below the disclosure threshold Related Party Transactions Review Committee Report Related Party Transactions Review Committee Report and Annual Report of the Board of Directors
9.4	Acquisition and Disposal of Assets from/ to Related Parties			
9.4.1		The Listed Entity nor any of its subsidiaries without obtaining prior approval from the shareholders by way of a special resolution, should not acquire or dispose of from / to any Related Party an asset/assets amounting to value which exceeds 1/3 of the total assets of the Entity (a substantial asset) as per latest Audited Financial Statements	Not Applicable	Not Applicable
9.4.4		The members of the Related Party Transactions Review Committee should obtain competent independent advice from independent professional experts with regard to the value of the substantial assets of the Related Party Transaction under consideration.	Not Applicable	Not Applicable
9.4.5		The competent independent advice obtained in terms of Rule 9.4.4 above should be circulated with the notice of meeting to obtain the shareholder approval as set out in Rule 9.4.1 above	Not Applicable	Not Applicable

Audit Committee Report

The responsibilities of The Colombo Fort Land & Building PLC's Audit Committee are governed by the Rules and Regulations which are approved and adopted by the Board. The Board fulfils its overall responsibility to the shareholders in relation to the integrity of the Company's financial reporting process in accordance with the Companies Act and other legislative reporting requirements including adequacy of disclosures in the financial statements in accordance with the Sri Lanka Accounting Standards.

The Audit Committee also has a responsibility to ensure that the internal controls of the Company are in accordance with legal and regulatory requirements. The Committee also evaluates the performance and the independence of the Company's External Audit function.

Composition

The Audit Committee for the financial year ended 31st March, 2017 comprised of four Non-Executive Directors of whom three were independent. The Chairman of the Committee, Mr. R. Seevaratnam, an Independent Non-Executive Director, is a Fellow member of the Institute of Chartered Accountants of Sri Lanka (FCA) and England & Wales. The members of the Committee are named below.

Mr. R. Seevaratnam - Chairman – Independent Non-Executive
Mr. A.M. de S. Jayaratne - Independent Non-Executive
Mr. S.D.R. Arudpragasam - Non-Executive
Mr. N.H.B.S. Perera - Independent Non-Executive
(Resigned with effect from 31st March, 2017)

The Committee has a blend of experience in the commercial sector with financial expertise, audit exposure and high standing of integrity and business acumen in order to carry out their role efficiently and effectively.

The Company's Secretaries, Corporate Managers & Secretaries (Private) Limited function as the Secretaries to the Audit Committee.

Meetings and Attendance

The Audit Committee has met on five occasions during the financial year ended 31st March, 2017 and the attendance was as follows:

Mr. R. Seevaratnam - Chairman (5/5)
Mr. A.M. de S. Jayaratne (5/5)
Mr. S.D.R. Arudpragasam (3/5)
Mr. N.H.B.S. Perera (5/5)
(Resigned with effect from 31st March, 2017)

Representatives from Corporate Managers & Secretaries (Private) Limited, Managers & Secretaries and other Directors and senior management personnel are invited to the meetings as and when required. The proceedings of the Audit Committee are regularly reported to the Board.

Terms of Reference

The Committee is governed by specific terms of reference set out in the Audit Committee Charter. The Committee focuses on the following objectives in discharging its responsibilities taking into consideration the terms of reference together with the requirements of the Listing Rules of the Colombo Stock Exchange.

- a) Risk Management.
- b) Efficiency of the system of internal controls.
- c) Independence and objectivity of the External (Statutory) Auditors.
- d) Appropriateness of the principal accounting policies used.
- e) Financial Statement integrity.

Compliance

The Audit Committee reviewed the activities and the financial affairs of the Company and its Subsidiaries and the financial reporting system adopted in the preparation of the Quarterly and Annual Financial Statements to ensure reliability of the processes, appropriateness and consistency of the accounting policies and methods adopted in order to comply with the requirements of the Sri Lanka Accounting Standards (SLFRS/LKAS), the Companies Act No. 07 of 2007 and other relevant statutory and regulatory requirements. The Committee also reviewed the quarterly and year end Financial Statements and have recommended their adoption to the Board of Directors.

Group Internal Audit

The Committee assessed the adequacy of existing internal controls and risk management procedures and has recommended to the Board additional controls and risk mitigating strategies that could be implemented to strengthen the existing internal control system.

Further, the Committee has reviewed the routine operations of the Company and assessed the future prospects of its business operations and accordingly ensures that the going concern assumption used in the preparation of the financial statements, is appropriate.

A few companies of the Group have outsourced the internal audit function in order to strengthen the internal control measures.

External Audit

The Company has appointed KPMG, Chartered Accountants as its External Auditor for the financial year ended 31st March, 2017 and the services provided by them are segregated between audit/assurance services and other advisory services such as tax consultancy. The Committee has reviewed the progress and conduct of the statutory audit function and discussed the audit related issues with the Auditors. The Committee has also negotiated with the External Auditors on the quantum of their fees and incidental expenses.

The Committee after evaluating the independence and performance of the External Auditors has recommended to the Board the reappointment of KPMG, Chartered Accountants, for the financial year ending 31st March, 2018 subject to the approval of the Shareholders at the Annual General Meeting of the Company.

Conclusion

The Audit Committee is satisfied that the effectiveness of the organisational structure of the Group and Company in the implementation of the accounting policies and operational controls provide reasonable assurance that the affairs of the Group and Company are managed in accordance with accepted policies and that assets are properly accounted for and adequately safeguarded.

(Sgd.)

R. Seevaratnam

Chairman

Audit Committee

25th August, 2017

Related Party Transactions Review Committee Report

The Related Party Transactions Review Committee is entrusted with the responsibility of ensuring that the interests of the Shareholders are taken into consideration when entering into a Related Party Transaction.

Composition

The Related Party Transactions Review Committee of the Company comprises of the following members:

Mr. R. Seevaratnam	- Chairman- Independent / Non-Executive Director
Mr. A.M. de S. Jayaratne	- Member- Independent / Non-Executive Director
Mr. S.D.R. Arudpragasam	- Member – Non- Executive Director

The Company's Secretaries, Corporate Managers & Secretaries (Private) Limited, functions as the Secretaries to the Related Party Transactions Review Committee.

Meetings of the Committee

The Related Party Transactions Review Committee met on three occasions during the financial year ended 31st March, 2017 and the attendance was as follows:

Mr. R. Seevaratnam - Chairman	(3/3)
Mr. A.M. de S. Jayaratne	(3/3)
Mr. S.D.R. Arudpragasam	(2/3)

The activities and views of the Committee would be communicated on a regular basis to the Board of Directors by tabling the Minutes of the Committee Meetings at Meetings of the Board.

Functions of the Committee:

- To identify the persons/entities considered to be Related Parties.
- Review all proposed Related Party Transactions. (Except for transactions which are exempted)
- Advise Management on Related Party Transactions and where necessary direct the transactions for Board approval / Shareholder approval as deemed appropriate.
- Obtain updates on previously reviewed Related Party Transactions from Senior Management and approve any material changes.
- Establish guidelines for Senior Management to follow in ongoing dealings with Related Parties.
- Review and assess on an annual basis the transactions for Compliance against the Committee guidelines.
- Ensuring that immediate market disclosures and disclosures in the Annual Report are made as required by the applicable rules and regulations.

Conclusion

The Related Party Transactions Review Committee has reviewed the Related Party Transactions entered into during the financial year under review and has communicated its comments and observations to the Board of Directors.

The Board of Directors have also declared in the Annual Report that there were no recurrent or non-recurrent related party transactions which exceeded the respective thresholds mentioned in Section 9 of the Colombo Stock Exchange Listing Rules and that the Company has complied with the requirements of the Listing Rules on Related Party Transactions.

(Sgd.)

R. Seevaratnam

Chairman

Related Party Transactions Review Committee

25th August, 2017

Remuneration Committee Report

The Remuneration Committee of The Colombo Fort Land & Building PLC consists of the following members:

Mr. A.M.de S. Jayaratne - Chairman / Independent Non-Executive

Mr. R. Seevaratnam - Independent Non-Executive

Mr. S.D.R. Arudpragasam - Non-Executive

The main function of the Remuneration Committee is to assist the Board in developing and administering an equitable and transparent method for setting policy on the overall human resources strategy of the Group and the remuneration of Directors and senior management of the Group.

The key objective of the Committee is to attract, motivate and retain qualified and experienced personnel throughout the Group and to ensure that the remuneration of executives at each level of management is competitive and are rewarded in a fair manner based on their performance.

(Sgd.)

A.M. de S. Jayaratne

Chairman

Remuneration Committee

25th August, 2017

Annual Report of the Board of Directors

The Board of Directors of The Colombo Fort Land & Building PLC present their Report on the affairs of the Company together with the Audited Financial Statements for the year ended 31st March, 2017.

The details set out herein provide the pertinent information required by the Companies Act No. 07 of 2007, and the Colombo Stock Exchange Listing Rules and are guided by recommended best practices.

GENERAL

The Company was re-registered on 3rd July, 2008 as required under the Companies Act No. 07 of 2007.

PRINCIPAL ACTIVITIES AND BUSINESS REVIEW

The principal activities of the Company together with those of its subsidiary companies have been described in the Notes to the Financial Statements in this Annual Report. A review of the Company's business and its performance during the year with comments on financial results is contained in the Chairman's Review which together with the Financial Statements reflects the state of affairs of the Company.

The Directors to the best of their knowledge and belief confirm that the Company has not engaged in any activities that contravene laws and regulations.

FINANCIAL STATEMENTS

The Financial Statements of the Company are given on pages 26 to 133.

INDEPENDENT AUDITORS' REPORT

The Independent Auditors' Report on the Financial Statements is given on page 25.

ACCOUNTING POLICIES

The accounting policies adopted in the preparation of Financial Statements are given on pages 31 to 45.

INTEREST REGISTER

Directors' Interest in Transactions

The Directors have made general disclosures as provided for in Section 192(2) of the Companies Act No. 07 of 2007. These have been entered in the Interest Register which is maintained by the Company. The Company carries out transactions in the ordinary course of business with entities in which a Director of the Company is a Director and the said transactions are disclosed in Note 30 'Related Party Transactions', on pages 114 to 118.

The Directors have no direct or indirect interest in any other contract or proposed contract with the Company.

Directors' Interest in Shares

Directors of the Company who have an interest in the shares of the Company are required to disclose their shareholdings and any

acquisitions/disposals to the Board in compliance with Section 200 of the Companies Act.

Details pertaining to Directors' direct shareholdings are set out below:

Name of Director	No. of shares as at 31.03.2017	No. of shares as at 31.03.2016
A. Rajaratnam	-	1,263,900
S.D.R. Arudpragasam	176,000	176,000
N.H.B.S. Perera (Resigned with effect from 31st March, 2017)	2,500	2,500
A.M. de S. Jayaratne	500	500
R. Seevaratnam	-	-
Anushman Rajaratnam	-	-
Ms. A.K. Gunawardhana	25,000	25,000
C.P.R. Perera	10,000	10,000

DIRECTORS' REMUNERATION

Key management personnel compensation in respect of the Company for the financial year 2016/2017 is given in Note 7 to the Financial Statements on page 47.

CORPORATE DONATIONS

No donations were made by the Company during the year.

DIRECTORATE

The names of the Directors who held office during the financial year and the appointments made after the financial year end are given below. Brief profiles of the Directors currently in Office are given on pages 05 and 06.

Mr. A. Rajaratnam	- Chairman
Mr. S.D.R. Arudpragasam	- Deputy Chairman
Mr. Anushman Rajaratnam	- Group Managing Director
Mr. N.H.B.S. Perera (Resigned w.e.f. 31st March, 2017)	
Mr. A.M. de S. Jayaratne	
Mr. R. Seevaratnam	
Ms. A.K. Gunawardhana	
Mr. C.P.R. Perera	
Mr. P.M.A. Sirimane (Appointed w.e.f. 25th May, 2017)	
Mr. Sanjeev Rajaratnam (Appointed w.e.f. 25th May, 2017)	

Mr. Anushman Rajaratnam was appointed Group Managing Director on 1st January, 2017.

Mr. N.H.B.S. Perera resigned from the Board with effect from 31st March, 2017.

In terms of Articles 85 and 86 of the Articles of Association Mr. S.D.R. Arudpragasam and Ms. A.K. Gunawardhana retire by rotation and being eligible offer themselves for re-election.

In terms of Article 92 of the Articles of Association Mr. P.M.A. Sirimane and Mr. Sanjeev Rajaratnam who were appointed to the Board on 25th May, 2017 retire and being eligible offer themselves for re-election.

Mr. A.M. de S. Jayaratne who is over seventy years of age retires and offers himself for reappointment under and by virtue of the Special Notice received from a shareholder of the Company which is referred to in the Notice of Meeting.

Mr. A. Rajaratnam who is over seventy years of age retires and offers himself for reappointment under and by virtue of the Special Notice received from a shareholder of the Company which is referred to in the Notice of Meeting.

Mr. R. Seevaratnam who is over seventy years of age retires and offers himself for reappointment under and by virtue of the Special Notice received from a shareholder of the Company which is referred to in the Notice of Meeting.

Mr. C.P.R. Perera who is seventy years of age retires and offers himself for reappointment under and by virtue of the Special Notice received from a shareholder of the Company which is referred to in the Notice of Meeting.

CORPORATE GOVERNANCE

The Corporate Governance Principles adhered to by the Company are given on pages 08 to 15.

AUDITORS

The Financial Statements of the Company for the year have been audited by Messrs. KPMG, Chartered Accountants, who retire at the forthcoming Annual General Meeting. The retiring Auditors have expressed their willingness to continue as Auditors of the Company and are recommended for reappointment. A resolution to reappoint them and to authorise the Directors to determine their remuneration will be proposed at the Annual General Meeting. They were paid Rs.990,000/- (2015/16 - Rs.935,000/-) as audit fees by the Company. In addition, they were paid Rs.124,000/- (2015/16 - Rs.117,000/-) by the Company for non-audit related work, which consists mainly of fees for tax compliance services.

As far as the Directors are aware the Auditors do not have any relationship (other than that of an Auditor) with the Company. The Auditors do not have any interest in the Company.

REVENUE

The revenue of the Company for the year was Rs.29.90 million (2015/16 - Rs.95.52 million).

RESULTS

The Company made a net profit before tax of Rs. 130.10 million against a profit of Rs.152.56 million in the previous year. The detailed results are given in the Statement of Profit or Loss & Other Comprehensive Income on page 26.

DIVIDENDS

The Directors are pleased to recommend the payment of a First and Final Dividend of Rs. 0.15 per share on the ordinary shares of the Company for the year ended 31st March, 2017 for approval by the shareholders at the forthcoming Annual General Meeting to be held on 27th September 2017

The Directors have confirmed that the Company satisfies the solvency test requirement under Section 56 of the Companies Act No. 07 of 2007 for the dividend proposed.

A solvency certificate has been sought from the Auditors in respect of the aforementioned dividend.

INVESTMENTS

The Cost of Investments in Quoted Securities held as at 31st March, 2017 were Rs. 909.19 million (2015/16 - Rs.909.07 million) and the Market Value of such Investments were Rs. 3,194.22 million ((2015/16 - Rs.3,468.37 million). The detailed investment portfolio is given in Notes 14, 15 and 16 to the Financial Statements on pages 66 to 88.

PROPERTY, PLANT & EQUIPMENT

During 2016/17, the Company invested Rs. 1.4 million in Property, Plant & Equipment (2015/16 - Nil). Further, your Directors are of the opinion that the net amounts at which Property, Plant & Equipment appear in the Statement of Financial Position, are not greater than their market value as at 31st March, 2017.

INVESTMENT PROPERTY

The Board of Directors of York Arcade Holdings PLC (YAH) has informed the Company of its intention not to renew the Lease of the land, which is due to expire on 31st August, 2017. As per the Lease Agreement, in the event of nonrenewal of the lease the Company is required to pay YAH a sum of 66% of the total cost of construction of the building as certified by YAH's Auditors which is a sum of Rs.86,862,268/-.

STATED CAPITAL

In compliance with the Companies Act No. 07 of 2007, the Financial Statements reflect the Stated Capital of the Company. The Stated Capital is the total of all amounts received by the Company in respect of issue of shares.

The Stated Capital of the Company as at 31st March, 2017 was Rs.327,000,000/- represented by 180,000,000 issued and fully paid Ordinary Shares.

RESERVES

The total reserves of the Company as at 31st March, 2017 amounted to Rs. 1,185.9 million (2015/16 - Rs.1,117.3 million). The Reserves comprise, Property Development Reserve of Rs. 10 million (2015/16 - Rs.10 million), General Reserve of Rs. 0.5 million (2014/15 - Rs.0.5 million), Available for Sale Reserve of Rs. 1.34 million (2015/16 -

Annual Report of the Board of Directors Contd.

Rs.1.12 million) and the accumulated profit of Rs. 1,174.1 million (2015/16 - Rs.1,105.6 million). The movements are shown in the Statement of Changes in Equity in the Financial Statements.

TAXATION

In terms of the Inland Revenue Act No. 10 of 2006 and subsequent amendments thereto the Company is liable to pay income tax at the rate of 28% for the Year of Assessment 2016/17. The details of the Income Tax Computation are given in Note 8 to the Financial Statements on pages 48 to 50.

RELATED PARTY TRANSACTIONS

During the financial year there were no recurrent or non -recurrent related party transactions which exceeded the respective thresholds mentioned in Section 09 of the Colombo Stock Exchange Listing Rules and the Company has complied with the requirements of the Listing Rules on Related Party Transactions.

The Related Party Transactions presented in the Financial Statements are disclosed in Note 30 from page 114 to 118.

SHARE INFORMATION

Information relating to earnings, net assets, market value per share and share trading is given on pages 136 and 137.

EVENTS AFTER THE REPORTING DATE

No Circumstances have arisen since the Reporting date that would require adjustments to or disclosure in the Financial Statements other than those disclosed in Note 37 to the Financial Statements on pages 130 to 131.

CAPITAL COMMITMENTS AND CONTINGENT LIABILITIES

Capital Commitments and Contingent Liabilities as at the Reporting date are disclosed in Notes 34 and 35 to the Financial Statements on pages 126 to 128.

EMPLOYMENT POLICY

All operational services are provided by Corporate Managers & Secretaries (Private) Limited, Managers and Secretaries, to whom a fee is paid.

SHAREHOLDERS

It is the Company's policy to endeavour to ensure equitable treatment to its shareholders.

STATUTORY PAYMENTS

The Directors, to the best of their knowledge and belief, are satisfied that all statutory payments due to the Government have been paid or where relevant, provided for.

ENVIRONMENTAL PROTECTION

The Group's business activities can have direct and indirect effects on the environment. It is the Group's policy to minimise any adverse effect its activities have on the environment and to promote co-operation and compliance with the relevant authorities and regulations. The Directors confirm that the Group has not undertaken any activities which have caused or are likely to cause detriment to the environment.

INTERNAL CONTROL

The Directors acknowledge their responsibility for the Company's system of internal control. The system is designed to give assurance regarding the safeguarding of assets, the maintenance of proper accounting records and the reliability of financial information generated.

GOING CONCERN

The Directors, after making necessary inquiries and reviews of the Company's future prospects and risks, cash flows and borrowing facilities, have a reasonable expectation that the Company has adequate resources to continue in operational existence for the foreseeable future. Therefore, the going concern basis has been adopted in the preparation of the Financial Statements.

For and on behalf of the Board,

(Sgd.)
S.D.R. Arudpragasam
Director

(Sgd.)
Anushman Rajaratnam
Director

By Order of the Board,

(Sgd.)
Corporate Managers & Secretaries (Private) Limited
Managers & Secretaries

Colombo
25th August, 2017

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Independent Auditors' Report



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(Chartered Accountants)
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TO THE SHAREHOLDERS OF THE COLOMBO FORT LAND & BUILDING PLC

Report on the Financial Statements

We have audited the accompanying financial statements of The Colombo Fort Land & Building PLC, ("the Company"), and the consolidated financial statements of the Company and its subsidiaries ("Group"), which comprise the statement of financial position as at March 31, 2017, and the statements of profit or loss and other comprehensive income, changes in equity and cash flows for the year then ended, and notes, comprising a summary of significant accounting policies and other explanatory information set out on pages 26 to 133 of the annual report.

Board's Responsibility for the Financial Statements

The Board of Directors ("Board") is responsible for the preparation of these financial statements that give a true and fair view in accordance with Sri Lanka Accounting Standards, and for such internal control as Board determines is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

Auditors' Responsibility

Our responsibility is to express an opinion on these financial statements based on our audit. We conducted our audit in accordance with Sri Lanka Auditing Standards. Those standards require that we comply with ethical requirements and plan and perform the audit to obtain reasonable assurance about whether the financial statements are free from material misstatement.

An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the financial statements. The procedures selected depend on the auditors' judgment, including the assessment of the risks of material misstatement of the financial statements, whether due to fraud or error. In making those risk assessments, the auditor considers internal control relevant to the entity's preparation of the financial statements that give a true and fair view in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the entity's internal control. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of accounting estimates made by Board, as well as evaluating the overall presentation of the financial statements.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.

Opinion

In our opinion, the consolidated financial statements give a true and fair view of the financial position of the Group as at March 31, 2017, and of its financial performance and cash flows for the year then ended in accordance with Sri Lanka Accounting Standards.

Emphasis of Matter

Going Concern

We draw attention to Note 36 to these Financial Statements regarding events and conditions that may cast significant doubt that the respective subsidiary companies will be able to continue as a going concern. Our opinion is not modified in respect of this matter.

Report on Other Legal and Regulatory Requirements

As required by section 163 (2) of the Companies Act No. 07 of 2007, we state the following:

- The basis of opinion and scope and limitations of the audit are as stated above
- In our opinion:
 - we have obtained all the information and explanations that were required for the audit and, as far as appears from our examination, proper accounting records have been kept by the Company,
 - The financial statements of the Company give a true and fair view of its financial position as at March 31, 2017, and of its financial performance and cash flows for the year then ended in accordance with Sri Lanka Accounting Standards.
 - The financial statements of the Company, and the Group comply with the requirements of sections 151 and 153 of the Companies Act No. 07 of 2007.

(Sgd.)
KPMG
CHARTERED ACCOUNTANTS

Colombo
25th August, 2017

KPMG, a Sri Lankan partnership and a member firm of the KPMG network of independent member firms affiliated with KPMG International Cooperative ("KPMG International"), a Swiss entity.

M.R. Mihular FCA	P.Y.S. Perera FCA	C.P. Jayatilake FCA
T.J.S. Rajakarier FCA	W.W.J.C. Perera FCA	Ms. S. Joseph FCA
Ms. S.M.B. Jayasekara ACA	W.K.D.C. Abeyratne FCA	S.T.D.L. Perera FCA
G.A.U. Karunaratne FCA	R.M.D.B. Rajapakse FCA	Ms. B.K.D.T.N. Rodrigo FCA
R.H. Rajan ACA		

Principals - S.R.I. Perera FCMA(UK), LLB, Attorney-at-Law, H.S. Goonewardene ACA
Ms. C.T.K.N. Perera ACMA (UK)

Statement of Profit or Loss & Other Comprehensive Income

For the year ended 31st March,		GROUP		COMPANY	
	Notes	2017 Rs.'000	2016 Rs.'000 Restated	2017 Rs.'000	2016 Rs.'000
Revenue	4	41,016,474	36,860,104	29,900	95,523
Cost of Sales		(33,175,713)	(29,313,042)	-	-
Gross Profit		7,840,761	7,547,062	29,900	95,523
Other Income	5.1	715,853	780,595	177,697	173,941
Distribution Expenses		(2,950,859)	(2,757,654)	-	-
Administrative Expenses		(4,220,778)	(3,907,503)	(48,881)	(30,513)
Other Expenses	5.2	(193,546)	(582,240)	(4,923)	(57,012)
Net Finance Cost	6	(2,112,672)	(1,588,064)	(23,690)	(29,379)
Share of Profit of Equity					
Accounted Investees (Net of Tax)	15	4,794	(10,662)	-	-
Profit/(Loss) before Tax	7	(916,447)	(518,466)	130,103	152,560
Income Tax Expense	8	(161,816)	(161,751)	(7,651)	(17,177)
Profit/ (Loss) for the Year		(1,078,263)	(680,217)	122,452	135,383
Other Comprehensive Income					
Items that will not be reclassified to Profit or Loss					
Actuarial Gains/(Losses) on Defined Benefit Plans		373,370	251,395	-	-
Tax on Other Comprehensive Income		(64,903)	6,136	-	-
Share of Other Comprehensive Income of					
Equity Accounted Investees (Net of tax)		(21,999)	(100,097)	-	-
Items that are or may be reclassified to Profit or Loss					
Net Change in Fair Value of Available-for-Sale Financial Assets		54,704	66,668	221	(219)
Exchange Differences on Translation of Foreign Operations		(1,208)	-	-	-
Other Comprehensive Income/(Loss) for the Year Net of Tax		339,965	224,102	221	(219)
Total Comprehensive Income For the Year		(738,298)	(456,115)	122,673	135,164
Profit/(Loss) Attributable to:					
Owners of the Company		(879,480)	(311,301)	122,452	135,383
Non - Controlling Interest		(198,783)	(368,916)	-	-
Profit/(Loss) for the Year		(1,078,263)	(680,217)	122,452	135,383
Total Comprehensive Income Attributable to:					
Owners of the Company		(740,430)	(236,610)	122,673	135,164
Non - Controlling Interest		2,132	(219,505)	-	-
Total Comprehensive Income For the Year		(738,298)	(456,115)	122,673	135,164
Earnings / (Deficit) per Share (Rs.)	9	(4.89)	(1.73)	0.68	0.75

The Notes from pages 31 to 133 form an integral part of these Financial Statements.
Figures in brackets indicate deductions.

Statement of Financial Position

As at 31st March,	Notes	2017 Rs.'000	GROUP		COMPANY	
			2016 Rs.'000 Restated	2015 Rs.'000 Restated	2017 Rs.'000	2016 Rs.'000
ASSETS						
Non-Current Assets						
Property, Plant and Equipment	10	19,440,906	18,989,573	18,522,474	2,451	2,957
Biological Assets	10.5	1,521,779	1,390,876	1,300,184	-	-
Leasehold Property	11	477,706	548,263	585,115	-	-
Investment Property	12	424,535	440,870	272,939	719,098	720,373
Intangible Assets	13	984,008	870,872	865,801	-	-
Investments in Subsidiaries	14	-	-	-	1,129,373	1,196,550
Investments in Equity Accounted Investees	15	442,787	464,236	584,547	89,434	89,434
Other Financial Assets	16	614,981	559,868	601,580	1,662	1,441
Employee Benefits - Plan Assets	27	107,381	95,539	132,257	-	-
Deferred Tax Assets	17	188,285	114,736	42,055	-	-
Total Non-Current Assets		24,202,368	23,474,833	22,906,952	1,942,018	2,010,755
Current Assets						
Inventories	18	6,897,538	6,695,531	5,807,337	-	-
Fair Value on growing produce of bearer Biological Assets	10.5	19,986	2,819	3,984	-	-
Trade & Other Receivables	19	7,929,745	7,721,023	7,624,402	51,412	2,932
Amounts due from Related Parties	30	106,366	134,749	208,907	180,586	148,726
Loans Given to Related Parties	30	-	-	-	355,500	277,500
Income Tax Recoverable		142,771	110,230	75,787	-	-
Other Financial Assets	16.3	759,601	727,844	916,140	-	-
Cash & Cash Equivalents	20	1,637,426	1,620,026	2,091,975	119,370	115,124
Total Current Assets		17,493,433	17,012,222	16,728,532	706,868	544,282
Assets Held for Sale	21	207,956	-	-	-	-
Total Assets		41,903,757	40,487,055	39,635,484	2,648,886	2,555,037
EQUITY AND LIABILITIES						
Equity Attributable to Equity Holders of the Parent						
Stated Capital	22	327,000	327,000	327,000	327,000	327,000
Capital Reserves	23	20,058	20,058	20,058	10,000	10,000
Reserves		6,539,747	7,358,967	7,717,790	1,175,934	1,107,261
Equity Attributable to Owners of the Company		6,886,805	7,706,025	8,064,848	1,512,934	1,444,261
Non - Controlling Interest		4,003,925	4,246,250	4,443,556	-	-
Total Equity		10,890,730	11,952,276	12,508,404	1,512,934	1,444,261
Non-Current Liabilities						
Loans and Borrowings	24	6,303,602	5,374,243	5,905,198	121,000	110,000
Deferred Income-Capital Grants	25	577,995	585,423	572,003	-	-
Deferred Tax Liabilities	26	513,932	549,778	684,239	26,605	26,809
Retirement Benefit Obligations	27	2,443,983	2,540,668	2,483,890	-	-
Rent Received In Advance	28	30,162	6,627	1,172	-	187
Total Non-Current Liabilities		9,869,674	9,056,739	9,646,502	147,605	136,996
Current Liabilities						
Trade & Other Payables	29	7,053,712	6,164,085	7,883,336	48,204	75,667
Amounts due to Related Parties	30	389,133	252,774	214,600	725,610	679,880
Loans and Borrowings	24	10,187,199	9,491,652	6,418,590	61,500	85,650
Rent Received in Advance	28	-	3,810	6,483	187	450
Income Tax Payable		328,794	295,806	216,421	41,699	38,281
Bank Overdraft	20	3,184,515	3,269,913	2,741,148	111,147	93,852
Total Current Liabilities		21,143,353	19,478,040	17,480,578	988,347	973,780
Total Liabilities		31,013,027	28,534,779	27,127,080	1,135,952	1,110,776
Total Equity and Liabilities		41,903,757	40,487,055	39,635,484	2,648,886	2,555,037
Net Asset per Share (Rs.)		38.26	42.28	44.33	8.41	8.02

It is certified that the Financial Statements have been prepared in compliance with the requirements of the Companies Act No. 07 of 2007.

(Sgd.)
M.V.M. Paulraj
Director
 Corporate Managers & Secretaries (Private) Limited

The Board of Directors is responsible for the preparation and presentation of these Financial Statements.
 Approved and signed for and on behalf of the Board,

(Sgd.)
S.D.R. Arudpragasam
Director

(Sgd.)
Anushman Rajaratnam
Director

Colombo
 25th August, 2017

The Notes on pages 31 to 133 form an integral part of these Financial Statements.
Figures in brackets indicate deductions.

Statement of Changes in Equity

GROUP	Equity Attributable to Equity Holders of the Parent							Total	Non-Controlling Interest	Total
	Stated Capital	Property Development Reserve	Capital Redemption Reserve	Available for Sale Reserve	General Reserve	Accumulated Profit / (Loss)				
	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000
Balance as at 1st April, 2015 - Previously stated	327,000	15,190	4,868	758,679	84,453	6,789,166	7,979,356	4,373,635	12,352,990	
Fair Value gain on Biological Assets (Note 31)	-	-	-	-	-	94,818	94,818	77,421	172,239	
Deferred Tax effect on Fair value gain on Biological Assets (Note 31)	-	-	-	-	-	(9,326)	(9,326)	(7,500)	(16,826)	
Balance as at 1st April, 2015 - Restated	327,000	15,190	4,868	758,679	84,453	6,874,658	8,064,848	4,443,556	12,508,404	
Restated Profit/ (Loss) for the year	-	-	-	-	-	(311,301)	(311,301)	(368,916)	(680,217)	
Other Comprehensive Income for the Year	-	-	-	131,057	-	(56,366)	74,691	149,411	224,102	
Dividend Declared - 2014/2015	-	-	-	-	-	(54,000)	(54,000)	-	(54,000)	
Effect of change in percentage holdings in subsidiaries	-	-	-	-	-	(68,213)	(68,213)	72,740	4,527	
Net of Acquisition of Subsidiary	-	-	-	-	-	-	-	(16,606)	(16,606)	
Right Issue by Subsidiary	-	-	-	-	-	-	-	79,467	79,467	
Subsidiary Dividend to Non-Controlling Interest	-	-	-	-	-	-	-	(113,402)	(113,402)	
Balance as at 31st March, 2016 - Restated	327,000	15,190	4,868	889,736	84,453	6,384,778	7,706,025	4,246,250	11,952,276	
Profit/ (Loss) for the year	-	-	-	-	-	(879,480)	(879,480)	(198,793)	(1,078,263)	
Other Comprehensive Income for the Year	-	-	-	146,508	-	(7,459)	139,050	200,915	339,965	
Dividend Declared - 2015/2016	-	-	-	-	-	(54,000)	(54,000)	-	(54,000)	
Effect of change in percentage holdings in subsidiaries	-	-	-	-	-	(24,790)	(24,790)	(20,231)	(45,020)	
Subsidiary Dividend to Non-Controlling Interest	-	-	-	-	-	-	-	(224,227)	(224,227)	
Balance as at 31st March, 2017	327,000	15,190	4,868	1,036,244	84,453	5,419,049	6,886,805	4,003,925	10,890,730	

COMPANY	Equity Attributable to Equity Holders of the Parent				Total
	Stated Capital	Property Development Reserve	General Reserve	Available for Sale Reserve	
	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000
Balance as at 01st April, 2015	327,000	10,000	501	1,341	1,363,097
Profit for the year	-	-	-	-	135,383
Other Comprehensive Income for the Year	-	-	-	(219)	(219)
Dividend Declared	-	-	-	-	(54,000)
Balance as at 31st March, 2016	327,000	10,000	501	1,122	1,444,261
Profit for the year	-	-	-	-	122,452
Other Comprehensive Income for the Year	-	-	-	221	221
Dividend Declared	-	-	-	-	(54,000)
Balance as at 31st March, 2017	327,000	10,000	501	1,343	1,512,934

The Notes from pages 31 to 133 form an integral part of these Financial Statements.
Figures in brackets indicate deductions.

Statement of Cash Flows

For the year ended 31st March,		GROUP		COMPANY	
	Notes	2017 Rs.'000	2016 Rs.'000 Restated	2017 Rs.'000	2016 Rs.'000
Cash Flows from Operating Activities					
Profit before Working Capital Changes	A	2,840,683	3,062,834	10,424	79,875
(Increase)/Decrease in Inventories		(285,557)	(985,046)	-	-
(Increase)/Decrease in Trade & Other Receivables		(216,422)	(245,698)	(119)	785
(Increase)/Decrease in Amounts due from Related Parties		28,383	125,347	(31,860)	11,461
Increase/(Decrease) in Trade & Other Payables		897,346	(1,670,634)	(28,181)	2,432
Increase/(Decrease) in Amounts due to Related Parties		136,359	(111,473)	108,730	(12,427)
Cash Generated from Operating Activities		3,400,789	175,330	58,994	82,126
Income Tax Paid		(351,465)	(319,265)	(4,437)	(3,667)
Interest Expenses Paid		(2,190,265)	(1,567,520)	(66,116)	(62,578)
Retiring Gratuity Paid		(184,208)	(213,489)	-	-
Rent Income Received		51,337	20,930	-	-
Net Cash Generated from/(used in) Operating Activities		726,188	(1,904,014)	(11,559)	15,881
Cash Flows from Investing Activities					
Acquisition of Property, Plant & Equipment, Investment Property & Biological Assets		(1,955,292)	(1,846,281)	(1,364)	(372)
Acquisition of Intangible Assets		(137,911)	(42,264)	-	-
Proceeds from Disposal of Property, Plant & Equipment		212,795	428,805	-	-
Loans Given to Related Parties		-	-	(80,000)	-
Settlement of Loans Due from Related Parties		-	-	2,000	12,500
Acquisition of Subsidiaries		-	(43,545)	(115)	(2,263)
Acquisition of Held for Trading Financial Assets		(32,921)	(13,733)	-	-
Acquisition of Held to Maturity Investments		5,852	138,685	-	-
Disposal of Subsidiaries/Associates		-	-	62,369	114,970
Net Disposal/Acquisition of Other Investments		(6,627)	(30,305)	-	-
Acquisition and Disposal of Subsidiary Shares from /to NCI		(45,020)	(69,364)	-	-
Interest Income Received		36,185	51,907	43,160	33,388
Dividend Income Received		35,135	25,480	102,652	91,040
Net Cash Generated from/(used in) Investing Activities		(1,887,804)	(1,400,615)	128,702	249,263
Cash Flows from Financing Activities					
Capital Grants Received		13,897	34,648	-	-
Increase/(Decrease) in Other Short-Term Loans		725,007	2,793,800	-	-
Increase/(Decrease) in Loan Due to Related Parties		-	-	(63,000)	(86,000)
Repayment of Lease Rentals		(60,293)	(106,222)	(692)	(1,037)
Receipt of Interest-bearing Borrowings		3,765,484	1,732,499	120,000	-
Redemption of Debentures		(200,000)	(150,000)	-	-
Right Issue of Shares by Subsidiary		-	79,467	-	-
Repayment of Interest-bearing Borrowings		(2,701,454)	(1,912,874)	(132,500)	(122,000)
Dividend Paid		(54,000)	(54,000)	(54,000)	(54,000)
Dividend Paid to Non Controlling Interests		(224,227)	(113,402)	-	-
Net Cash Generated from/(used in) Financing Activities		1,264,414	2,303,916	(130,192)	(263,037)
Net Increase/(Decrease) in Cash & Cash Equivalents		102,798	(1,000,713)	(13,049)	2,107
Cash & Cash Equivalents at the beginning of the year	20	(1,649,887)	(649,174)	21,272	19,165
Cash & Cash Equivalents at the end of the year	20	(1,547,089)	(1,649,887)	8,223	21,272

The Notes from pages 31 to 133 form an integral part of these Financial Statements
Figures in brackets indicate deductions.

Statement of Cash Flows Contd.

For the year ended 31st March,	GROUP		COMPANY	
	2017 Rs.'000	2016 Rs.'000	2017 Rs.'000	2016 Rs.'000
A. Profit/(Loss) before Working Capital Changes				
Profit/(Loss) Before Tax	(916,447)	(518,466)	130,103	152,560
Adjustments for ;				
Depreciation and Amortisation	1,258,473	1,216,968	3,145	4,909
Dividend Income	(35,135)	(25,480)	(151,012)	(91,040)
Amortisation of Rent Income	(31,612)	(18,148)	-	-
Interest Expense	2,190,265	1,567,520	66,850	62,767
Amortisation of Intangible Assets	24,775	9,541	-	-
Amortisation of Capital Grants	(21,325)	(21,228)	-	-
Gain on Disposal of Property, Plant & Equipment	(86,290)	(68,331)	-	-
Exchange Loss on Translation of Foreign Currency Loan	69,675	106,040	-	-
Interest Income	(36,185)	(51,907)	(43,160)	(33,388)
Provision for Retirement Gratuity	442,070	467,760	-	-
Share of (Profit)/Loss of Equity Accounted Investees	(4,794)	10,662	-	-
Net Gain on Disposal of Available-for-Sale Financial Assets	(365)	(38,054)	-	-
(Gain)/Loss on Disposal of Investments in Subsidiaries	-	-	682	(72,944)
Change in Fair Value of Held for Trading				
Financial Investments	1,164	202,029	-	-
Provision for/(Reversal of) Impairment in Value of Investments	-	-	4,241	57,011
Impairment Loss/(Reversal of Impairment Loss) on				
Trade & Other Receivables	38,816	151,933	-	-
Change in Fair Value of Biological Asset	(150,006)	(85,229)	-	-
Impairment/(Reversal of Impairment Loss) on PPE	21,773	19,940	-	-
Impairment/(Reversal of Impairment Loss) on Inventories	83,550	97,815	-	-
Creditors No Longer Payable Written Back	(7,719)	(15,060)	-	-
Gain from Bargain Purchase	-	(193)	-	-
Impairment of Goodwill	-	54,722	-	-
Unclaimed Dividend Written Back	-	-	(425)	-
	2,840,683	3,062,834	10,424	79,875

Notes to the Financial Statements

ACCOUNTING POLICIES

1. REPORTING ENTITY

The Colombo Fort Land & Building PLC is a public limited liability company incorporated and domiciled in Sri Lanka. The registered office and principal place of business of the Company is located at No. 8-5/2, Leyden Bastian Road, York Arcade Building, Colombo 1.

The ordinary shares of the Company are listed on the Colombo Stock Exchange. In the Annual Report of the Board of Directors and in the financial statements, 'the Company' refers to The Colombo Fort Land & Building PLC as the Parent Company and 'the Group' refers to the companies whose accounts have been consolidated therein.

The principal activities of the Company include real estate and property development, management of an investment portfolio and provision of management services. The companies within the Group are engaged in;

- a) Real estate and property development.
- b) Manufacture and marketing of chemicals, paints, hardware, building materials and packaging.
- c) Manufacture and marketing of consumer disposables, food & beverage products and marketing and distribution of pharmaceuticals.
- d) Marketing of motor vehicles & accessories and providing vehicle maintenance services.
- e) Tourist hotels and inbound tour operations.
- f) Production, processing and marketing of tea, rubber and desiccated coconut.
- g) Management of investment portfolios.
- h) Provision of management services.

2. BASIS OF PREPARATION

2.1 Statement of Compliance

The financial statements of the Company and the consolidated financial statements have been prepared in accordance with Sri Lanka Accounting Standards (SLFRSs/LKASs) adopted by The Institute of Chartered Accountants of Sri Lanka (CA) and the requirements of the Companies Act No.07 of 2007 and Sri Lanka Accounting and Auditing Standards Act No.15 of 1995.

The financial statements of the Company and those consolidated with such comprise of the Statement of Profit or Loss and Other Comprehensive Income, Statement of Financial Position and Statement of Changes in Equity and Statement of Cash flows together with the Accounting Policies and Notes to the financial statements.

The consolidated financial statements of the Group and the Company for the year ended 31st March, 2017 were authorised for issue by the Board of Directors on 25th August, 2017.

2.2 Basis of Measurement

The consolidated financial statements have been prepared on an accrual basis and under the historical cost basis, except for measurement of the following material items in the Statement of Financial Position:

- Derivative financial instruments are measured at fair value
- Non-derivative financial instruments at fair value through profit or loss are measured at fair value
- Available-for-sale financial assets are measured at fair value
- Biological assets (managed timber) are measured at fair value less costs to sell
- Defined benefit assets are measured at the present value of the defined benefit obligations.

Fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date.

When measuring fair value of an asset or liability, the Group uses observable market data as far as possible. Fair Values are categorised into different levels in a fair value hierarchy based on the inputs used in the valuation techniques.

Level 1: inputs are unadjusted quoted prices in active markets for identical assets or liabilities

Level 2: inputs are inputs other than quoted prices included within Level 1 that are observable for the asset or liability either directly (i.e. as prices) or indirectly (i.e. derived from prices)

Level 3: inputs are inputs that are not based on observable market data (unobservable inputs)

If inputs used to measure the fair value of an asset or liability fall into different levels of the fair value hierarchy, then the fair value measurement is categorised in its entirety in the same level of the fair value hierarchy as the lowest level input that is significant to the entire measurement.

2.3 Functional and Presentation Currency

The financial statements are presented in Sri Lankan rupees, which is the Group's functional currency. All financial information presented in Sri Lankan rupees has been rounded to the nearest thousand, except when otherwise indicated.

2.4 Use of Estimates, Judgments and Assumptions

The preparation of consolidated financial statements in conformity with SLFRSs/LKASs requires management to make judgments, estimates and assumptions that affect the application of accounting policies and the reported amounts of assets, liabilities, income and expenses and the disclosure of contingent liabilities at the reporting date. Judgments and estimates are based on historical experience

Notes to the Financial Statements Contd.

and other factors including expectations that believe to be reasonable under circumstances. Actual results may differ from those estimates and judgmental decisions.

Estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognised in the period in which the estimates are revised and in any future periods affected.

	Policy No.	Note No.
Valuation of Property, Plant and Equipments	3.2.1	10
Valuation of Leasehold Properties	3.8.1	11
Valuation of Investment Properties	3.2.6	12
Valuation of Intangible Assets	3.2.8	13
Deferred Tax Assets	3.7.2	17
Valuation of Employee Benefit Liabilities	3.4	27
Provisions, Contingent Assets and Liabilities	3.5	35

Judgments, estimates and assumptions made by management in the application of SLFRSs/LKASs that could have a significant effect on the financial statements are mentioned below.

3. SIGNIFICANT ACCOUNTING POLICIES

The accounting policies set out below have been applied consistently to all periods presented in these consolidated financial statements and the accounting policies have been applied consistently by the Group.

Comparative information has where necessary been reclassified to conform to the current year's presentation.

3.1 Basis of Consolidation

The consolidated financial statements (referred to as the 'Group') comprise of the financial statements of the Company, its Subsidiaries and the Group's interest in equity accounted investees (Associates).

Business combinations are accounted for using acquisition method as at the acquisition date, which is the date on which control is transferred to the Group. Control is the power to govern the financial and operating policies of an entity so as to obtain benefits from its activities. In assessing control, the Group takes into consideration potential voting rights that currently are exercisable.

Losses within a subsidiary are attributed to the non-controlling interest even if that results in a deficit balance. A change in the ownership interest of a subsidiary, without a loss of control, is accounted for as an equity transaction. If the Group loses control over a subsidiary, it;

- Derecognises the assets (including goodwill) and liabilities of the subsidiary.
- Derecognises the carrying amount of any non-controlling interest.
- Derecognises the cumulative translation differences, recorded in equity.

- Recognises the fair value of the consideration received.
- Recognises the fair value of any investment retained.
- Recognises any surplus or deficit in profit or loss in the Statement of Profit or Loss and Other Comprehensive Income.
- Reclassifies the Parent's share of components previously recognised in other comprehensive income to profit or loss or retained earnings, as appropriate.

The Group measures goodwill at the acquisition date as the fair value of the consideration transferred including the recognised amount of any non-controlling interests in the acquiree, plus if the business combination is achieved in stages, the fair value of the pre-existing equity interest in the acquiree less the net recognised amount (generally fair value) of the identifiable assets acquired and liabilities assumed, all measured as of the acquisition date. When the excess is negative, a bargain purchase gain is recognised immediately in profit or loss.

The Group elects on a transaction-by-transaction basis whether to measure non-controlling interests at fair value, or at their proportionate share of the recognised amount of the identifiable net assets, at the acquisition date. Transaction costs, other than those associated with the issue of debt or equity securities, that the Group incurs in connection with a business combination are expensed as incurred.

In a business combination achieved in stages, the Group remeasures its previously held equity interest in the acquiree at its acquisition-date fair value and recognises the resulting gain or loss, if any, in the Statement of Profit or Loss and Other Comprehensive Income.

3.1.1 Acquisitions of Non-Controlling Interest

Acquisitions of non-controlling interests are accounted for as transactions with owners, in their capacity as owners and therefore no goodwill is recognised as a result. Adjustments to non-controlling interests arising from transactions that do not involve the loss of control are based on a proportionate amount of the net assets of the subsidiary.

3.1.2 Subsidiaries

Subsidiaries are those entities controlled by the Group. Control is achieved when the Group is exposed, or has rights, to variable returns from its involvement with the investee and has the ability to affect those returns through its power over the investee. The Group controls an investee if, and only if, the Group has:

- Power over the investee (i.e., existing rights that give it the current ability to direct the relevant activities of the investee)
- Exposure, or rights, to variable returns from its involvement with the investee
- The ability to use its power over the investee to affect its returns

The Group considers all relevant facts and circumstances in assessing whether it has power over an investee which includes; the contractual

arrangement with the other vote holders of the investee, rights arising from other contractual arrangements and the Group's voting rights and potential voting rights over the investee.

The Group re-assesses whether or not it controls an investee if facts and circumstances indicate that there are changes to one or more of the three elements of control. Consolidation of a subsidiary begins when the Group obtains control over the subsidiary and ceases when the Group loses control of the subsidiary. Assets, liabilities, income and expenses of a subsidiary acquired or disposed of during the year are included in the consolidated financial statements from the date the Group gains control until the date the Group ceases to control the subsidiary.

Entities that are subsidiaries of another entity which is a subsidiary of the company are also treated as subsidiaries of the company. The financial statements of subsidiaries are included in the consolidated financial statements from the date of acquisition, being the date on which the Group obtains control, and continues to be consolidated until the date when such control ceases.

The accounting policies of subsidiaries have been changed when necessary to align them with the policies adopted by the Group

The following companies in which the Group's effective holding is less than 50% have been consolidated as the group has the practical ability to direct the relevant activities of these entities, unilaterally.

Company Name	Holding
Muller and Phipps (Ceylon) PLC	30.72%
Laxapana Batteries PLC	30.89%
Marawila Resorts PLC	38.40%
C.W. Mackie PLC	34.64%
Agarapata Plantations Limited	39.15%
Sigiriya Village Hotels PLC	39.39%
J.F. Packaging (Private) Limited	42.76%
Beruwala Resorts PLC	46.63%
York Arcade Holdings PLC	49.84%

The financial statements of subsidiaries are included in the consolidated financial statements from the date the control effectively commences until the date that control effectively ceases.

Loss of Control

On the loss of control, the Group derecognises the assets and liabilities of the subsidiary, any non-controlling interests and other components of equity relating to the subsidiary. Any surplus or deficit arising on the loss of control is recognised in profit or loss in the Statement of Profit or Loss and Other Comprehensive Income. If the Group retains any interest in the previous subsidiary, then such interest is measured at fair value at the date that control is lost. Subsequently it

is accounted for as an equity-accounted investee or as an available-for-sale financial asset depending on the level of influence retained.

3.1.3 Investments in Equity Accounted Investees (Associates and Jointly Controlled Entities)

Associates are those entities in which the Group has significant influence, but not control, over the financial and operating policies. Significant influence is presumed to exist when the Group holds between 20% and 50% of the voting power of another entity.

Joint ventures are arrangements in which the Group has joint control and have rights to the net assets of the arrangement. The group has Joint Control in a venture when there is contractually agreed sharing of control of the venture and the decisions about the relevant activities of the venture require the unanimous consent of the parties sharing control.

Associates and Joint ventures are treated as equity accounted investees and are accounted for using the equity method.

Under the equity method Investments in equity-accounted investees are recognised initially at cost, which includes transaction costs. The carrying amount of the investment is adjusted at each reporting date to recognise changes in the Group's share of net assets of the equity-accounted investees arising since the acquisition date. Goodwill relating to the equity-accounted investees is included in the carrying amount of the investment. Dividends declared by the equity-accounted investees are recognised against the equity value of the Group's investment.

The income statement reflects the Group's share of the results of operations of the equity accounted investees. When there is a change recognised directly in the equity of the entity, the Group recognizes its share of any changes, when applicable, in the statement of changes in equity. Unrealised gains and losses resulting from transactions between the Group and the equity-accounted investees are eliminated to the extent of the interest in the equity-accounted investees.

The Group's share of profit or loss of equity accounted investees is shown on the face of the income statement and represents profits or loss after tax of the entity and the non-controlling interests in the subsidiaries of the equity-accounted investees.

Adjustments are made if necessary, to the financial statements of the equity accounted investees to bring the accounting policies in line with those of the Group. After application of the equity method, the Group determines whether it is necessary to recognize an impairment loss on its investment in its equity accounted investee. The Group determines at each reporting date whether there is any objective evidence that the investment in the equity accounted investee is impaired. If this is the case, the Group calculates the amount of impairment as the difference between the recoverable amount of the equity-accounted

Notes to the Financial Statements Contd.

investees and its carrying value and recognises the amount in 'share of losses of an equity accounted investee' in the income statement.

Upon loss of significant influence over the associate or the joint control over the joint venture, the Group measures and recognises any retained investment at its fair value. Any difference between the carrying amount of the equity accounted investee disposed and the fair value of the retaining investment and the proceeds from disposal is recognised in the income statement.

Summarised financial Information in respect of subsidiaries that have non-controlling interests that are material to the reporting entity (i.e., the Group) is disclosed separately when applicable.

Investment in subsidiaries – Company

The Company determines impairment for investment in subsidiaries that are quoted, based on the market price as at 31st March of each financial year. An appropriate valuation technique is used to determine possible impairment for investments in unquoted subsidiaries.

Non Controlling Interest

Non controlling interest which represents the portion of profit or loss and net assets not held by the Group, are shown as a component of profit or loss for the year in the Consolidated Statement of Profit or Loss and Other Comprehensive Income and as a component of equity in the Consolidated Statement of Financial Position, separately from the Parent's shareholders' equity.

3.1.4 Other Long-Term Investments

Investment in companies where the Group's holding is less than 20% and where the Group does not exercise significant influence and/or control over the financial and operating policies/decisions are accounted for on the basis stated in 3.3 below. The income from these investments is recognised only to the extent of dividend received.

3.1.5 Profits and Losses

The total profits and losses of the Company and its subsidiaries for the period are included in the consolidation. The proportion of the profit or loss after taxation attributable to non controlling interest shareholders of the subsidiaries is shown as a component of profit for the period in the Consolidated Statements of Comprehensive Income.

3.1.6 Assets and Liabilities

All assets and liabilities of the Company and its subsidiaries are included in the Consolidated Statement of Financial Position. Non controlling interest which represents the proportion of interest attributable to non controlling interest of subsidiaries in the net assets employed by the Group is disclosed as a component of equity in the Consolidated Statement of Financial Position, separately from the Parent shareholders' equity.

3.1.7 Transactions Eliminated on Consolidation

All intra group balances and transactions, income and expenses and profits and losses resulting from intra group transactions that are recognised in assets, liabilities, income and expenses are eliminated in preparing the consolidated financial statements.

3.1.8 Financial Period

All subsidiaries and associate companies of the Group have a common financial year as the Parent Company.

3.1.9 Foreign Currency Transactions

All foreign currency transactions are translated to Sri Lankan Rupees at the exchange rates prevailing at the dates of the transactions.

Monetary assets and liabilities denominated in foreign currencies at the reporting date are retranslated into local currency at the exchange rate at that date.

Non-monetary assets and liabilities denominated in foreign currencies that are measured at fair value are retranslated to the functional currency at the exchange rate at the date that the fair value was determined. Non-monetary items in a foreign currency that are measured based on historical cost are translated using the exchange rate at the date of the transaction.

Foreign currency differences arising on retranslation are recognised in the Statement of Profit or Loss and Other Comprehensive Income.

3.2 Property, Plant & Equipment

3.2.1 Recognition and Measurement

Items of property, plant & equipment are measured at cost less accumulated depreciation and accumulated impairment losses.

Cost includes expenditure that is directly attributable to the acquisition of the asset. The cost of self-constructed assets includes the following:

- The cost of materials and direct labour
- Any other costs directly attributable to bringing the assets to a working condition for their intended use
- When the entity has an obligation to remove the asset or restore the site an estimate of the costs of dismantling and removing the items and restoring the site on which they are located
- Capitalised borrowing costs

When parts of an item of property, plant & equipment have different useful lives, they are accounted for as separate items (major components) of property, plant & equipment.

Any gain or loss on disposal of an item of property, plant & equipment (calculated as the difference between the net proceeds from disposal and the carrying amount of the item) is recognised in the Statement of Profit or Loss and Other Comprehensive Income.

Upon transition to SLFRSs/LKASs the Group elected to apply the optional exemption to use the previous revaluation as deemed cost on 1st April, 2011, the date of transition.

3.2.2 Subsequent Expenditure

The cost of replacing part of an item of property, plant & equipment is recognised in the carrying amount of the item if it is probable that the future economic benefits embodied within the part will flow to the Group and its cost can be measured reliably. The carrying amount of those parts that are replaced is derecognised in accordance with the derecognition policy given below. The costs of the day-to-day servicing of property, plant & equipment are recognised in profit or loss as incurred.

3.2.3 Derecognitions and Depreciations

Derecognition

Items of property, plant & equipment are derecognised upon replacement, disposal or when no future economic benefits are expected from its use. Any gain or loss arising on derecognition of the asset is included in the Statement of Profit or Loss and Other Comprehensive Income in the year the asset is derecognised.

Depreciation

Depreciation is calculated on a straight-line basis over the estimated useful lives of each part of an item of property, plant & equipment. Assets held under finance leases are depreciated over the shorter of the lease term and the useful lives of equivalent owned assets. Freehold land is not depreciated.

Depreciation of an asset begins when it is available for use and ceases at the earlier of the dates on which the asset is classified as held for sale or is derecognised.

Provision for depreciation is calculated by using a straight-line method on the cost or valuation of all property, plant & equipment, other than freehold land, in order to write off such amounts over the estimated useful economic life of such assets.

The estimated useful lives of assets are as follows:

Assets	Years
Freehold Buildings	10 - 40
Plant & Machinery	04 - 13 1/3
Motor Vehicles	04 - 05
Office Equipment	08 - 10
Furniture & Fittings	08 - 10
Computer Equipment	04 - 05
Sanitation, Water Supply and Electricity	20
Mature Plantations – Tea	33 1/3
Mature Plantations – Rubber	20
CTC Machinery	20

Assets	Years
Freehold Buildings on Leasehold Lands	Over the lease period or estimated useful life whichever is shorter
Linen, Cutlery & Crockery	On replacement basis / 4 years

The useful life and residual value of assets are reviewed, and adjusted if required, at the end of each financial year.

3.2.4 Finance Leases

Property, plant & equipment on finance leases, which effectively transfer to the Group substantially all the risk and benefits incidental to ownership of the leased items, are classified as leasehold assets under the property, plant & equipment and stated at an amount equal to the lower of their fair value and the present value of minimum lease payments at the inception of the lease, less the accumulated depreciation. Depreciation is made over the remaining lease or the useful life of the asset, whichever is shorter.

3.2.5 Operating Leases

Leases, where the lessor effectively retains substantially all of the risks and benefits of ownership over the term of the lease, are classified as operating leases. Lease payments are recognised as an expense in the Statement of Profit or Loss and Other Comprehensive Income over the term of the lease.

3.2.6 Investment Property

Investment property is property held either to earn rental income or for capital appreciation or for both, but not held for sale in the ordinary course of business, used in the production or supply of goods or services or for administrative purposes.

Cost includes expenditure that is directly attributable to the acquisition of the investment property. The cost of self constructed investment property includes the cost of materials and direct labour, any other costs directly attributable to bringing the investment property to a working condition for their intended use and capitalised borrowing costs.

Upon transition to SLFRSs/LKASs the Group elected to apply the optional exemption to use fair value as at the date of transition, 1st April 2011 as deemed cost. Consequently, investment property is measured at deemed cost less accumulated depreciation and any impairment losses. Depreciation is recognised on a straight-line basis over the estimated useful life of the investment property.

The estimated useful life of investment properties in the Group are as follows:

York Arcade Building - 33 year
C.W. Mackie Building - 40 year

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Investment properties are derecognised when disposed of, or permanently withdrawn from use because no future economic benefits are expected. Any gains or losses on retirement or disposal are recognised in the Statement of Profit or Loss and Other Comprehensive Income in the year of retirement or disposal. Transfers are made to and from investment property only when there is a change in use in accordance with the criteria listed in LKAS 40 - Investment Property.

Where Group companies occupy a significant portion of the investment property of a subsidiary, such investment properties are treated as property, plant & equipment in the consolidated financial statements, and accounted for in accordance with LKAS 16 - Property, Plant & Equipment.

3.2.7 Borrowing Costs

Borrowing costs are recognised as an expense in the period in which they are incurred except those that are directly attributable to the acquisition, construction or production of a qualifying asset that takes a substantial period of time to get ready for its intended use or sale, where it is capitalised as a part of the cost of that asset.

3.2.8 Intangible Assets

An intangible asset is initially recognised at cost, if it is probable that future economic benefit will flow to the enterprise, and the cost of the asset can be measured reliably.

Following initial recognition, intangible assets are carried at cost less any accumulated amortisation and any accumulated impairment losses.

Intangible assets with finite lives are amortised over the useful economic life, from the date that they are available for use and assessed for impairment whenever there is an indication that the intangible asset may be impaired.

The amortisation period and the amortisation method for an intangible asset with finite useful life is reviewed at least once at each financial year end.

Intangible assets with indefinite useful lives are tested for impairment annually either individually or at the cash-generating unit level.

Goodwill

Goodwill arising on an acquisition represents the excess of the cost of acquisition over the fair value of net assets acquired. Goodwill is measured at cost less accumulated impairment losses.

Gain from bargain purchase arising on an acquisition represents the excess of the fair value of the net assets acquired over the cost of acquisition. Gain from bargain purchase is recognised immediately in the Statement of Profit or Loss and Other Comprehensive Income.

Software

All computer software cost incurred, which are not internally related to associate hardware, which can be clearly identified, reliably measured and its probable that they will lead to future economic benefits, are included in the Statement of Financial Position under the category of intangible assets.

3.2.9 Inventories

Inventories are measured at lower of cost and estimated net realisable value.

In general, cost is determined on weighted average basis other than in following companies whose cost of inventory is determined on first-in, first out basis (FIFO). The cost includes all expenses incurred in acquiring the inventories and bringing them to their existing condition. In the case of finished products, cost includes all direct expenditure and production overheads based on the normal level of activity.

E.B. Creasy & Company PLC

Creasy Foods Limited

Laxapana Batteries PLC

C.W. Mackie PLC - Import items

Net realisable value is the estimated selling price in the ordinary course of business less the estimated selling expenses and where applicable, cost of conversion from their existing state to the finished condition, allowing for costs of realisation and where applicable, cost of conversion from their existing state to the finished condition.

Provision is made for obsolete, slow moving and defective inventories where necessary.

3.2.10 Non-current assets held for sale

Non-current assets that are expected to be recovered primarily through a disposal rather than through continuing use are classified as held for sale. Immediately before classification as held for sale, these assets (or components of a disposal group) are re-measured in accordance with the Group's accounting policies. Thereafter the assets (or disposal group) are measured at the lower of their carrying amount and fair value less cost to sell. Any impairment loss on the above assets is first allocated to goodwill and then to the remaining assets and liabilities on a pro-rata basis, except that no loss is allocated to inventories, financial assets, deferred tax assets, employee benefit assets and investment property, which are continued to be measured in accordance with the Group's accounting policies.

Impairment losses on initial classification as held for sale and subsequent gains or losses on re-measurement are recognised in the income statement. Gains are not recognised in excess of any cumulative impairment loss. Once classified as held for sale, intangible assets and property, plant and equipment are no longer amortised or depreciated, and any equity-accounted investee is no longer accounted.

3.3 Financial Instruments

3.3.1 Non-Derivative Financial Assets

The Group initially recognises loans and receivables on the date that they are originated. All other financial assets (including assets designated as fair value through profit or loss) are recognised initially on the trade date, which is the date that the Group becomes a party to the contractual provisions of the instrument.

The Group derecognises a financial asset when the contractual rights to the cash flows from the asset expire, or it transfers the rights to receive the contractual cash flows in a transaction in which substantially all the risks and rewards of ownership of the financial asset are transferred. Any interest in such transferred financial assets that is created or retained by the Group is recognised as a separate asset or liability.

The Group classifies non-derivative financial assets into the following categories: financial assets at fair value through profit or loss, held-to-maturity financial assets, loans and receivables and available-for-sale financial assets.

(a) Financial Assets at Fair Value through Profit or Loss

A financial asset at fair value through profit or loss includes financial assets held for trading and financial assets designated upon initial recognition at fair value through profit or loss. Financial assets are classified as held for trading if they are acquired for the purpose of selling or repurchasing in the near term. Financial assets at fair value through profit or loss are carried in the Statement of Financial Position at fair value with changes in fair value recognised in the Statement of Profit or Loss and Other Comprehensive Income.

Financial assets designated as fair value through profit or loss comprises equity securities that otherwise would have been classified as available-for-sale.

(b) Loans and Receivables

Loans and receivables are non-derivative financial assets with fixed or determinable payments that are not quoted in an active market.

After initial measurement, such financial assets are subsequently measured at amortised cost using the effective interest rate method (EIR), less impairment. Amortised cost is calculated by taking into account any discount or premium on acquisition and fees or costs that are an integral part of the EIR. The EIR amortisation is included in finance income in the Statement of Profit or Loss and Other Comprehensive Income. The losses arising from impairment are recognised in the Statement of Profit or Loss and Other Comprehensive Income.

Loans and receivables comprise of cash and cash equivalent, and trade and other receivables.

Cash and Cash Equivalents

Cash and cash equivalents comprise of cash balances and short term deposits with maturities of three months or less from the acquisition date that are subject to an insignificant risk of changes in their fair value, and are used by the Group in the management of its short-term commitments.

(c) Held-to-Maturity Investments

Non-derivative financial assets with fixed or determinable payments and fixed maturities are classified as held-to-maturity when the Group has the positive intention and ability to hold it to maturity. After initial measurement, held-to-maturity investments are measured at amortised cost using the effective interest method, less impairment. Amortised cost is calculated by taking into account any discount or premium on acquisition and fees or costs that are an integral part of the EIR. The EIR amortisation is included as finance income in the Statement of Profit or Loss and Other Comprehensive Income. The losses arising from impairment are recognised in the Statement of Profit or Loss and Other Comprehensive Income.

(d) Available-for-Sale Financial Investments

Available-for-sale financial investments include equity and debt securities. Equity investments classified as available-for-sale are those, which are not classified in any of the other categories. Debt securities in this category are those which are intended to be held for an indefinite period of time and which may be sold in response to needs for liquidity or in response to changes in the market conditions.

Available-for-sale financial assets are recognised initially at fair value plus any directly attributable transaction cost.

After initial measurement, available-for-sale financial investments are subsequently measured at fair value and changes therein, other than impairment losses are recognised in other comprehensive income and presented in the available-for-sale reserve in equity until the investment is derecognised. When an investment is derecognised, the gain or loss accumulated in the equity is reclassified to the Statement of Profit or Loss and Other Comprehensive Income.

3.3.2 Derecognition

A financial asset (or, where applicable a part of a financial asset or part of a group of similar financial assets) is derecognised when the rights to receive cash flows from the asset have expired. The Group has transferred its rights to receive cash flows from the asset or has assumed an obligation to pay the received cash flows in full without material delay to a third party under a 'pass-through' arrangement; and either

- the Group has transferred substantially all the risks and rewards of the asset, or
- the Group has neither transferred nor retained substantially all the risks and rewards of the asset, but has transferred control of the asset.

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When the Group has transferred its rights to receive cash flows from an asset or has entered into a pass-through arrangement, and has neither transferred nor retained substantially all of the risks and rewards of the asset nor transferred control of it, the asset is recognised to the extent of the Group's continuing involvement in it.

In that case, the Group also recognises an associated liability. The transferred asset and the associated liability are measured on a basis that reflects the rights and obligations that the Group has retained. Continuing involvement that takes the form of a guarantee over the transferred asset is measured at the lower of the original carrying amount of the asset and the maximum amount of consideration that the Group could be required to repay.

3.3.3 Impairment of Non-Derivative Financial Assets

The Group assesses at each reporting date whether there is any objective evidence that a financial asset or a group of financial assets is impaired. A financial asset or a group of financial assets is deemed to be impaired if, and only if, there is objective evidence of impairment as a result of one or more events that has occurred after the initial recognition of the asset (an incurred 'loss event') and that loss event has an impact on the estimated future cash flows of the financial asset or the group of financial assets that can be reliably estimated.

Objective evidence of impairment may include indications that the debtors or a group of debtors are experiencing significant financial difficulty, default or delinquency in interest or principal payments, the probability that they will enter bankruptcy or other financial reorganisation and where observable data indicate that there is a measurable decrease in the estimated future cash flows, such as changes in arrears or economic conditions that correlate with defaults. In addition, for an investment in an equity security, a significant or prolonged decline in its fair value below its cost is objective evidence of impairment.

(a) Financial Assets Measured at Amortised Cost

The Group considers evidence of impairment for financial assets measured at amortised cost (loans and receivables and held-to-maturity investment securities) at both a specific asset and collective level. All individually significant assets are assessed for specific impairment. Those found not to be specifically impaired are then collectively assessed for any impairment that has been incurred but not yet identified. Assets that are not individually significant are collectively assessed for impairment by grouping together assets with similar risk characteristics.

In assessing collective impairment, the Group uses historical trends of the probability of default, the timing of recoveries and the amount of loss incurred, adjusted for the management's judgement as to whether current economic and credit conditions are such that the actual losses are likely to be greater or less than suggested by historical trends.

An impairment loss in respect of a financial asset measured at amortised cost is calculated as the difference between its carrying amount and the present value of the estimated future cash flows discounted at the asset's original effective interest rate. Losses are recognised in profit or loss and reflected in an allowance account against loans and receivables or held-to-maturity investment securities. Interest on the impaired asset continues to be recognised. When an event occurring after the impairment was recognised causes the amount of impairment loss to decrease, the decrease in impairment loss is reversed through profit or loss in the Statement of Profit or Loss and Other Comprehensive Income.

(b) Available-for-Sale Financial Assets

Impairment losses on available-for-sale financial assets are recognised by reclassifying the losses accumulated in the fair value reserve in equity to profit or loss. The cumulative loss that is reclassified from equity to profit or loss is the difference between the acquisition cost, net of any principal repayment and amortisation, and the current fair value, less any impairment loss recognised previously in profit or loss. Changes in cumulative impairment losses attributable to application of the effective interest method are reflected as a component of interest income. If, in a subsequent period, the fair value of an impaired available-for-sale debt security increases and the increase can be related objectively to an event occurring after the impairment loss was recognised, then the impairment loss is reversed, with the amount of the reversal recognised in profit or loss. However, any subsequent recovery in the fair value of an impaired available-for-sale equity security is recognised in other comprehensive income.

3.3.4 Non-Derivative Financial Liabilities

Financial liabilities within the scope of LKAS 39 are classified as financial liabilities at fair value through profit or loss, loans and borrowings, or as derivatives as appropriate and determine the classification of its financial liabilities at initial recognition.

The Group initially recognises debt securities issued and subordinated liabilities on the date that they are originated. All other financial liabilities (including liabilities designated as at fair value through profit or loss) are recognised initially on the trade date, which is the date that the Group becomes a party to the contractual provisions of the instrument.

The Group derecognises a financial liability when its contractual obligations are discharged, cancelled or expired. All financial liabilities are recognised initially at fair value and in the case of loans and borrowings, plus directly attributable transaction costs.

The Group classifies non-derivative financial liabilities into the other financial liabilities category. Such financial liabilities are recognised initially at fair value less any directly attributable transaction costs. Subsequent to initial recognition, these financial liabilities are measured at amortised cost using the effective interest method.

Other financial liabilities include trade and other payables, bank overdrafts, loans and borrowings and financial guarantee contracts.

(a) Borrowings

After initial recognition, interest bearing loans and borrowings are subsequently measured at amortised cost using the effective interest rate method. Gains and losses are recognised in profit or loss when the liabilities are derecognised as well as through the effective interest rate method (EIR) amortisation process.

Amortised cost is calculated by taking into account any discount or premium on acquisition and fees or costs that are an integral part of the EIR. The EIR amortisation is included as finance costs in the Statement of Profit or Loss and Other Comprehensive Income.

(b) Financial Guarantee Contracts

Financial guarantee contracts issued by the Group are those contracts that require a payment to be made to reimburse the holder for a loss it incurs because the specified debtor fails to make a payment when due in accordance with the terms of a debt instrument. Financial guarantee contracts are recognised initially as a liability at fair value, adjusted for transaction costs that are directly attributable to the issuance of the guarantee. Subsequently, the liability is measured at the higher of the best estimate of the expenditure required to settle the present obligation at the reporting date and the amount recognised less cumulative amortisation.

(c) Bank Overdrafts

Bank overdrafts that are repayable on demand and form an integral part of the Group's cash management are included as a component of cash and cash equivalents for the purpose of the statement of cash flows.

(d) Share Capital/Ordinary Shares

Ordinary shares are classified as equity. Incremental costs directly attributable to the issue of ordinary shares are recognised as a deduction from equity, net of any tax effects.

3.3.5 Derivative-Financial Instruments

Derivatives, including separated embedded derivatives are also classified as held for trading unless they are designated as effective hedging instruments. Financial assets at fair value through profit and loss are carried to the Statement of Financial Position at fair value with changes in fair value recognised in finance income or finance costs in the Statement of Profit or Loss and Other Comprehensive Income.

3.3.6 Offsetting of Financial Instruments

Financial assets and financial liabilities are offset and the net amount reported in the consolidated Statement of Financial Position if, and only if, there is a currently enforceable legal right to offset the recognised amounts and there is an intention to settle on a net basis, or to realise the assets and settle the liabilities simultaneously.

3.3.7 Impairment of Non-Financial Assets

The carrying amounts of the Group's non-financial assets, other than biological assets, investment property, inventories and deferred tax assets, are reviewed at each reporting date to determine whether there is any indication of impairment. If any such indication exists, or when annual impairment testing for an asset is required, the Group makes an estimate of the asset's recoverable amount.

An asset's recoverable amount is the higher of an asset's or cash generating unit's (CGUs) fair value less costs to sell and its value in use and is determined for an individual asset, unless the asset does not generate cash inflows that are largely independent of those from other assets or groups of assets. Where the carrying amount of an asset exceeds its recoverable amount, the asset is considered impaired and is written down to its recoverable amount.

Impairment losses are recognised in profit or loss except for impairment losses in respect of property, plant & equipment which are recognised against the revaluation reserve to the extent that it reverses a previous revaluation surplus.

An assessment is made at each reporting date as to whether there is any indication that previously recognised impairment losses may no longer exist or may have decreased. Previously recognised impairment losses other than in respect of goodwill, are reversed only if there has been an increase in the recoverable amount of the asset. Such increase is recognised to the extent of the carrying amount had no impairment losses been recognised previously.

3.4 Employee Benefits

(a) Defined Benefit Plans - Retirement Gratuity

A defined benefit plan is a post-employment benefit plan other than a defined contribution plan.

The Group's net obligation in respect of defined benefit plans is calculated separately for each plan by estimating the amount of future benefit that employees have earned in return for their service in the current and prior periods; that benefit is discounted to determine its present value. Any unrecognised past service costs and the fair value of any plan assets are deducted.

The defined benefit obligation is calculated annually by independent qualified actuaries using Project Unit Credit method (PUC) as recommended by LKAS 19 - Employee Benefits. The present value of the defined benefit obligation is determined by discounting the estimated future cash flows.

The actuarial gain or losses arising from defined benefit plans are recognised immediately in Other Comprehensive Income.

However, according to the Payment of Gratuity Act No. 12 of 1983, the liability for the gratuity payment to an employee arises only on the completion of 5 years of continued service.

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(b) Defined Contribution Plan - Employees' Provident Fund & Employees' Trust Fund

A defined contribution plan is a post-employment benefit plan under which an entity pays fixed contributions into a separate entity and has no legal or constructive obligation to pay further amounts. All employees who are eligible for Provident Fund Contributions and Trust Fund Contributions are covered by relevant contribution funds in line with respective statutes and regulations.

Obligations for contributions to defined contribution plans are recognised as an employee benefit expense in profit or loss in the periods during which related services are rendered by employees.

3.5 Provisions, Contingent Assets and Contingent Liabilities

Provisions are made for all obligations present, legal or constructive obligations existing as at the reporting date when it is probable that such an obligation will result in an outflow of resources and a reliable estimate can be made of the quantum of the outflow.

All contingent liabilities are disclosed as a note to the financial statements unless the outflow of resources is remote.

Contingent assets are disclosed, where inflow of economic benefit is probable.

3.6 Statement of Profit or Loss and Other Comprehensive Income

3.6.1 Revenue Recognition

Revenue is recognised to the extent that it is probable that the economic benefits will flow to the Group, and the revenue and associated costs incurred or to be incurred can be reliably measured. Revenue is measured at the fair value of the consideration received or receivable, net of trade discounts and value added taxes, after eliminating sales within the Group.

Revenue is generally accounted for on an accrual basis and following specific criteria are used for recognition of revenue:

(a) Sale of Goods

Revenue from the sale of goods is recognised when the significant risk and rewards of ownership of the goods have passed to the buyer with the Group retaining neither a continuing managerial involvement to the degree usually associated with ownership, nor an effective control over the goods sold.

(b) Rendering of Services

Revenue from rendering of services is recognised in Statement of Profit or Loss and Other Comprehensive Income in the accounting period in which the services are rendered or performed.

(c) Revenue from Construction Contracts

Revenue from construction contracts are calculated on the basis of the percentage completion method.

Revenue is accounted proportionately and accrued accordingly on the jobs which are substantially completed as at the reporting date. The stage of completion is assessed by reference to the surveys of work performed.

(d) Revenue from Hotel Services

Apartment revenue is recognised on the rooms occupied on a daily basis and food and beverage and other hotel related sales are recognised at the point of sale.

(e) Dividend Income

Dividend income is recognised when the shareholders' right to receive such dividend is established.

3.6.2 Expenditure Recognition

All expenditure incurred in the running of the business and in maintaining the property, plant & equipment in a state of efficiency has been charged to Statement of Profit or Loss and Other Comprehensive Income in arriving at the profit for the year. Expenditure incurred for the purpose of acquiring and extending or improving assets of a permanent nature by means of which to carry on the business or for the purpose of increasing the earning capacity of the business has been treated as capital expenditure.

For the purpose of presentation of the Statement of Profit or Loss and Other Comprehensive Income, the "function of expenses" method has been adopted, on the basis that it presents fairly the elements of the Company and the Group's performance.

3.6.3 Finance Income and Finance Cost

Finance income comprises interest income on funds invested (including available-for-sale financial assets). Interest income is recognised as it accrues in the Statement of Profit or Loss and Other Comprehensive Income, using the effective interest method.

Finance costs comprise of all interest and other costs incurred in connection with borrowings, and are recognised as an expense in the period in which they are incurred, unless they are incurred in respect of qualifying assets in which case it is capitalised.

Foreign currency gains and losses are reported on a net basis as either finance income or finance cost depending on whether foreign currency movements are in a net gain or net loss position.

3.7 Income Tax Expenses

Income tax expense comprises of current and deferred tax. Income tax expense is recognised in Statement of Profit or Loss and Other Comprehensive Income except to the extent that it relates to items

recognised directly in other comprehensive income or Changes in Equity, in which case it is recognised directly in the respective statement.

3.7.1 Current Tax

Current tax is the expected tax payable on the taxable income for the year, using tax rates enacted at the reporting date and any adjustments to tax payable in respect of previous years.

The provision for income tax is based on the elements of income and expenditure as reported in the financial statements and computed in accordance with the provisions of the Inland Revenue Act, No.10 of 2006 and subsequent amendments thereto.

3.7.2 Deferred Tax

Deferred taxation is the tax attributable to the temporary differences that arise when taxation authorities recognise and measure assets and liabilities with rules that differ from those used in the financial statements.

Deferred tax is provided using the liability method, on temporary differences at the reporting date between the tax bases of assets and liabilities and their carrying amounts for financial reporting purposes.

Deferred tax assets are recognised for all deductible temporary differences, unused tax credits and tax losses carried forward to the extent that it is probable that future taxable profit will be available against which the deductible temporary differences, the unused tax credits and tax losses carried forward can be utilised.

Deferred tax is not recognised for the following temporary differences:

- Taxable temporary differences arising on the initial recognition of goodwill
- Temporary differences on the initial recognition of assets or liabilities in a transaction that is not a business combination and that affects either accounting nor taxable profit
- Temporary differences related to investments in subsidiaries to the extent that they probably will not reverse in the foreseeable future.

Deferred tax is measured at the tax rates that are expected to be applied to the temporary differences when they reverse, based on the laws that have been enacted or substantively enacted by the reporting date.

A deferred tax asset is recognised only to the extent that it is probable that future taxable profits will be available against which the temporary difference can be utilised. Deferred tax assets are reviewed at each reporting date and are reduced to the extent that it is no longer probable that the related tax benefit will be realised. Tax withheld in dividend income from subsidiaries and associates is

recognised as an expense in the consolidated Statement of Profit or Loss and Other Comprehensive Income at the same time as the liability to pay the related dividend is recognised.

Deferred tax assets and liabilities recognised by individual companies within the Group are disclosed separately as assets and liabilities in the Group Statement of Financial Position and are not offset against each other.

3.8 Accounting Policies which are Specific to the Business of Plantation Companies

The plantation companies in the Group adopt certain accounting policies, which differ from that of the Group since the nature of operation of the plantation companies is significantly different from that of the rest of the Group. Those accounting policies of plantation companies that significantly vary from the rest of the Group are given below:

3.8.1 Leasehold Properties

Leasehold properties comprise of leasehold rights of assets (bare lands and immovable lease assets) taken over from Janatha Estate Development Board (JEDB) / Sri Lanka State Plantation Corporation (SLSPC) on a long term basis.

Withdrawal of UITF Rulings in Plantation Sector

The Urgent Issue Task Force (UITF) rulings issued prior to 1st April, 2012 have been superseded by the Sri Lanka Accounting Standards with effect from 1st April, 2012. Consequently it is now required to treat transactions, in which any of UITF rulings applied, in accordance with the Sri Lanka Accounting framework effective from 1st April, 2012.

The Company has recorded Leasehold Property (Leasehold Right to the Land) and correspondent liability in terms of UITF ruling issued by The Institute of Chartered Accountants of Sri Lanka prior to 1st April, 2012. It has been superseded by the Statement of Recommended Practice (SORP) for Right-To-Use of Land on Lease which was approved by the Council of the Institute of Chartered Accountants of Sri Lanka on 19th December, 2012. Accordingly, the Leasehold Property is re-classified as "Right-To-Use of Land", corresponding net liability to lessor re-classified as "Liability to make lease payment". If facts or circumstances indicate that there would be a significant change in the liability to make lease payment since the previous reporting period, then the Company would elect to reassess the liability to make lease payment and right to use land at sufficient frequency to ensure that such liability and asset does not differ materially from its carrying amount.

Notes to the Financial Statements Contd.

Description of the Property	No. of Years
Bare Land of JEDB/SLSPC	53
Land Development Cost (Improvement to Land)	30
Buildings	25
Plant and Machinery	15
Water Projects and Sanitation	20
Mature Plantations - Tea	30
Mature Plantations - Rubber	30
Mature Plantations - Others	25
Road and Bridges	40
Fences and Securities	20
Power Augmentation	20
Vested Tea	30

3.8.2 Permanent Land Development Costs

Permanent land development costs are those costs incurred to make major changes to land contours to build new access roads and other major infrastructure development. Such expenditure on leasehold land has been capitalised and amortised over the remaining lease period. Permanent impairments to land development costs are charged to the Statement of Profit or Loss and Other Comprehensive Income in full or reduced to the net carrying amounts of such asset in the year of occurrence after ascertaining the loss.

3.8.3 Limited Life Land Development Costs (Mature and Immature Plantations)

The cost of new planting, replanting, inter-planting and crop diversification incurred between the time of field development and being ready for commercial harvesting are classified as immature plantations. Further, the general charges incurred on the plantation are apportioned on the labour days spent on respective replanting and new planting, and capitalised on the immature areas. The remaining portion of the general charges is charged to the Statement of Profit or Loss and Other Comprehensive Income in the year in which it is incurred. No depreciation is provided for immature plantation.

The total expenditure incurred on perennial crops (Tea & Rubber) which come into bearing during the year have been transferred to mature plantations and depreciated over its useful life time. No depreciation has been charged on mature plantations in the year of transfer. Permanent impairments to land development costs are charged to the Statement of Profit or Loss and Other Comprehensive Income in full or reduced to the net carrying amounts of such assets in the year of occurrence after ascertaining the loss.

3.8.4 Borrowing Cost

Borrowing costs that are directly attributable to acquisition, construction or production of a qualifying asset, which takes a substantial period of time to get ready for its intended use or sale, are capitalised as a part of the asset.

Borrowing costs that are not capitalised are recognised as expenses in the period in which they are incurred and charged to the Statement of Profit or Loss and Other Comprehensive Income.

The amounts of the borrowing costs which are eligible for capitalisation are determined in accordance with LKAS 23 – “Borrowing Costs”.

Borrowing costs incurred in respect of specific loans that are utilised for field development activities have been capitalised as a part of the cost of the relevant immature plantation. The capitalisation will cease when the crops are ready for commercial harvest.

3.8.5 Infilling Cost on Bearer Biological Assets

Where infilling results in an increase in the economic life of the relevant field beyond its previously assessed standard of performance, the costs are capitalised in accordance with Sri Lanka Accounting Standard No. 16 and depreciated over the useful life at rates applicable to mature plantation.

Infilling costs that are not capitalised have been charged to the Statement of Profit or Loss and Other Comprehensive Income in the year in which they are incurred.

3.8.6 Inventories

Finished Goods Manufactured from Agricultural Produce of Biological Assets.

These are valued at the lower of cost and estimated net realisable value, after making due allowance for obsolete and slow moving items. Net realisable value is the estimated selling price at which stocks can be sold in the ordinary course of business after allowing for cost of realisation and/or cost of conversion from their existing state to saleable condition.

Input Material	At average cost (Agarapatana Plantations Limited) At actual cost on FIFO basis (Kotagala Plantations PLC)
Growing Crop-Nurseries	At the cost of direct materials, direct labour and an appropriate proportion of directly attributable overheads less provision for overgrown plants.
Spares & Consumables	At actual cost on FIFO basis.
Produce Stocks	Estimated realisable price or since realised price

3.8.7 Grants and Subsidies

Grants are recognised where there is reasonable assurance that the grant will be received and all attaching conditions will be complied with. When the grant relates to an expense item, it is recognised as income over the period necessary to match the grant on a systematic basis to the costs that it is intended to compensate. Where the grant

relates to an asset, it is set up as deferred income. Where the Company receives non-monetary grants, the asset and that grant are recorded at nominal amounts and are released to the Statement of Profit or Loss and Other Comprehensive Income over the expected useful life of the relevant asset by equal annual instalments.

3.8.8 Revenue Recognition

Revenue is recognised to the extent that it is probable that the economic benefits will flow to the Company and the revenue can be reliably measured, regardless of when the payment is being made. Revenue is measured at the fair value of the consideration received or receivable, taking into account contractually defined terms of payment and excluding taxes or duty. The following specific criteria are used for the purpose of recognition of revenue:

- a) Revenue from the sale of goods is recognised when the significant risks and rewards of ownership of the goods have passed to the buyer, usually on delivery of the goods. Revenue is recorded at invoice value net of brokerage, sale expenses and other levies related to revenue.
- b) Gains and losses on disposal of an item of Property, Plant & Equipment are determined by comparing the net sales proceeds with the carrying amounts of Property, Plant & Equipment and are recognised within 'other operating income' in the Statement of Profit or Loss and Other Comprehensive Income.
- c) Interest is recognised on a time proportion basis that takes into account the effective interest rate on asset.
- d) Rental income is recognised on an accrual basis.
- e) Other income is recognised on accrual basis.

3.8.9 Retirement Benefit Obligations

The Retirement Benefit Plan adopted is as required under the Payment of Gratuity Act No.12 of 1983 to eligible employees. This item is grouped under Retirement Benefit Obligations in the Statement of Financial Position.

All Workers and Staff

Provision of gratuity for all workers and staff is on actuarial basis, using the Projected Unit Credit (PUC) method. The present value of the defined benefit obligation is determined by discounting the estimated future cash flows using the interest rates that are denominated in the currency in which the benefits will be paid, and that have terms to maturity approximating to the terms of the related liability. Actuarial gains and losses arising from experience adjustments and changes in actuarial assumptions are recognised as income and expense in the period in which they arise. Past service costs are recognised immediately in the Statement of Profit or Loss and Other Comprehensive Income.

The actuarial valuation was carried out by a professionally qualified actuary firm Messrs. Actuarial & Management Consultants (Private) Limited as at 31st March, 2017.

The Group expects to carry out actuarial valuation once in every two years. The key assumptions used by the actuary include the following.

- Rate of Interest - 12.5% p.a. (Net of Tax)
- Salary Increment Rate - Staff 10% per annum
- Workers 16% once in two years
- Retirement Age - Staff 60 years
- Workers 60 years
- Daily Wage Rate - Rs. 500/- for workers

3.8.10 Biological Assets

Biological assets are classified as mature biological assets and immature biological assets. Mature biological assets are those that have attained harvestable specifications or are able to sustain regular harvests. Immature biological assets are those that have not yet attained harvestable specifications. Tea, rubber, other plantations and nurseries are classified as biological assets.

Biological assets are further classified as bearer biological assets and consumable biological assets. Bearer biological asset includes tea trees, those that are not intended to be sold or harvested, however used to grow for harvesting agricultural produce from such biological assets. Consumable biological assets include managed timber that are to be harvested as agricultural produce or sold as biological assets.

The entity recognise the biological assets when, and only when, the entity controls the assets as a result of past event, it is probable that future economic benefits associated with the assets will flow to the entity and the fair value or cost of the assets can be measured reliably.

The bearer biological assets are measured at cost less accumulated depreciation and accumulated impairment losses, if any, in terms of LKAS 16 – Property Plant & Equipment.

The managed timber is measured on initial recognition and at the end of each reporting period at its fair value less cost to sell in terms of LKAS 41. The cost is treated as approximation to fair value of young plants as the impact on biological transformation of such plants to price during this period is immaterial. The fair value of timber trees are measured using Discounted Cash Flow (DCF) method taking into consideration the current market prices of timber, applied to expected timber content of a tree at maturity by an independent professional value.

Notes to the Financial Statements Contd.

The Main Variables in DCF Model Concerns;

Variable	Comment
Currency valuation	Rs.
Timber content	Estimate based on physical verification of girth, height and considering the growth of each species in different geographical regions. Factor all the prevailing statutory regulations enforced against harvesting of timber coupled with the forestry plan of the Company.
Economic useful life	Estimated based on the normal life span of each species by factoring the forestry plan of the Company.
Selling price	Estimated based on prevailing Sri Lankan market prices. Factor all the conditions to be fulfilled in bringing the trees into saleable condition.

Nursery cost includes the cost of direct materials, direct labour and an appropriate proportion of directly attributable overheads.

The gain or loss arising on initial recognition of biological assets at fair value less cost to sell and from a change in fair value less cost to sell of biological assets are included in the Statement of Profit or Loss and Other Comprehensive Income for the period in which it arises.

3.9 Statement of Cash Flows

The Statement of Cash Flows has been prepared using 'indirect method'. Interests paid are classified as operating cash flows while dividends paid are classified as financing cash flows. Interests and dividends received are classified as investing cash flows for the purpose of presentation of Statement of Cash Flows.

For the purpose of Statement of Cash Flows, cash & cash equivalents consist of cash at bank and in hand and short term deposits net of outstanding bank overdrafts.

3.10 Segmental Reporting

A segment is a distinguishable component of an enterprise that is engaged in either providing products or services (Business Segments) or in providing products or services within a particular economic environment (Geographic Segment) which is subject to risks and rewards that are different from those of other segments.

Segment information is presented in respect of the Group's business activities. The business segment has been identified as the primary segment of the Group as there are no distinguishable components to be identified as geographical segments for the Group. The business segments are reported based on the Group's management and internal reporting structure.

3.11 Related Party Transactions

Disclosures have been made in respect of the transactions between parties who are defined as related parties as per Sri Lanka Accounting Standards (LKAS) 24 – Related Party Disclosures.

3.12 Earnings per Share

The Group presents basic earnings per share (EPS) data for its ordinary shares. Basic EPS is calculated by dividing the profit or loss attributable to ordinary shareholders of the Company by the weighted average number of ordinary shares outstanding during the period. Diluted EPS is determined by adjusting the profit or loss attributable to ordinary shareholders and the weighted average number of ordinary shares outstanding for the effects of all dilutive potential ordinary shares.

3.13 Events after the Reporting Period

All material occurring events after the reporting period have been considered and appropriate adjustments to or disclosures have been made in the financial statements.

3.14 Financial Risk Management Policies

The Group's principal financial liabilities comprise of loans and borrowings, trade and other payables, and financial guarantee contracts. The main purpose of these financial liabilities is to finance the Group's operations and to provide guarantees to support its operations. The Group has loan and other receivables, trade and other receivables, and cash and short-term deposits that arrive directly from its operations. The Group also holds available-for-sale investments and enters into derivative transactions.

The Group is exposed to market risk, credit risk and liquidity risk. The Group's senior management monitors these risks. The Group's senior management is supported by an Audit Committee that advises on financial risks and the appropriate financial risk governance framework for the Group. The Audit Committee provides assurance to the Group's senior management that the Group's financial risk-taking activities are governed by appropriate policies and procedures and that financial risks are identified, measured and managed in accordance with group policies and group risk appetite.

The Group's objectives, policies and processes for measuring and managing risk from financial instruments and the management of capital are reported separately in Note 32 in conformity with Sri Lanka Financial Reporting Standards.

3.15 New Accounting Standards Issued But Not Effective as at the Reporting Date

The Institute of Chartered Accountants of Sri Lanka has issued the following standards which become effective for annual periods beginning after the current financial year. Accordingly these standards have not been applied in preparing these Financial Statements and the Group plans to apply these standards as and

when they become effective. The Group is currently in the process of evaluating the potential effects of adoption of these standards and amendments on its Financial Statements. Such impact has not been quantified as at the year end.

SLFRS 9 Financial Instruments

effective for annual periods beginning on or after 1st of January 2018.

The final version of SLFRS 9

Financial Instruments that replaces LKAS 39 - Financial Instruments: Recognition and Measurement and all previous versions of SLFRS 9. SLFRS 9 brings together all three aspects of the accounting for the financial instruments i.e. classification and measurement, impairment and hedge accounting. SLFRS 9 is effective for annual periods beginning on or after 1st January 2018, with early application is permitted. Except for hedge accounting, retrospective application is required, but providing comparative information is not compulsory. For hedge accounting the requirements are generally applied prospectively with some limited exceptions.

The Group plans to adopt the new standard on the required effective date. During the financial year, the Group has performed a high-level impact assessment of all three aspects of IFRS 9 and the Group expects no significant impact to its income statement or statement of financial position. This preliminary assessment is based on currently available information and may be subject to changes arising from further detailed analysis or additional reasonable and supportable information being made available to the Group in the future.

SLFRS 15 - Revenue from Contracts with Customers

effective for annual periods beginning on or after 1st of January 2018.

SLFRS 15 establishes a five-step model to account for revenue arising from contracts with customers. Under IFRS 15, revenue is recognised at an amount that reflects the consideration to which an entity expects to be entitled in exchange for transferring goods or services to a customer.

The new revenue standard will supersede all current revenue recognition requirements under SLFRS. Either a full retrospective application or a modified retrospective application is required for annual periods beginning on or after 1st January 2018. Early adoption is permitted. The Group plans to adopt the new standard on the required effective date using the full retrospective method. During 2016/2017, the Group performed a preliminary assessment of IFRS 15 and determined that its impact on the Financial Statements would be insignificant. However this is subject to changes arising from a more detailed ongoing analysis.

SLFRS 16 - Leases

effective for annual periods beginning on or after 1st of January 2019.

SLFRS 16 replaces LKAS 17 Leases and related interpretations (IFRIC 4 Determining whether an Arrangement contains a Lease, SIC-15 Operating Leases-Incentives and SIC-27 Evaluating the Substance of Transactions Involving the Legal Form of a Lease). SLFRS 16 sets out the principles for the recognition, measurement, presentation and disclosure of leases and requires lessees to account for all leases under a single on-balance sheet model similar to the accounting for finance leases under LKAS 17. The standard includes two recognition exemptions for lessees – leases of 'low-value' assets (e.g., personal computers) and short-term leases (i.e., leases with a lease term of 12 months or less). At the commencement date of a lease, a lessee will recognise a liability to make lease payments (i.e., the lease liability) and an asset representing the right to use the underlying asset during the lease term (i.e., the right-of-use asset). Lessees will be required to separately recognise the interest expense on the lease liability and the depreciation expense on the right-of-use asset.

Lessees will be also required to remeasure the lease liability upon the occurrence of certain events (e.g., a change in the lease term, a change in future lease payments resulting from a change in an index or rate used to determine those payments). The lessee will generally recognise the amount of the remeasurement of the lease liability as an adjustment to the right-of-use asset. Lessor accounting under SLFRS 16 is substantially unchanged from the current requirements under LKAS 17. Lessors will continue to classify all leases using the same classification principle as in LKAS 17 and distinguish between two types of leases: operating and finance leases. SLFRS 16 also requires lessees and lessors to make more extensive disclosures than under LKAS 17. SLFRS 16 is effective for annual periods beginning on or after 1st January 2019. Early application is permitted, but not before an entity applies SLFRS 15. A lessee can choose to apply the standard using either a full retrospective or a modified retrospective approach. The standard's transition provisions permit certain reliefs.

In 2017/2018, the Group plans to assess the potential effect of SLFRS 16 on its consolidated Financial Statements.

Notes to the Financial Statements Contd.

For the year ended 31 March,	GROUP		COMPANY	
	2017 Rs.'000	2016 Rs.'000	2017 Rs.'000	2016 Rs.'000
4 REVENUE				
4.1 Summary				
Gross Revenue	42,766,903	38,471,884	29,900	95,523
Less: Revenue Related Taxes	(1,750,429)	(1,611,780)	-	-
Net Revenue	41,016,474	36,860,104	29,900	95,523
4.2 Business Segment Analysis				
Trading of Consumer Products	27,066,892	21,348,899	-	-
Trading of Industrial Products	10,864,308	12,000,050	-	-
Leisure	1,414,470	1,299,017	-	-
Plantations	6,604,854	6,621,958	-	-
Others	931,958	1,141,306	29,900	95,523
	46,882,482	42,411,230	29,900	95,523
Less: Inter-Segment Revenue	(5,866,008)	(5,551,126)	-	-
Net Revenue	41,016,474	36,860,104	29,900	95,523
5 OTHER INCOME / (EXPENSES)				
5.1 Other Income				
Gain on Disposal of Property, Plant and Equipment	86,290	68,331	-	-
Dividend Income	35,135	25,480	151,012	91,040
Sale of Rubber Trees	95,910	102,107	-	-
Amortisation of Grants and Subsidies	21,326	21,227	-	-
Net Gain on Disposal of Available for Sale Financial Assets	365	38,054	-	-
Net Gain on Disposal of Subsidiaries / Associates	-	-	-	72,944
Commission Income	23,071	169,685	7,044	6,802
Sale of Timber & Scraps	44,441	5,961	-	-
Creditors No Longer payable Written Back	7,719	15,060	-	-
Change in Fair Value of Biological Assets	150,006	85,229	-	-
Rental Income	132,370	137,566	-	-
Gain from Bargain Purchase	-	193	-	-
Sundry Income	119,220	111,702	19,641	3,155
	715,853	780,595	177,697	173,941
5.2 Other Expenses				
Loss on Change in Fair Value of Financial Assets Held for Trading	1,164	202,029	-	-
Impairment on Inventories	83,550	97,815	-	-
Net Loss on Disposal of Subsidiaries (Inter Group)	-	-	682	-
Impairment of Trade and Other Receivables	38,816	151,933	-	-
Impairment of Goodwill	-	54,722	-	-
Impairment loss on Property Plant and Equipment	21,773	19,940	-	-
Impairment of Investment in Subsidiaries	-	-	4,241	57,012
Others	48,243	55,801	-	-
	193,546	582,240	4,923	57,012

	GROUP		COMPANY	
	2017 Rs.'000	2016 Rs.'000	2017 Rs.'000	2016 Rs.'000
6 NET FINANCE COST				
Finance Income				
Interest Income	36,185	51,907	43,160	33,388
Net Gain/(loss) on Translation of Foreign Currency	41,408	(72,451)	-	-
Total	77,593	(20,544)	43,160	33,388
Finance Costs				
Interest on Short-Term Loans - Related Parties	20,938	(30,508)	33,959	34,259
Interest on Loans	1,338,373	996,653	22,996	20,508
Interest on Finance Lease obligation	33,217	34,376	42	190
Interest on JEDB/SLPC Estate Lease	72,723	70,805	-	-
Debenture Interest	132,972	146,529	-	-
Interest on Bank Overdraft	420,448	209,522	9,853	7,810
Other Interest	327,155	295,373	-	-
Amount Capitalised	(155,561)	(155,230)	-	-
	2,190,265	1,567,520	66,850	62,767
	2,112,672	1,588,064	23,690	29,379
7 PROFIT BEFORE TAXATION				
Is stated after charging all expenses including the following:				
Audit Services				
KPMG	20,779	19,460	990	935
Other Auditors	14,440	13,067	-	-
Non-Audit Services				
KPMG	2,555	4,267	124	117
Other Auditors	3,179	2,734	-	-
Amortisation of Intangible assets	24,775	9,541	-	-
Depreciation and amortisation (Note 7.1)	1,258,473	1,216,968	3,145	4,909
Directors Remuneration	474,040	433,312	12,300	12,300
Staff Cost (Note 7.2)	7,495,071	7,514,553	-	-
Donations	3,846	3,081	50	50
7.1 Depreciation and amortisation				
Property, Plant & Equipment (Note 10.1 & 10.2)	1,160,910	1,161,699	1,870	3,634
Leasehold Properties (Note 11)	77,227	36,852	-	-
Investment Properties (Note 12)	20,366	18,417	1,275	1,275
	1,258,473	1,216,968	3,145	4,909
7.2 Staff Cost				
Salaries and Wages	6,238,594	6,391,228	-	-
Defined Contribution Plan Cost - EPF & ETF	814,407	664,030	-	-
Defined Benefit Plan Cost - Retiring Gratuity	442,070	459,295	-	-
	7,495,071	7,514,553	-	-

Notes to the Financial Statements Contd.

For the year ended 31st March,	GROUP		COMPANY	
	2017 Rs.'000	2016 Rs.'000 Restated	2017 Rs.'000	2016 Rs.'000
8 INCOME TAX EXPENSE				
Current Income Tax Expense (Note 8.1)				
Taxation on Profit for the Year	297,355	361,333	7,855	17,365
Under/(Over) Provision on Taxation in respect of previous years	38,754	1,470	-	-
	336,109	362,803	7,855	17,365
Deferred Tax Expense				
Origination/(Reversal) of Temporary Differences	(174,293)	(201,052)	(204)	(188)
	161,816	161,751	7,651	17,177
8.1 Current Income Tax Expense				
Reconciliation of Accounting Profit to Income Tax Expense				
Profit/Loss before Tax	(916,447)	(518,466)	130,103	152,560
Intra-Group Adjustments	306,160	(342,419)	-	-
	(610,287)	(860,885)	130,103	152,560
Aggregate Disallowed Expenses	2,851,492	3,893,214	75,917	74,572
Aggregate Allowable Items	(2,720,578)	(1,816,334)	(247,947)	(198,504)
Tax Exempt (Income)/Loss	(192,920)	(370,348)	-	-
Statutory Income/(Loss)	(672,293)	845,647	(41,927)	28,628
Other Source of Income	220,009	251,247	43,160	33,388
Tax Losses utilised during the year	(107,711)	(146,616)	(15,106)	-
Taxable Income/(Loss)	(559,995)	950,277	28,054	62,016
Income Tax @ 28%	262,703	304,309	7,855	17,365
Income Tax @ 20%	14,785	11,851	-	-
Income Tax @ 10 % & 12%	23,375	45,173	-	-
Income Tax at Other Rates	(3,508)	-	-	-
Current Income Tax Expenses	297,355	361,333	7,855	17,365
Tax Loss b/f	8,185,386	6,106,270	-	-
Adjustment in respect of prior Years	(137,479)	175,393	-	-
Tax Loss During the Year	1,800,305	2,050,339	41,927	-
Tax Loss Utilised	(107,711)	(146,616)	(15,106)	-
Tax Loss c/f	9,740,501	8,185,386	26,821	-

8.2 Income Tax Expense

The income tax provision of The Colombo Fort Land & Building PLC and its subsidiaries and equity accounted investees which are resident in Sri Lanka has been calculated on their adjusted profits at 28% in terms of the Inland Revenue Act No. 10 of 2006 and amendments thereto (other than in respect of companies / activities set out in notes 8.2.1 and 8.2.2 below).

Tax status of companies in the Group which are;

* enjoying income tax exemptions (Note 8.2.1)

* enjoying concessionary tax rates (Note 8.2.2)

on profit/income earned from ordinary activities of business.

8.2.1 Exemption from income tax

Company	Activity	Statute	Period
SunAgro Farms Limited	Profits from agricultural undertaking	Section 17 of the G.C.E.C. Law No. 04 of 1978. In accordance with the agreement entered into with the Board of Investment (BOI) of Sri Lanka under section 17.	10 years commencing from 31st May, 2008
Waverly Power (Private) Limited	Profit and income from Mini Hydro Power Project	Section 16C of Inland Revenue Act No. 10 of 2006 as amended by Act No. 22 of 2011 and Act No. 8 of 2012	6 years commencing from 2015/2016 to 2020/2021 after the exempt period, the income tax rate would be 12%.
York Hotels (Kandy) Limited	Hotel operations	Exempted under Section 17 of the G.C.E.C. Law No. 04 of 1978. However BOI has given a notice of cancellation and termination of all rights, privileges and benefits conferred on the enterprise under the conduct and operation of the project with effect from 23rd November 2002.	10 years from the year in which the company commences to make profits or within 5 years from the year the company commenced commercial operations, whichever is earlier. The Company is also entitled to a concessionary rate of tax at 2% of its turnover for 15 years immediately after the expiry of the said 10 years tax holiday.

8.2.2 Companies liable to tax at concessionary rates

Company	Activity	Statute	Period
Lankem Ceylon PLC	Relocation of Agro Chemical and Agro Seeds operations to Pannala	Section 21 of Inland Revenue Act No. 10 of 2006, the profit and income from relocated activities under GAMATA KARMANTHA PROJECT. Profits and income are exempt for a period of 5 years commencing from the year of assessment 2010/2011. The relocated activities liable for income tax 10% on its taxable income for the year of assessment 2016/17.	Indefinite
E.B.Creasy & Company PLC	Profit/income (other than any profit/income from the sale of any capital assets) earned in the factory located in Millewa	Section 21A of Inland Revenue (Amendment) Act No. 10 of 2006. Exempted For 5 years commencing 01st April, 2009. This exemption was expired during the financial year ended 31st March 2014 and the Company's profit / income earned in the factory located in Millewa during the year ended 31st March 2017 is taxed at 15%	Indefinite
Agrapata Plantations Limited	Profits from agricultural undertaking	10% under Section 16 of the Inland Revenue Act No. 10 of 2006	Indefinite
Beruwala Resorts PLC	Hotel operations	12% under Inland Revenue Act No. 10 of 2006 and subsequent amendments thereto	Indefinite
C.W. Mackie PLC and Subsidiaries	Taxable profits on non-traditional exports	12% under Inland Revenue Act No. 10 of 2006 and subsequent amendments thereto	Indefinite
Galle Fort Hotel (Private) Limited	Hotel operations	12% under Inland Revenue Act No. 10 of 2006 and subsequent amendments thereto	Indefinite
Kotagala Plantations PLC	Profits from agricultural undertaking	10% under Section 16 of the Inland Revenue Act No. 10 of 2006	Indefinite
Lankem Research Limited	Research activity	12% under Section 48 of the Inland Revenue Act No. 10 of 2006	Indefinite
Marawila Resorts PLC	Hotel operations	12 % under Section 17 (2) of the BOI Law No. 04 of 1978 and in terms of the Agreement Registration Number 368-29-6-92	Indefinite

Notes to the Financial Statements Contd.

Company	Activity	Statute	Period
Sigiriya Village Hotels PLC	Hotel operations	12% under Inland Revenue Act No. 10 of 2006 and subsequent amendments thereto	Indefinite
Lanka Special Steels Limited	Manufacturing, Importing & Exporting galvanised wire	20 % under BOI Law No. 04 of 1978 and in terms of the Agreement Registration Number 322	Indefinite
Lak Kraft (Priavte) Limited	Hotel operations	12% under Inland Revenue Act No. 10 of 2006 and subsequent amendments thereto	Indefinite
B.O.T Hotel Services (Private) Limited	Hotel operations	12% under Inland Revenue Act No. 10 of 2006 and subsequent amendments thereto	Indefinite

The income earned from activities other than those mentioned above are liable to income tax at the rate of 28%.

8.3 Lankem Technology Services Limited, Associated Farms (Private)Limited and Lankem Agrochemicals Limited were non operative during the year.

8.4 Deferred Tax Assets/Liabilities

Deferred tax has been calculated by applying the rate of 28% for subsidiaries which are liable for income tax at the standard rate for the assessment year 2016/17. The subsidiaries which are liable for income tax at reduced rates (below the standard rate) for the year of assessment 2016/17 have computed the deferred tax at the reduced rates.

- (i) No Provision has been made for deferred tax in the financial statements of York Hotels (Kandy) Limited, as no material temporary differences have arisen during the year which are expected to reverse in the future.
- (ii) No Deferred tax assets have been recognised in the financial statements of subsidiaries, namely, Agarapatana Plantations Limited, Colombo Fort Hotels Limited, Lankem Ceylon PLC, Lankem Developments PLC, Lankem Exports (Private) Limited, Lankem Consumer Products Limited, Lankem Reserch Limited, Lankem Paints Limited, Kelani Velley Canneries Limited, SunAgro Foods Limited, SunAgro Farms Limited, SunAgro Lifescience Limited, Lankem Chemicals Limited and Ceytra (Private) Limited in respect of tax losses carried forward because it is not probable that future taxable profit will be available against which these companies can utilise the benefit there from, and the tax losses carried forward are given below.

Unrecognised Deferred Tax Assets	2017 Rs. Mn.	2016 Rs. Mn.
Agarapatana Plantations Limited	243.3	172.9
Colombo Fort Hotels Limited	4.0	4.0
Lankem Ceylon PLC	386.0	162.6
Lankem Developments PLC	34.5	33.2
Lankem Exports (Private) Limited	7.8	8.1
Lankem Consumer Products Limited	53.8	53.8
Lankem Reserch Limited	1.6	9.5
Lankem Chemicals Limited	0.6	9.4
Lankem Paints Limited	25.0	26.3
Kelani Velley Canneries Limited	64.0	60.0
Muller & Phipps (Ceylon) PLC	26.2	26.7
SunAgro Foods Limited	89.1	76.1
SunAgro Farms Limited	16.6	5.9
SunAgro Lifescience Limited	6.9	-
Ceytra (Private) Limited	15.0	9.4

9 EARNINGS / (DEFICIT) PER SHARE

Earnings / (Deficit) per share is based on the Profit / (Loss) for the year attributable to equity holders of the Company divided by weighted average number of ordinary shares in issue during the year.

There were no potentially dilutive ordinary shares outstanding at any time during the year, hence diluted earnings per share is equal to the basic earnings per share.

	GROUP		COMPANY	
	2017	2016	2017	2016
Profit / (Loss) attributable to				
Equity Holders of the Company (Rs.'000)	(879,479)	(311,301)	122,452	135,383
Weighted Average Number of Ordinary Shares (No.'000)	180,000	180,000	180,000	180,000
Earnings / (deficit) Per Share (Rs.)	(4.89)	(1.73)	0.68	0.75

10 PROPERTY, PLANT & EQUIPMENT

10.1 Group

	Balance as at 31.03.2016 Rs.'000	Additions during the Year Rs.'000	Disposals/ Transfers during the Year Rs.'000	Transfer to Assets held for Sale Rs.'000	Balance as at 31.03.2017 Rs.'000
Cost					
Land (Access Roads)	69,315	-	-	-	69,315
Freehold					
Land (Note 10.3)	4,905,989	102,297	(2,050)	(139,499)	4,866,737
Buildings	6,160,836	153,070	(3,650)	(77,211)	6,233,045
Mature/Immature Plantations (Note 10.4)	6,224,102	1,269,443	(748,182)	-	6,745,363
Plant & Machinery	4,391,635	597,790	(42,078)	(114,354)	4,832,993
Motor Vehicles	1,234,408	145,457	(82,485)	(15,278)	1,282,102
Office Equipments	527,051	197,848	(4,461)	(6,206)	714,232
Furniture and Fittings	988,355	61,314	(74,398)	-	975,271
	24,501,691	2,527,219	(957,304)	(352,548)	25,719,058
Leasehold					
Buildings	111,524	-	-	-	111,524
Plant & Machinery	254,514	-	(73,360)	-	181,154
Motor Vehicles	380,449	13,074	(89,306)	-	304,217
Office Equipments	375	-	-	-	375
Furniture and Fittings	8,467	-	(6,880)	-	1,587
	755,329	13,074	(169,546)	-	598,857
Capital WIP*	412,243	324,046	(169,452)	-	566,837
Total Cost/Valuation	25,669,263	2,864,339	(1,296,302)	(352,548)	26,884,752

Notes to the Financial Statements Contd.

10 PROPERTY, PLANT & EQUIPMENT

10.1 Group Contd.

	Balance as at 31.03.2016 Rs.'000	Charge for the Year Rs.'000	Disposals/ Transfers during the Year Rs.'000	Transfer to Assets held for Sale Rs.'000	Balance as at 31.03.2017 Rs.'000
Accumulated Depreciation					
Land (Access Roads)	20,672	2,890	-	-	23,562
Freehold					
Buildings	1,161,769	202,253	(196)	(13,596)	1,350,230
Mature/Immature Plantations (Note 10.4)	917,138	166,780	-	-	1,083,918
Plant & Machinery	2,366,205	338,634	(35,569)	(111,418)	2,557,852
Motor Vehicles	862,446	159,870	(57,223)	(14,758)	950,335
Office Equipments	354,409	144,940	(5,340)	(4,820)	489,189
Furniture and Fittings	639,811	67,504	(67,569)	-	639,746
	6,322,450	1,082,871	(165,897)	(144,592)	7,094,832
Leasehold					
Buildings	4,576	4,409	-	-	8,985
Plant & Machinery	57,029	35,376	-	-	92,405
Motor Vehicles	274,921	38,254	(82,058)	-	231,117
Office Equipments	312	-	-	-	312
Furniture and Fittings	5,795	-	(4,208)	-	1,587
	342,633	78,039	(86,266)	-	334,406
Total Depreciation	6,665,083	1,160,910	(252,163)	(144,592)	7,429,238
Carrying Value	19,004,181				19,455,514
Impairment	(14,608)	-			(14,608)
Total Carrying Value of Property, Plant & Equipment	18,989,573				19,440,906

Note : The cost of fully depreciated Property Plant and equipment of the group which are still in use as at 31st March 2017 is Rs.2,670 million (2015/2016 - Rs. 1,460 million).

a) Capital Work in Progress

* Amount Transferred from capital work in progress during the year is included in additions.

b) C W Mackie PLC

Leasehold Immovable assets include Land and Building of CW Mackie PLC a subsidiary , which has premises No. 34 and 36 , D.R. Wijewardena Mawatha, Colombo 10 , and has been leased for a period of 60 years , 8 months and 10 days (being the residue of unexpired term under indenture of lease by the Crown dated 10th June 1925 granting the company a 99 year lease of the premises from the said date) in terms of the Grant to the Company dated 22nd September, 1964 under the Crown Lands Ordinance. At the time of handing over the possession of the premises, the company is not entitled to any compensation in respect of the land, buildings or improvements thereon. The leasehold land is accounted as an operating lease in accordance with LKAS - 17

c) Beruwala Resorts PLC

Beruwala Resorts PLC, a subsidiary has constructed a building on a land which was leased out from the Sri Lanka Tourism Development Authority for 30 years commencing from 1st August, 2007. The lease period will expire on 31st July, 2037. The company has paid lease rentals amounting to Rs. 1,836,000 in the year of 2016/ 2017 (2015/2016 - Rs.1,832,940)

d) Sigiriya Village Hotels PLC

Sigiriya Village Hotels PLC, a subsidiary have constructed building on a land which was leased out from Sri Lanka Tourism Development Authority for 30 years commencing from 2nd September 2009. The Company has paid Rs. 2,317,476/- in year 2016/2017 (2015/2016 - Rs. 1,805,572/-) The Lease period will expire on 1st Sep 2039.

- e) Each company in the group has evaluated both internal and external indications of impairment of long lived assets and has not identified presence of any of such indications at the end of the financial year, other than disclosed above.
- e) Property, Plant & Equipment pledged as securities in obtaining loans have been disclosed in Note 24.5 to these Financial Statements.

10.2 Company

Cost / Valuation	Balance as at 01.04.2016 Rs.'000	Additions during the Year Rs.'000	Disposals during the Year Rs.'000	Transfers during the Year Rs.'000	Balance as at 31.03.2017 Rs.'000
Freehold					
Office Equipment	9,927	1,326	-	-	11,253
Furniture and Fittings	9,472	38	-	-	9,510
Motor Vehicle	10,319	-	-	4,700	15,019
	29,718	1,364	-	4,700	35,782
Leasehold					
Motor Vehicle	4,700	-	-	(4,700)	-
	4,700	-	-	(4,700)	-
Total Cost	34,418	1,364	-	-	35,782
	Balance as at 01.04.2016 Rs.'000	Charge for the Year Rs.'000	Disposals during the Year Rs.'000	Transfers during the Year Rs.'000	Balance as at 31.03.2017 Rs.'000
Accumulated Depreciation					
Freehold					
Office Equipment	8,852	720	-	-	9,572
Furniture and Fittings	9,328	51	-	-	9,379
Motor vehicle	10,159	525	-	3,696	14,380
	28,339	1,295	-	3,696	33,331
Leasehold					
Motor Vehicle	3,121	574	-	(3,696)	-
	3,121	574	-	(3,696)	-
Total Accumulated Depreciation	31,461	1,870	-	-	33,331
Total Carrying Value of Property, Plant & Equipment	2,957				2,451

Note: The cost of fully depreciated Property Plant and equipment of the company which are still in use as at 31st March 2017 is Rs.27.29 million (2015/2016 - Rs. 21.53 million).

Notes to the Financial Statements Contd.

10.3 Group

The portfolio of Lands in the Group consist of the following.

Company Name	Location	Extent Perches	No. of Buildings	Name of the Valuer	Latest Valuation	Market Value Rs.'000	Carrying Value Rs.'000
The Colombo Fort Land & Building PLC Land	Fort, Colombo.	153	1	Mr. P.P.T. Mohideen Chartered Valuation Surveyor	31.03.2016	1,249,700	621,625
Marawila Resorts PLC Land	Marawila.	4,714	50	Mr. R.S. Wijesuriya Incorporated Valuer	31.03.2016	1,620,560	880,944
Sigiriya Village Hotels PLC Land	Freehold : Mankani Trincomalee.	1,362	-	Mr. R.S. Wijesuriya Incorporated Valuer	31.03.2016	204,300	176,245
Galle Fort Hotel (Private) Limited Land	Galle Fort, Galle.	78	8	Mr. R.S. Wijesuriya Incorporated Valuer	31.03.2016	775,460	336,676
Beruwala Resorts PLC Land	Moragalla, Beruwala.	1,265	50	Mr. R.S. Wijesuriya Incorporated Valuer	31.03.2016	1,112	267
B.O.T. Hotel Services (Private) Limited Land	Kaparathota Road, Waligama.	491	2	Mr. R.S. Wijesuriya Incorporated Valuer	31.03.2016	412,447	361,805
Lankem Developments PLC Land	Maguruwila Road, Gonawala.	88.5	-	Mr. B. L. Ariyathilake Chartered Valuer	31.03.2016	15,500	6,950
Lankem Ceylon PLC Land	St. Anthony's Road, Ekala, Kuriduwaatta.	480	11	Mr. B. L. Ariyathilake Chartered Valuer	31.03.2016	108,000	33,600
Land	Maithree Mawatha, Ekala.	400	4	Mr. B. L. Ariyathilake Chartered Valuer	31.03.2016	100,000	27,000
Land	Maguruwila Road, Gonawala.	874	8	Mr. B. L. Ariyathilake Chartered Valuer	31.03.2016	152,863	43,198
Land	Kandathoduwwa, Putlam.	4,056	-	Mr. B. L. Ariyathilake Chartered Valuer	31.03.2016	9,332	7,350
Land	Nawam Mawatha, Colombo 2.	40	1	Mr. B. L. Ariyathilake Chartered Valuer	31.03.2016	400,000	302,570
E.B. Creasy & Company PLC Land	Sri Sangaraja Mawatha, Colombo 10.	238	2	P.B. Kalugalagedara Chartered Valuer	31.03.2016	994,650	453,000
Creasy Foods Limited Land	Ekala, Ja-Ela.	160	-	P.B. Kalugalagedara Chartered Valuer	31.03.2016	48,000	32,000
Laxapana Batteries PLC Land	Homagama.	584	3	Mr. H.W.I.G.A. Weerakoon	31.03.2016	203,700	101,675

Company Name	Location	Extent Perches	No. of Buildings	Name of the Valuer	Latest Valuation	Market Value Rs.'000	Carrying Value Rs.'000
C.W. Mackie PLC Land	Scan Bottling Plant Munagama, Horana.	924	13	Sunquick Factory Land (602 perches) and building (4) are classified as assets held for sale as at 31st March, 2017			224,500
Ceymac Rubber Company Limited Land	Industrial Estate Aramanagolla, Horana.	800	11	No significant difference in the market value of the land compared to the book value as at 31 March 2017			33,000
Land	Thebuwana, Narthupana	850	8				
Kelani Valley Canneries Limited Land	Kaluaggala, Hanwella.	355	7				
CM Holdings PLC Land	297, Dr. Colvin R. De Silva Mawatha, Colombo 02.	206	3	Mr. P.P.T.Mohideen Chartered Valuer	31.03.2016	1,831,000	771,326
Colonial Motors (Ceylon) Limited Land	41/35, Nagahamulla Road, Thalangama, Battaramulla.	15.5	6	Mr. N.B.S.A. Nanayakkara	31.03.2016	101,000	67,246
KIA Motors (Lanka) Limited Land	Pelawatta.	110	-	Mr.H.B.M. Basnayaka Incorporated Valuer	31.03.2016	108,000	79,496
Land	Malabe.	524	-				230,017
JF Packaging (Private) Limited Land	Minuwangoda Road, Kotugoda.	350	4	Mr. B. L. Ariyathilake Chartered Valuer	31.03.2016	270,000	39,800
Ceylon Tapes (Private) Limited Land	Samagi Mawatha, Jaela.	45	3	Mr.J.M.S.Bandara Incorporated Valuer	31.03.2016	12,375	11,250
Land	Franslyn Estate, Andimulla.	460	1	Mr.W.A.T.I.P. Jayathilake Incorporated Valuer	16.11.2015	46000	25,198
Total							4,866,737

10.4 Immature/Mature Plantations

	31.03.2017 Rs.'000	31.03.2016 Rs.'000
Agarapatana Plantation Limited (APL)	2,127,165	1,939,341
Kotagala Plantations PLC (KPPLC)	3,534,277	3,367,622
	5,661,442	5,306,963

Notes to the Financial Statements Contd.

10.4.1 Mature/Immature Plantations

	Mature Plantations			Immature Plantations			Total	Total
	Tea	Rubber	Other	Tea	Rubber	Other	31.3.2017	31.3.2016
	Rs'000	Rs'000	Rs'000	Rs'000	Rs'000	Rs'000	Rs'000	Rs'000
Cost								
At the beginning of the year	1,965,934	1,518,824	167,488	1,327,264	743,831	500,761	6,224,102	5,692,905
Additions/Transfer in	343,568	182,745	221,869	255,143	186,506	79,611	1,269,443	1,093,871
Transfer out	-	-	-	(343,568)	(182,745)	(221,869)	(748,182)	(562,674)
At the end of the year	2,309,502	1,701,569	389,357	1,238,839	747,592	358,503	6,745,363	6,224,102
Depreciation								
At the beginning of the year	400,242	508,522	8,374	-	-	-	917,138	778,648
Charge for the year	62,230	85,080	19,472	-	-	-	166,783	138,490
At the end of the year	462,472	593,602	27,846	-	-	-	1,083,921	917,138
Carrying Value as at 31.03.2017	1,847,030	1,107,967	361,511	1,238,839	747,592	358,503	5,661,442	-
Carrying Value as at 31.03.2016	1,565,691	1,010,302	159,114	1,327,264	743,831	500,761	-	5,306,963

- a) These are investments in mature/immature plantations since the formation of the Company. The assets (including plantation assets) taking over by way of estate leases as given in the Note 11.1 and 11.2 to the Financial Statements. Further, investment in Immature Plantations taken over by way of leases as given in the above Notes. When such plantations become mature, the additional investments since taking over to bring them to maturity are transferred from Immature to Mature under this Note. A corresponding movement, from Immature to Mature, in respect of the investment undertaken by JEDB/SLSPC on the same plantation prior to the leases are shown under Note 11.2 to the Financial Statements.

The requirement of recognition for bearer Biological assets at its fair value less cost to sell under LKAS 41 was superseded by the ruling issued on 2nd March, 2012 by The Institute of Chartered Accountants of Sri Lanka. Accordingly, the Company has elected to measure the bearer biological assets at cost using LKAS 16 - Property, Plant & Equipment.

- b) Borrowing costs of Kotagala Plantations PLC, a subsidiary, amounting to Rs.22.7 million (2015/16- Rs.22.3 million) on Tea, and Rs.63.1 million (2015/16 - Rs.62.1 million) on Rubber incurred on term loans and overdrafts utilised to finance replanting expenditure of Tea and Rubber have been capitalised. The average rate of interest for capitalisation was 14.16% (2015/16 - 11%). The capitalisation will cease when crops are ready for harvest.
- c) Borrowing costs of Agarapatana Plantations Limited, a subsidiary, amounting to Rs.69.8 million (2015/16- Rs.70.8 million) incurred on long-term loans obtained to meet expenses relating to immature plantations have been capitalised as part of the cost of the Immature Plantations. The capitalisation will cease when crops are ready for harvest.
- d) Other Immature Plantations include Eucalyptus, other timber etc. which have been cultivated and managed in separate fields and other crops such as Cinnamon, Coconut, etc. These are carried at cost less impairment.

10.5 Fair Value on growing produce of bearer Biological Assets

	31.03.2017 Rs.'000	31.03.2016 Rs.'000 Restated
At the beginning of the year	2,819	-
Impact of the amendment of LKAS 16 and LKAS 41	-	3,984
At the beginning of the year-Restated	2,819	3,984
Change in Fair value less cost to sell	17,166	(1,165)
At the end of the year	19,985	2,819

10.6 Consumable Biological Assets

	Balance as at 31.03.2017 Rs'000	Balance as at 31.03.2016 Restated Rs'000	Balance as at 31.03.2015 Restated Rs'000
At the beginning of the year	1,390,876	1,300,184	1,054,427
Expenses on new planting (Net of Harvest)	(1,938)	4,297	8,450
Transfer from Immature Leased Bearer Biological Assets	-	-	4,136
Gain arising from changes in fair value for the year	132,841	86,395	233,171
	1,521,779	1,390,876	1,300,184

Kotagala Plantations PLC and Agarapatana Plantations Limited has recognised managed trees as biological assets.

Kotagala Plantations PLC (KPPLC)

Managed trees include commercial timber plantations cultivated on estates. The cost of immature trees upto 5 years from planting are treated as approximate fair value particularly on the grounds of little biological transformation has taken place and impact of the biological transformation on price is not material. When such plantations become mature, the additional investment since taken over to bring them to maturity are transferred from Immature to mature.

The fair value of managed trees was ascertained by Mr.A.A.M Fathihu, (FIV), Incorporated Valuer.

Key assumptions used in valuation are as follows,

Variable	Comment
Timber Content	Estimated based on the girth, height and considering the growth and present age of the trees of each species in different geographical regions, factoring all the prevailing statutory regulations enforced against harvesting of timber coupled with forestry plan of the Company approved by the Forestry Department.
Economic Useful Life	Estimated based on normal life span of each species by factoring the forestry plan of the Company approved by the Forestry Department.
Selling Price	Estimated based on prevailing Sri Lankan market prices factoring all the conditions to be fulfilled in bringing the trees in to saleable condition.
Discount rate	Future cash flows are discounted at the rate of 16.3% (2016 - 14.8%)

Agarapatana Plantations Limited (APL)

Managed trees include commercial timber plantations cultivated on estates. The cost of Immature trees is treated as approximate fair value particularly on the grounds of little biological transformation has taken place and impact of the biological transformation on price is not material.

The fair value of managed trees was ascertained by the Independent, Incorporated Valuer Mr.A.A.M Fathihu, (FIV), for the current year in accordance with LKAS 41 - "Agriculture" using Discounted Cash Flow (DCF) method.

A risk adjusted discount rate of 16.3% per annum, in real terms (excluding the effect of inflation) is used in determining the present value of estimated future cash flows as at 31st March, 2017.

Key assumptions used in valuation

1. The harvesting is approved by the PMMD and Forest Department based on the forestry development plan.
2. The price adopted are net of expenditure.
3. Discount rate is 16.3%.
4. Though the replanting is a condition precedent for harvesting, yet the cost are not taken in to consideration.

The valuation, as presented in the external valuation models based on net present values, take into account the long term exploitation of the timber plantations. Because of the inherent uncertainty associated with the valuation at fair value of the biological assets due to the volatility of the variables, their carrying value may differ from their realisable value. The Board of Directors retains their view that commodity markets are inherently volatile and that long term price projections are highly unpredictable. Hence, the sensitivity analysis regarding selling price and discount rate variations as included in this Note allows every investor to reasonably challenge the financial impact of the assumptions used in the LKAS 41 against his own assumptions.

The biological assets of Agarapatana Plantations Limited are mainly cultivated in leased lands. When measuring the fair value of the biological assets it was assumed that these concessions can and will be renewed at normal circumstances. Timber content expected to realise in future are included in the calculation of the fair value and takes into account the age of the timber plants and not the expiration date of the lease.

Notes to the Financial Statements Contd.

11 LEASEHOLD PROPERTY

Cost	Balance as at 01.04.2016 Rs.'000	Additions During the Year Rs.'000	Balance as at 31.03.2017 Rs.'000
Leasehold Right to Bare Land of JEDB/SLSPC Estates (Note 11.1)			
Kotagala Plantations PLC (Note 11.1.a)	342,287	-	342,287
Agarapatana Plantations Limited (Note 11.1.b)	341,588	-	341,588
	683,875	-	683,875
Immovable Leased Assets of JEDB/SLSPC Estates (Other than Bare Land) (Note 11.2)			
Kotagala Plantations PLC (11.2.a)	458,222	-	458,222
Agarapatana Plantations Limited (11.2.b)	265,748	-	265,748
	732,970	-	732,970
Other Leasehold Assets			
SunAgro Farms Limited (11.3)	2,555	-	2,555
Duramedical (Lanka) Limited (11.4)	-	6,670	6,670
	2,555	6,670	9,225
Total Cost	1,410,400	6,670	1,417,070
	Balance as at 01.04.2016 Rs.'000	Charge for the Year Rs.'000	Balance as at 31.03.2017 Rs.'000
Accumulated Depreciation			
Leasehold Right to Bare Land of JEDB/SLSPC Estates			
Kotagala Plantations PLC (Note 11.1.a)	153,567	6,458	160,025
Agarapatana Plantations Limited (Note 11.1.b)	153,177	6,442	159,619
	306,744	12,900	319,644
Immovable Leased Assets of JEDB/SLSPC Estates (Other than Bare Land)			
Kotagala Plantations PLC (11.2.a)	345,902	55,620	401,522
Agarapatana Plantations Limited (11.2.b)	206,936	8,707	215,643
	552,838	64,327	617,165
Other Leasehold Assets			
SunAgro Farms Limited (11.3)	2,555	-	2,555
Duramedical (Lanka) Limited (11.4)	-	-	-
	2,555	-	2,555
Total Depreciation	862,137	77,227	939,364
Carrying Value	548,263		477,706

11.1 Leasehold Right to Bare Land of Janatha Estate Development Board (JEDB)/Sri Lanka State Plantation Corporation (SLSPC) Estates.

a) Kotagala Plantations PLC

The leases of all the 23 estates have been executed and will be retroactive from 22nd June, 1992. The leasehold rights to land on all these estates have been taken into the books of the Company as at 22nd June, 1992 immediately after formation of the Company, in terms of the ruling obtained from the Urgent Issues Task Force (UITF) of The Institute of Chartered Accountants of Sri Lanka. For this purpose, the Board decided at its meeting held on 8th March, 1995 that these bare lands would be revalued, at the value established for these lands, by the valuation Specialist Mr.D.R.Wickramasinghe, just prior to the formation of the Company. The value taken into the 22nd June, 1992, Statement of Financial Position and the amortisation of leasehold rights up to 31st March, 2017 are as follows.

Cost/Valuation	Life of the Asset	As at 22.06.1992 Rs'000	Balance 31.03.2017 Rs'000	Balance 31.03.2016 Rs'000
Right to use the Land JEDB/ SLSPC Estates	53 years	358,928	342,287	342,287

Amortisation	Balance as at 31.03.2016 Rs'000	Charge for the Year Rs'000	Balance as at 31.03.2017 Rs'000	Carrying Value as at 31.03.2017 Rs'000	Carrying Value as at 31.03.2016 Rs'000
	153,567	6,458	160,025	182,262	188,719

b) Agarapatana Plantations Limited

"Right-To-Use of Land on Lease" as above was previously titled "Leasehold Right to Bare Land". The change is in order to comply with Statement of Recommended Practice (SoRP) issued by The Institute of Chartered Accountants of Sri Lanka dated 19th December, 2012. Such leases have been executed for all estates for a period of 53 years.

All the leases executed as at the date of Financial Position will be retroactive to 22nd June, 1992, the date of formation of the Company. The leasehold right to bare land on all of these estates have been taken in to the books of the Company as at 22nd June, 1992 immediately after the formation of the Company. The Board decided at its meeting on 8th March, 1995 that these assets would be taken at their book values as they appear in the books of JEDB/SLSPC on the day immediately preceding the date of formation of the Company. This right-to-use land is amortised over the remaining lease term or useful life of the right whichever is shorter and is disclosed under non-current assets. The Statement of Recommended Practice (SoRP) for right-to-use of land does not permit further revaluation of right-to-use of land. These assets are taken into the Statement of Financial Position as at 22nd June, 1992 and depreciated as follows.

Description	Cost / valuation as at 22.06.92 Rs.'000	Accumulated Amortisation 01.04.2016 Rs.'000	Amortisation During the Year Rs.'000	Accumulated Amortisation 31.03.2017 Rs.'000	Carrying Value as at 31.03.2017 Rs.'000	Carrying Value as at 31.03.2016 Rs.'000
Leasehold right to bare land of JEDB/SLSPC Estates	341,588	153,177	6,442	159,618	181,970	188,412

Notes to the Financial Statements Contd.

11.2 Immovable Leased Assets of JEDB/SLSPC Estates (Other than Bare Land)

a) Kotagala Plantations PLC

In terms of the ruling obtained from the Urgent Issues Task Force (UITF) of the Institute of Chartered Accountants of Sri Lanka, all immovable assets in the JEDB/SLSPC estates under finance leases have been taken in to the books of the Company retroactive to 22nd June, 1992. For this purpose, the Board decided at its meeting on 08th March, 1995 that these assets be restated at their book values as they appear in the books of the JEDB/SLSPC, on the day immediately preceding the date of formation of the Company. These assets are taken into the Statement of Financial Position as at 22nd June, 1992 and depreciated as follows.

Revaluation	Life of the Asset	As at 22.06.92 Rs.'000	Balance 31.03.2017 Rs.'000	Balance 31.03.2016 Rs.'000
Land Development Cost	30 years	6,712	6,701	6,701
Buildings other than Worker housing	25 years	26,519	25,902	25,902
Plant & Machinery	15 years	8,757	8,757	8,757
Water Projects and Sanitations	30 years	8,688	8,688	8,688
Mature Plantations				
- Tea	30 years	69,767	227,655	227,655
- Rubber	30 years	61,138	172,379	172,379
- Others	25 years	-	8,140	8,140
Immature Plantations				
- Tea		158,960	-	-
- Rubber		126,898	-	-
- Others		8,140	-	-
		475,579	458,222	458,222

Amortisation	Balance as at 01.04.2016 Rs.'000	Charge for the Year Rs.'000	Balance as at 31.03.2017 Rs.'000	Carrying Value As at 31.03.2017 Rs.'000	Carrying Value As at 31.03.2016 Rs.'000
Land Development Cost	5,314	226	5,540	1,161	1,387
Buildings other than Worker Housing	24,539	998	25,537	365	1,363
Plant & Machinery	8,757	-	8,757	-	-
Water Projects and Sanitations	6,886	290	7,176	1,512	1,802
Mature Plantations					
- Tea	169,271	7,656	176,927	50,728	58,384
- Rubber	126,254	46,125	172,379	-	46,125
- Others	4,882	325	5,207	2,933	3,258
	345,902	55,620	401,522	56,700	112,319

Investment in Immature Plantations at the time of handing over to the Company by way of estate leases are shown under Immature Plantations as at 22nd June, 1992. Further investment in such plantations to bring them to maturity are shown under Note 10.4.

b) Agarapatana Plantations Limited

All the leases executed as at the date of Financial Position will be retroactive to 22nd June, 1992, the date of formation of the Company. The leasehold right to bare land on all of these estates have been taken in to the books of the Company as at 22nd June, 1992 immediately after the formation of the Company. The Board decided at its meeting on 8th March, 1995 that these assets would be taken at their book values as they appear in the books of JEDB/SLSPC on the day immediately preceding the date of formation of the Company. This right-to-use land is amortised over the remaining lease term or useful life of the right whichever is shorter and is disclosed under non-current assets. The Statement of Recommended Practice (SoRP) for right-to-use of land does not permit further revaluation of right-to-use land. These assets are taken into the Statement of Financial Position as at 22nd June, 1992 and depreciated as follows.

Description	Revaluation as at 22.06.92 Rs.'000	Transfers/ Immature to Mature (Adjustments) Rs.'000	Revaluation as at 01.04.2016 Rs.'000	Accumulated Depreciation 01.04.2016 Rs.'000	Depreciation for the Year Rs.'000	Accumulated Depreciation 31.03.2017 Rs.'000	Carrying Value As at 31.03.2017 Rs.'000	Carrying Value As at 31.03.16 Rs.'000
Improvement to Land	5,406	-	5,406	4,278	181	4,459	947	1,128
Unimproved Land	998	-	998	-	-	-	998	998
Roads and Bridges	677	-	677	403	17	420	257	274
Buildings	62,634	-	62,634	59,507	2,501	62,008	626	3,127
Fences and Securities	49	-	49	49	-	49	-	-
Machinery	8,822	(621)	8,201	8,201	-	8,201	-	-
Water Supply	6,158	-	6,158	6,158	-	6,158	-	-
Power Augmentation	972	-	972	972	-	972	-	-
Coffee, Pepper, Cardamom	305	-	305	-	-	-	305	305
Mature Plantations	37,457	141,636	179,093	126,378	5,968	132,346	46,747	52,715
Vested Tea	1,223	-	1,223	959	40	999	224	264
Immature Plantations	141,636	(141,636)	-	-	-	-	-	-
Other Vested Assets	31	-	31	31	-	31	-	-
	266,369	(621)	265,748	206,936	8,707	215,643	50,104	58,811

Investment in Plantations assets which were immature at the time of handing over to the Company by way of estate leases are shown under Immature Plantations (revalued as at 22nd June, 1992).

However, since then all such investments in Immature Plantations attributable to JEDB/SLSPC period have been transferred to Mature Plantations. These mature tea were classified as bearer biological assets in terms of LKAS 41 - Agriculture. The carrying value of the bearer biological assets leased from JEDB/SLSPC is recognised at cost less amortisation. Further, investments in such plantations to bring them to maturity are shown in Note 10.4.

11.3 SunAgro Farms Limited

SunAgro Farms Limited, a subsidiary of the Company acquired an agricultural land on 21st June, 2010 on a 29 year lease from the Department of Buddhist Affairs and this was amortized over the period of lease. However, the balance was impaired as at 31st March 2014.

11.4 Duramedical (Lanka) Limited

Duramedical (Lanka) Limited a Subsidiary of the company has entered in to a Lease agreement with Board of Investment of Sri Lanka to hold the land premises for a period of 50 years commence in from 12th May 2016 to 11th May 2066 for a sum of USD 40,000 of non refundable lease premium and annual ground rent of USD 5,000 per annum.

Notes to the Financial Statements Contd.

As at 31st March	GROUP		COMPANY	
	2017 Rs.'000	2016 Rs.'000	2017 Rs.'000	2016 Rs.'000
12 INVESTMENT PROPERTY				
Cost				
Balance as at Beginning of the Year	530,280	343,932	725,910	725,910
Transfers from Property Plant and Equipment	4,001	186,348	-	-
Balance as at end of the Year	534,281	530,280	725,910	725,910
Accumulated Depreciation				
Balance as at Beginning of the Year	89,410	70,993	5,537	4,262
Charge for the Year	20,336	18,417	1,275	1,275
Balance as at end of the Year	109,746	89,410	6,812	5,537
Carrying Value (Note 12.1)	424,535	440,870	719,098	720,373

12.1 GROUP

Company	Location	Extent	Carrying Value Rs.'000	Fair Value
York Arcade Holdings PLC	York Arcade Building, Leyden Bastian Road, Colombo 01.	107,856 Sq ft	91,570	104 Mn
C.W. Mackie PLC	No. 36, D R Wijewardena Mw, Colombo 10.	52,923 Sq ft	33,578	49 Mn
Union Commodities (Private) Limited	No. 79 , Biyagama Road, Talwatta, Kelaniya.	38,287 Sq ft	114,398	136 Mn
C M Holdings PLC	No. 297, Union Place, Colombo.	31,757 Sq ft	27,845	104 Mn
York Hotels (Kandy) Limited	Halloluwa, Katugastota.	6A, 1R, 36P	157,144	374 Mn
Total			424,535	

York Arcade Holdings PLC

The carrying amount of Investment Properties as at 31st March, 2017 amounts to Rs.91.6 million (2016 - Rs.102.9 million). Rental Income earned from Investment Property by the Company amounted to Rs.80.2 million (2016 - Rs.61.5 million) and Direct Operating Expenses incurred amounted to Rs.40.4 million (2016 - Rs.39.5 million).

York Arcade Holdings PLC has constructed the building on an extent of land leased by its Parent Company, The Colombo Fort Land & Building PLC (CFLB) in terms of the Lease Agreement No. 1589 dated 17th September, 1984 attested by Mr. J.A.R. Weerasinghe, NP. The lease was for a period of 33 years. In terms of the Lease Agreement, upon the termination of the Lease, the Lessor, (CFLB) was required to reimburse York Arcade Holdings PLC 66% of the cost of construction of the building. The cost of construction was Rs.131,609,497/- and accordingly, the amount recoverable by the Company would amount to Rs.86,862,268/-. The board of directors of York Arcade Holdings PLC at a meeting held on 31st March, 2017 decided that the lease will not be renewed and accordingly the aforementioned lease will lapse on 31st August, 2017.

Valuation Report prepared by Mr. P.P.T. Mohideen, Chartered Valuation Surveyor, has been obtained by the company on the building which was valued at Rs. 104,113,340/- as at 31 March 2016.

C.W. Mackie PLC

C. W. Mackie PLC , a subsidiary of the Company has rented out a part of C. W. Mackie PLC Building Complex and the value of Land and Buildings of that portion has been classified as 'Investment Property' and accounted on 'cost model' as required by (LKAS 40) 'Investment Property'. The above Investment Property is situated a No.36, D.R.Wijewardena Mw, Colombo 10, and the extent of the building is 52,923 Sq.feet. The carrying amount of Investment Property as at 31st March, 2017 amounted to Rs.33.6 million (2015/16 Rs. 38.3 million).

As per the valuation carried out on 31st March 2016, by Mr. K. T. D. Tissera, an Independent professional Valuer J. P. U.M. Diploma in Valuation (Sri Lanka), F. R. I. C. S (Eng). F. I. V. (Sri Lanka), Chartered Valuation Surveyor, fair value of the investment property as at 31st March 2016 is Rs. 49 million. These properties were valued on an open market value for existing use basis.

Rental income earned from investment property of C. W. Mackie PLC amounted to Rs. 99.01 million for the year ended 31st March, 2017 (2015/16- Rs.93.5 million) and direct operating expenses incurred for the same year amounted to Rs. 19.8 million (2015/16 - Rs. 18.5 million).

Union Commodities (Private) Limited

As per the valuation carried out by Mr. P.B.Kalugalagedara ,an independent professional Valuer , fair value of the investment property is Rs. 136 Million, The properties were valued on an open market value for existing use basis.

Union commodities Private Limited has not incurred any expenses (including repairs and maintenance) relating to the building classified as investment properties during the year ended 31st March 2017.

C M Holdings PLC - Consolidated

The company and the group accounts for the investment property using the cost model in accordance with the policy adopted by its ultimate parent. The investment property is depreciated using a straight line method over its estimated useful life of 20 years.valuation of the freehold land and buildings carried out by Chartered Valuation Surveyor Mr. P.P.T. Mohideen and valued at Rs.1,935 million as at 31 March 2016.

York Hotels (Kandy) Ltd

As a result of change in the company's business plan, Land recognised as Property , Plant and Equipment previously has been classified as Investment Property and accounted on "Cost Model" as required by LKAS 40 - Investment Property. The company intends to hold the land for capital appreciation. The above investment property is situated at Halloluwa, Katugastota and the extent of the land is 6 A, 1 R & 36 P. The carrying amount of Investment Property as at 31st March 2017, amounted to Rs. 157.1 Mn

As per the valuation carried out by Mr. R. S. Wijesuriya, an Independent Incorporated Valuer, fair value of Investment Property as at 31st March 2016 is Rs. 374 Mn.

12.2 COMPANY

Investment properties of the Company consists of land amounting to Rs.621.62 million (2016 - Rs.621.62) and building amounting to Rs.97.47 million (2016 - Rs.98.75 million) as at the reporting date. The Company has adopted the cost model to value the investment properties.

Location	Extent Perches	Carrying Value Rs.'000	Fair Value Rs.'000
Fort - Colombo	153	719,098	1,711,400

The properties of the Company were valued by an independent valuer, Mr. P.P.T. Mohideen, Chartered Valuation Surveyor, B.Sc. (Hons) Estate Management & Valuation, Executive Diploma in Business Administration, FIV(Sri Lanka) and MRICS(England) and the fair value of the investment properties as at 31st March, 2016 was Rs.1,711.4 million.

The rental income earned by the Company from the said properties is disclosed in Note 4 to the Financial Statement.

The Primary Mortgage Bond for Rs.300 million and Secondary Mortgage Bond for Rs.125 million executed by the Company jointly with York Arcade Holdings, in connection with the credit facility granted to Lankem Ceylon PLC and The Colombo Fort Land & Building PLC respectively, were cancelled as the loans obtained by the Companies have been settled.

The Company jointly with York Arcade Holdings PLC has executed Tertiary Mortgage Bond on the Land at Leyden Bastian Road for Rs.127.5 million favouring Sampath Bank PLC for the facilities granted to the Company. This facility obtained by the Company was settled on 29th March, 2017.

Notes to the Financial Statements Contd.

The Company has executed a Primary Mortgage Bond for Rs. 91.8 million and a Secondary Mortgage Bond for Rs. 83.0 million over the property at No. 53-1/1, 53-2/1 and 57, Sir Baron Jayatilake Mawatha, Colombo – 1 belonging to the Company in connection with the credit facilities granted to E. B. Creasy & Company PLC.

The Company has executed a Tertiary Mortgage Bond for Rs. 100.0 million over the property at No. 53-1/1, 53-2/1 and 57, Sir Baron Jayatilake Mawatha, Colombo – 1 belonging to the Company for the facilities granted to the Company.

The Board of Directors of York Arcade Holdings PLC (YAH) has informed the Company of its intention not to renew the Lease of the land, which is due to expire on 31st August, 2017. As per the Lease Agreement, in the event of nonrenewal of the lease the Company is required to pay YAH a sum of 66% of the total cost of construction of the building as certified by YAH's Auditors which is a sum of Rs. 86,862,268/-.

As at 31st March,	GROUP	
	2017 Rs.'000	2016 Rs.'000
13 INTANGIBLE ASSETS		
Goodwill on Acquisition (Note13.1)	826,520	826,520
Trade Mark (Note13.2)	6,860	11,194
Computer software (Note13.3)	150,628	33,158
	984,008	870,872
13.1 Goodwill		
At the beginning of the Year (Note 13.1.1)	826,520	854,172
Acquisition of Subsidiary	-	27,070
Impairment of Goodwill (Note13.1.2)	-	(54,722)
At the end of the Year	826,520	826,520

13.1.1 Goodwill on Acquisition

This represents the excess of the cost of acquisition of the net assets of the following Companies. The aggregated carrying amount of goodwill allocated to each company is as follows:

	GROUP	
	2017 Rs.'000	2016 Rs.'000
Lankem Developments PLC	5,503	5,503
Lankem Plantation Holdings Limited	56,465	56,465
Lankem Paints Limited	3,528	3,528
Lankem Chemicals Limited	3,428	3,428
Lankem Tea and Rubber Plantations (Private) Limited	51,766	51,766
Agarapathana Plantations Limited	16,385	16,385
Creasy Foods Limited	2,259	2,259
SunAgro Lifescience Limited	125	125
C. W. Mackie PLC	92,778	92,778
Galle Fort Hotel (Private) Limited	267,885	267,885
Ceylon Tapes Limited	14,190	14,190
Lanka Special Steel Limited	21,696	21,696
J.F.Packaging (Private) Limited	263,442	263,442
Sherwood Holidays Limited	27,070	27,070
	826,520	826,520

13.1.2 Impairment of Goodwill

Based on impairment assessment, the following goodwill was impaired during the year 2015/ 2016.

	GROUP	
	2017 Rs.'000	2016 Rs.'000
Marawila Resorts PLC	-	41,862
Galle Fort Hotel (Private) Limited	-	12,860
	-	54,722

For the purpose of impairment testing, goodwill acquired from Business combinations have been allocated to cash generating units (CGU) that is expected to benefit from the synergies of the combination. CGUs to which goodwill has been allocated have been tested for impairment annually, and when ever there is an indication that the unit may be impaired by comparing the carrying amount of the unit including the goodwill, with the recoverable amount of the unit. If the carrying amount of the unit exceeds the recoverable amount of the unit and the goodwill allocate to that unit has been regarded as impaired. The impairment loss has been allocated to reduce the carrying amount of any goodwill allocated to the CGU and then to other assets of the unit.

Carrying value of Goodwill as at the reporting date has been tested for impairment and no impairment losses were identified as at the reporting date. Details relating to goodwill impairment for the year ended 31st March 2016 is disclosed above.

Methods used in estimating recoverable amounts are given below;

- (i) Business Growth - Based on historical growth rate & business plan
- (ii) Inflation - Based on current inflation & the percentage of the total cost subjected to the inflation
- (iii) Discount Rate - Average market borrowing rate adjusted for risk premium
- (iv) Margin - Based on current margin & business plan

	GROUP	
	2017 Rs.'000	2016 Rs.'000
13.2 Trade Mark		
Cost		
As at the beginning of the Year	14,150	1,150
Additions/Disposals during the Year	-	13,000
As at the end of the Year	14,150	14,150
Amortisation		
As at the beginning of the Year	2,956	1,150
Amortised during the year	4,334	1,806
At the end of the Year	7,290	2,956
Carrying Value	6,860	11,194
13.3 Computer Software		
Cost		
As at the beginning of the Year	60,563	31,299
Additions/Disposals during the Year	137,911	29,264
As at the end of the Year	198,474	60,563
Amortisation		
As at the beginning of the Year	27,405	19,670
Amortised during the year	20,441	7,735
At the end of the Year	47,846	27,405
Carrying Value	150,628	33,158

Notes to the Financial Statements Contd.

Trademark

Darley Butler & Company Limited, a subsidiary of the Company has paid an amount of Rs. 1.15 million in the year of 2008/09 to Adamjee Pharma (Private) Limited. to acquire the agency right of Navana Pharmaceutical Limited. which was amortized over the Company's Agency Right Period - 03 Years.

In 2016 Darley Butler & Company Limited has Purchased the agency right of INTAS Pharmaceuticals Limited for Rs. 13 million which is amortised over 03 Years.

Computer Software

Additions during the year relate to software.

14 INVESTMENTS IN SUBSIDIARIES

As at 31st March,	Group Holding 2017 %	Company Holding 2017 %	No. of Shares 2017	Cost 2017 Rs.'000	Market Value 2017 Rs.'000	No. of Shares 2016	Cost 2016 Rs.'000	Market Value 2016 Rs.'000
14.1 COMPANY								
14.1.1 Quoted Investments								
Beruwala Resorts PLC	48.34	0.01	30,000	32	30	30,000	32	36
C M Holdings PLC	67.01	63.49	9,649,850	550,183	722,774	9,649,850	550,183	868,487
E.B. Creasy & Company PLC	60.05	52.99	1,343,610	35,228	1,945,413	1,343,610	35,228	1,794,526
Lankem Ceylon PLC	60.49	30.19	7,245,378	254,136	318,797	7,243,500	254,022	579,480
Marawila Resorts PLC	33.66	0.66	1,510,000	7,173	3,171	1,510,000	7,173	3,322
Muller & Phipps (Ceylon) PLC	30.80	0.02	60,030	91	66	60,030	91	72
York Arcade Holdings PLC	49.84	49.27	5,911,923	7,941	73,899	5,911,923	7,941	76,855
				854,784	3,064,149		854,670	3,322,778
14.1.2 Unquoted Investments								
C.F. Travels Limited	100.00	100.00	1,500,000	15,000	-	1,500,000	15,000	-
Capital Leasing Company Limited	55.83	55.83	473,000	4,733	-	473,000	4,733	-
Colombo Fort Holdings Limited	100.00	100.00	3,500,000	35,000	-	3,500,000	35,000	-
Colombo Fort Hotels Limited	62.76	-	-	-	-	119,940,474	119,364	-
Colombo Fort Properties Limited	99.70	99.70	1,000	10	-	1,000	10	-
Lankem Plantation Holdings Limited	81.21	52.44	21,500,000	240,500	-	21,500,000	240,500	-
Transways (Private) Limited	100.00	30.00	14,998	150	-	14,998	150	-
				295,393	-		414,757	-
Total Cost				1,150,177			1,269,427	
Less: Provision for Impairment in Value of Investments (Note14.2)				(20,804)			(72,877)	
Carrying Value of Investment in Subsidiaries				1,129,373			1,196,550	

	No. of Shares 2017	Cost 2017 Rs.'000	Market Value 2017 Rs.'000	No. of Shares 2016	Cost 2016 Rs.'000	Market Value 2016 Rs.'000
14.1.3 Preference Shares						
Transways (Private) Limited	103,110	1,031	-	103,110	1,031	-
Voyages Ceylon (Private) Limited	1,500,000	15,000	-	1,500,000	15,000	-
York Hotel Management Services Limited	650,000	6,500	-	650,000	6,500	-
York Tours Limited	318,000	3,180	-	318,000	3,180	-
Total		25,711			25,711	
Less: Provision for impairment in Value of Investments		(25,711)			(25,711)	
		-			-	

14.2 Provision for Impairment in Value of Investments

	2017 Rs.'000	2016 Rs.'000
Quoted Investments		
Muller & Phipps (Ceylon) PLC	25	19
Beruwala Resorts PLC	2	-
Marawila Resorts PLC	4,002	-
	4,029	19
Unquoted Investments		
C.F. Travels Limited	15,000	14,769
Capital Leasing Company Limited	1,615	1,615
Colombo Fort Properties Limited	10	10
Colombo Fort Hotels Limited	-	56,314
Transways (Private) Limited	150	150
	16,775	72,858
	20,804	72,877

Notes to the Financial Statements Contd.

14.4 Group Companies Investment in Subsidiaries

Investor As at 31st March,	Investee	Holding		No. of Shares	
		2017	2016	2017	2016
E. B. Creasy & Company PLC	Lankem Ceylon PLC	45.73%	45.73%	10,974,635	10,974,635
	Laxapana Batteries PLC	51.58%	51.58%	20,114,838	20,114,838
	Darley Butler & Co. Limited	100.00%	100.00%	4,999,964	4,999,964
	Creasy Foods Limited	100.00%	100.00%	570,000	570,000
	Filmpak Limited	100.00%	100.00%	150,000	150,000
	Group Three Associates Limited	100.00%	99.83%	1,200	1,200
	Island Consumer Suppliers (Private) Limited	100.00%	100.00%	120,000	120,000
	Corporate Systems Limited	99.93%	99.93%	10,000	10,000
	E.B. Creasy Logistic Limited	99.99%	99.99%	50,000	50,000
	York Hotels (Kandy) Limited	0.18%	0.18%	396,493	396,493
	Muller & Phipps (Ceylon) PLC	51.26%	51.26%	145,061,773	145,061,773
	Lanka Special Steels Limited	100.00%	100.00%	2,500,000	2,500,000
	Duramedical (Lanka) Limited	100.00%	0.00%	100,000	-
Darley Butler & Company Limited	Lankem Ceylon PLC	2.24%	2.24%	536,614	536,614
	Laxapana Batteries PLC	0.01%	0.01%	6	6
	Marawila Resorts PLC	0.01%	0.01%	188	188
	York Arcade Holdings PLC	0.38%	0.38%	45,000	45,000
Creasy Foods Limited	Lankem Ceylon PLC	0.10%	0.10%	23,337	23,337
	York Arcade Holdings PLC	0.21%	0.21%	25,000	25,000
Island Consumer Suppliers (Private) Limited	Lankem Plantation Holdings Limited*	0.01%	0.01%	1	1
	Sigiriya Village Hotels PLC	0.69%	0.69%	61,762	62,162
	Marawila Resorts PLC	0.07%	0.07%	156,000	156,000
	Colombo Fort Hotels Limited	6.91%	6.91%	233,620,000	233,620,000
	Beruwala Resorts PLC	0.01%	0.01%	30,000	30,000
	C M Holdings PLC	0.63%	0.63%	95,640	95,640
	Lankem Ceylon PLC	0.01%	0.01%	536	536
	York Arcade Holdings PLC	0.17%	0.17%	20,000	20,000
Muller & Phipps (Ceylon) PLC	Creasy Plantation Management Limited	41.00%	41.00%	122,993	122,993
	Pettah Pharmacy (Private) Limited	100.00%	100.00%	1,499,500	1,499,500
Pettah Pharmacy (Private) Limited	Colombo Fort Hotels Limited	0.94%	0.94%	31,880,000	31,880,000
	Beruwala Resorts PLC	0.01%	0.01%	30,000	30,000
Lankem Ceylon PLC	Lankem Developments PLC	1.51%	1.51%	903,680	903,680
	Sigiriya Village Hotels PLC	23.15%	23.15%	2,083,760	2,083,760
	Marawila Resorts PLC	7.32%	7.32%	16,700,919	16,700,919
	Colombo Fort Hotels Limited	68.85%	68.85%	2,329,326,024	2,329,326,024
	Lankem Plantation Holdings Limited*	47.56%	47.56%	19,500,001	19,500,001
	Lankem Tea and Rubber Plantations (Private) Limited	1.00%	1.00%	8,342	8,342
	Lankem Plantation Services Limited	60.00%	60.00%	179,993	179,993
	Beruwala Resorts PLC	0.01%	0.01%	83,965	83,965
	Lankem Exports (Private) Limited	100.00%	100.00%	9,997	9,997
	Lankem Paints Limited	100.00%	100.00%	1,999,993	1,999,993
	Lankem Consumer Products Limited	100.00%	100.00%	1,999,993	1,999,993
	Lankem Chemicals Limited	100.00%	100.00%	1,999,993	1,999,993
	Lankem Research Limited	100.00%	100.00%	250,000	250,000

Investor As at 31st March,	Investee	Holding		No. of Shares	
		2017	2016	2017	2016
Lankem Ceylon PLC Contd.	SunAgro Life Science Limited	100.00%	100.00%	200,000	200,000
	SunAgro Farms Limited	100.00%	100.00%	1,199,996	1,199,996
	Associated Farms Limited	100.00%	100.00%	55,398	55,398
	Kotagala Plantations PLC	1.54%	1.54%	615,841	615,841
	C.W. Mackie PLC	55.34%	39.03%	19,916,811	14,046,811
	Lankem Technology Services Limited	100.00%	100.00%	4,999,995	4,999,995
	SunAgro Foods Limited	100.00%	100.00%	4,999,994	4,999,994
	C M Holdings PLC	2.23%	2.23%	338,547	338,547
	Waverly Power (Private) Limited	43.59%	43.59%	3,400,000	3,400,000
	Ceylon Tapes (Private) Limited	100.00%	100.00%	820,000	820,000
	J.F. Packaging (Private) Limited	72.50%	72.50%	488,034	488,034
	Natures Link (Pvt) Ltd	100.00%	0.00%	5,000,000	-
Lankem Plantation Holdings Limited*	Lankem Tea and Rubber Plantations (Private) Limited	98.98%	98.98%	826,088	826,088
	Kotagala Plantations PLC	37.81%	37.81%	15,125,000	15,125,000
	Lankem Developments PLC	56.42%	56.42%	33,853,318	33,853,318
Lankem Tea and Rubber Plantations (Private) Limited	Colombo Fort Hotels Limited	8.58%	5.03%	290,214,792	170,274,318
	Marawila Resorts PLC	6.05%	6.05%	13,793,468	13,793,468
	Kotagala Plantations PLC	30.01%	30.01%	12,002,625	12,002,625
	KIA Motors (Lanka) Limited	15.00%	0.00%	9,000,000	-
Lankem Developments PLC	Marawila Resorts PLC	0.14%	0.14%	312,500	312,500
	Kotagala Plantations PLC	0.05%	0.05%	20,000	20,000
	Agarapatana Plantations Limited	56.65%	56.64%	64,294,802	64,294,802
	Waverly Power (Private) Limited	56.41%	56.41%	4,400,000	4,400,000
Colombo Fort Hotels Limited	Beruwala Resorts PLC	65.58%	65.58%	393,497,345	393,497,345
	York Hotels (Kandy) Limited	16.41%	16.41%	1,771,506	35,430,111
	Marawila Resorts PLC	41.06%	41.06%	93,624,955	93,624,955
	Sigiriya Village Hotels PLC	41.16%	41.16%	3,704,274	3,704,274
	Galle Fort Hotel (Private) Limited	100.00%	100.00%	9,855,830	9,931,511
	Lak Kraft (Private) Limited	100.00%	100.00%	222	802
	Sherwood Holidays Limited	100.00%	100.00%	5,700,000	100,000
	B.O.T. Hotel Services (Private) Limited	34.97%	0.00%	18,008,162	-
Sigiriya Village Hotels PLC	Marawila Resorts PLC	7.46%	7.46%	17,000,000	17,000,000
	Beruwala Resorts PLC	14.23%	14.23%	85,384,000	85,384,000
	Colombo Fort Hotels Limited	0.02%	0.02%	600,000	600,000
	York Hotels (Kandy) Limited	41.70%	41.70%	90,000,000	90,000,000
Marawila Resorts PLC	Beruwala Resorts PLC	0.01%	0.01%	30,000	30,000
	Colombo Fort Hotels Limited	0.64%	0.64%	21,656,460	21,656,460
Beruwala Resorts PLC	B.O.T. Hotel Services (Private) Limited	65.03%	100.00%	33,491,798	282,872
York Hotel Management Services Limited	Colombo Fort Hotels Limited	0.02%	0.02%	600,000	600,000
Agarapatana Plantations Limited	Beruwala Resorts PLC	1.29%	1.29%	7,719,505	7,719,505
	Marawila Resorts PLC	0.00%	0.30%	-	695,366
	Lankem Developments PLC	0.00%	0.02%	-	10,000
Kotagala Plantations PLC	Beruwala Resorts PLC	0.47%	1.66%	2,835,196	9,949,991
	Marawila Resorts PLC	0.00%	0.05%	-	125,354
	Agarapatana Plantations Limited	17.62%	17.62%	20,000,000	20,000,000

Notes to the Financial Statements Contd.

Investor As at 31st March,	Investee	Holding		No. of Shares	
		2017	2016	2017	2016
Kotagala Plantations PLC Contd.	C.W. Mackie PLC	0.00%	19.89%	-	7,157,857
	York Hotels (Kandy) Limited	41.70%	41.70%	90,000,000	90,000,000
	Sigiriya Village Hotels PLC	0.00%	0.29%	-	26,083
	Lankem Developments PLC	0.00%	10.04%	-	6,026,500
	Union Commodities (Private) Limited	100.00%	100.00%	7,999,999	7,999,999
	Rubber & Allied Products (Colombo) Limited	100.00%	100.00%	5,991	5,991
C.W. Mackie PLC	Ceymac Rubber Company Limited	98.72%	98.60%	3,148,551	3,144,724
	Ceytra (Private) Limited	62.82%	62.82%	1,884,600	1,884,600
	Kelani Valley Canneries Limited	88.34%	88.23%	30,351,222	30,351,222
C M Holdings PLC	Colonial Motors (Ceylon) Limited	100.00%	100.00%	16,499,998	16,499,998
	E. B. Creasy & Company PLC	3.94%	3.94%	100,000	100,000
	York Arcade Holdings PLC	0.08%	0.08%	10,000	10,000
	Union Investments (Private) Limited.	100.00%	100.00%	4,999,999	4,999,999
	Colombo Fort Hotels Limited	11.09%	11.09%	375,358,700	375,358,700
	Marawila Resorts PLC	0.44%	0.44%	1,000,000	1,000,000
	Carplan Limited	100.00%	100.00%	1,376,004	1,376,004
	KIA Motors (Lanka) Limited	70.00%	70.00%	41,999,952	41,999,952
	Lankem Ceylon PLC	0.42%	0.42%	100,457	100,457
	Beruwala Resorts PLC	0.01%	0.01%	30,000	30,000
	Guardian Asset Management Limited	75.00%	75.00%	1,199,995	1,199,995
	Motor Mart (Ceylon) Limited	99.99%	-	10,000	-
KIA Motors (Lanka) Limited	Colombo Fort Hotels Limited	2.96%	2.96%	100,000,000	100,000,000
Union Investments (Private) Limited	E. B. Creasy & Company PLC	6.61%	6.61%	167,700	167,700
	York Arcade Holdings PLC	0.10%	0.10%	12,100	12,100
	Guardian Asset Management Limited	18.75%	18.75%	300,000	300,000
	Lankem Ceylon PLC	0.03%	0.03%	7,198	7,198
	Lankem Developments PLC	6.85%	0.00%	4,109,883	-
	C.W. Mackie PLC	2.81%	0.00%	1,010,000	-
Guardian Asset Management Limited	Guardian Trustees Limited	99.99%	99.99%	59,993	59,993
	Kotagala Plantations PLC	0.01%	0.01%	62	62
	Muller & Phipps (Ceylon) PLC	0.01%	0.01%	500	500
	Laxapana Batteries PLC	0.01%	0.01%	300	300
	York Arcade Holdings PLC	0.01%	0.01%	40	40
	E. B. Creasy & Company PLC	0.01%	0.01%	72	72
	Colombo Investment Trust PLC	0.01%	0.01%	140	140
	Colombo Fort Investments PLC	0.01%	0.01%	81	81
	Lankem Developments PLC	0.01%	0.01%	142	142
	Lankem Ceylon PLC	0.01%	0.01%	200	200
	C M Holdings PLC	0.01%	0.01%	185	185
	Marawila Resorts PLC	0.01%	0.01%	640	640
York Arcade Holdings PLC	C M Holdings PLC	0.47%	0.47%	71,707	71,707
C.F Travels Limited	York Tours Limited	100.00%	100.00%	51,200	51,200
	American Lloyd Travels Limited	96.54%	96.54%	1,013,706	1,013,706
	Union Travels Limited	85.99%	85.99%	42,993	42,993
	Voyages Ceylon (Private) Limited	74.43%	74.43%	454,930	454,930

Investor As at 31st March,	Investee	Holding		No. of Shares	
		2017	2016	2017	2016
Colombo Fort Holdings Limited	York Hotel Management Services Limited	100.00%	100.00%	60,000	60,000
	Union Group (Private) Limited	87.90%	87.90%	54,500	54,500
	Transways (Private) Limited	70.00%	70.00%	35,000	35,000
Union Group (Private) Limited	Lankem Ceylon PLC	0.01%	0.01%	2,288	2,288

*Note : Lankem Plantation Holdings Limited has changed its name to Consolidated Tea Plantations Limited with effect from 29th June 2017.

14.5 Subsidiary Companies of the Group

The details of Subsidiaries in which The Colombo Fort Land & Building PLC held an indirect interest, are set out below:

Indirect Subsidiaries	Effective Holdings (%)	
	2017	2016
Agarapatana Plantations Limited	38.60	39.15
American Lloyd Travels Limited	96.54	96.54
Associated Farms Limited	59.27	58.98
B.O.T. Hotel Services (Private) Limited	51.78	47.71
C.W. Mackie PLC	34.64	34.04
Ceylon Tapes limited	59.27	58.98
Ceymac Rubber Company Limited	34.64	34.04
Ceytra (Private) Limited	34.64	34.04
Corporate Systems Limited	59.84	59.84
Creasy Foods Limited	59.88	59.88
Creasy Plantation Management Limited	24.55	24.55
Darley Butler & Company Limited	59.88	59.88
E.B. Creasy Logistics Limited	59.88	59.88
Filmpack Limited	59.88	59.88
Group Three Associates (Private) Limited	59.88	59.79
Guardian Trustees Limited	61.32	61.34
Island Consumer Supplies (Private) Limited	59.88	59.88
JF Packaging (Private) Limited	42.97	42.97
Kelani Valley Canneries Limited	30.08	30.08
Kotagala Plantations PLC	55.53	55.52
Lanka Special Steels (Lanka) Limited	59.88	59.88
Lankem Agrochemicals Limited	59.27	59.26
Lankem Chemicals Limited	59.27	59.26
Lankem Consumer Products Limited	59.27	59.26
Lankem Developments PLC	50.87	51.97
Lankem Exports (Private) Limited	59.25	59.25
Lankem Paints Limited	59.27	59.26
Lankem Plantation Services Limited	35.56	35.56
Lankem Research Limited	59.27	59.26
Lankem Tea & Rubber Plantations (Private) Limited	80.40	80.40
Laxapana Batteries PLC	30.88	30.89
Scan Tours & Travels (Private) Limited	34.64	34.04
SunAgro Farms Limited	59.27	59.26
SunAgro LifeScience Limited	59.27	59.26
Union Group (Private) Limited	87.90	87.90
Union Travels Limited	85.99	85.99
Voyages Ceylan (Private) Limited	74.43	74.43
York Hotel Management Services Limited	100.00	100.00
York Hotels (Kandy) Limited	49.76	50.10
York Tours Limited	100.00	100.00

Notes to the Financial Statements Contd.

15 INVESTMENT IN EQUITY ACCOUNTED INVESTEEES

As at 31st March,	Holding % 2017	No. of Shares 2017	Balance 2017 Rs.'000	Carrying Value 2017 Rs.'000	Holding % 2016	No. of Shares 2016	Balance 2016 Rs.'000	Carrying Value 2016 Rs.'000
GROUP								
Quoted Investments								
Colombo Fort Investments PLC	15.97	1,038,117	132,059	68,516	15.97	1,038,117	160,834	80,143
Colombo Investment Trust PLC	11.52	748,668	106,173	59,893	11.52	748,668	129,721	59,935
			238,233	128,409			290,555	140,077
Unquoted Investments								
Capital Investments Limited	46.67	3,499,930	229,612		46.67	3,499,930	293,992	
Unrealised profit on disposal of shares to equity accounted investee			(3,609)					
Balance as at 1st April			464,236				584,547	
Comprehensive Income			4,794				(10,662)	
Other Comprehensive Income			(21,999)				(100,097)	
Share of Results of								
Equity Accounted Investees (Net of Tax) for the Year			(17,205)				(110,760)	
Dividend Paid during the Year			(4,244)				(5,942)	
Unrealised profit on disposal of shares to equity accounted investee			-				(3,609)	
Carrying Value of Investments in Equity Accounted Investees			442,787				464,236	

a. Market value of quoted investments as at 31st March, 2017 was Rs.128 million (Rs.140 million- 31st March, 2016) for the Group and Company. The Director's valuation of unquoted associate investment amounted to Rs 230 million as at 31st March, 2017 (Rs.294 million - 31st March, 2016) for the Group and Company as well.

b. Summarised Financial Information of Equity Accounted Investees

As at 31st March,	GROUP	
	2017 Rs.'000	2016 Rs.'000
Assets & Liabilities		
Total Assets	2,769,375	2,866,316
Total Liabilities	(72,922)	(84,854)
Net Assets	2,696,453	2,781,462
For the year ended 31st March,	GROUP	
	2017 Rs.'000	2016 Rs.'000
Revenue and Profit		
Total Revenue	67,765	52,762
Total Profit After Tax	58,444	(92,569)
Other comprehensive Income	(83,553)	(418,778)

c. The Colombo Fort Land and Building PLC has neither contingent liabilities nor capital commitments in respect of its associates.

As at 31st March,	Holding % 2017	No. of Shares 2017	Cost 2017 Rs.'000	Carrying Value 2017 Rs.'000	No. of Shares 2016	Cost 2016 Rs.'000	Carrying Value 2016 Rs.'000
COMPANY							
Quoted Investments							
Colombo Fort Investments PLC	15.97	1,038,117	32,806	68,516	1,038,117	32,806	80,143
Colombo Investment Trust PLC	11.52	748,668	21,279	59,893	748,668	21,279	64,011
			54,085	128,409		54,085	144,154
Unquoted Investments.							
Capital Investments Limited	46.67	3,499,930	35,349	-	3,499,930	35,349	-
			35,349	-		35,349	-
Investments in Equity Accounted Investees			89,434			89,434	

16 OTHER FINANCIAL ASSETS - NON CURRENT

As at 31st March,	Notes	GROUP		Notes	COMPANY	
		Carrying Value 2017 Rs.'000	Carrying Value 2016 Rs.'000		Carrying Value 2017 Rs.'000	Carrying Value 2016 Rs.'000
Quoted Investments - Available-for-Sale	16.1.1	174,934	165,060	16.2.1	1,662	1,441
Unquoted Investments - Available-for-Sale	16.1.2	276,287	240,237		-	-
Unit Trusts - Available-for-Sale	16.1.3	169,161	154,119		-	-
Held to Maturity financial Assets	16.1.4	-	5,852		-	-
		620,382	565,268		1,662	1,441
Less : Provision for Impairment in Value of Unquoted Investments *		(5,400)	(5,400)		-	-
		614,981	559,868		1,662	1,441

Note : * Impairment relates to Investment in Dutch Diary International (Private) Limited.

Notes to the Financial Statements Contd.

16.1 GROUP

As at 31st March,				GROUP		
	No. of Shares 2017	Cost 2017 Rs.'000	Carrying Value 2017 Rs.'000	No. of Shares 2016	Cost 2016 Rs.'000	Carrying Value 2016 Rs.'000
16.1.1 Quoted Investments						
Banks, Finance & Insurance						
Amana Takaful PLC	4,024	9	3	4,000	8	6
Arpico Finance Company PLC	333	11	55	333	11	60
Asia Capital PLC	100	-	1	100	-	1
Asian Alliance Insurance PLC	1,000	1	20	1,000	1	15
Central Finance Company PLC	46,515	7,964	8,285	46,510	7,964	9,766
Ceylinco Insurance PLC	22	-	35	22	-	32
Commercial Bank of Ceylon PLC-Voting	234	6	31	231	6	28
DFCC Bank PLC	16,716	431	1,905	16,716	431	2,289
First Capital Holdings PLC	3,600	11	72	3,600	11	69
Hatton National Bank PLC-Voting	9	-	2	9	-	2
HNB Assurance PLC	200	3	12	200	3	11
Housing Development Finance						
Corporation Bank of Sri Lanka	100	4	4	100	4	5
Janashakthi Insurance Company PLC	4,500	56	68	4,500	56	72
Lanka ORIX Leasing Company PLC	800	1	49	800	1	2
Lanka Ventures PLC	100	1	4	100	1	4
LB Finance PLC	1,156	3	137	1,156	3	123
Merchant Bank of Sri Lanka & Finance PLC	67	1	1	67	1	1
Nation Lanka Finance PLC	625	5	1	625	5	1
National Development Bank PLC	5,590	539	810	5,588	539	943
Nations Trust Bank PLC	12,114	296	898	12,114	296	898
Pan Asia Banking Corporation PLC	3,000	24	46	2,000	10	46
People's Leasing & Finance PLC	10,000	180	156	10,000	180	160
People's Merchant Finance PLC	270	4	4	270	4	1
Sampath Bank PLC	196	9	51	183	6	41
Seylan Bank PLC-Non-Voting	136	4	7	136	4	9
Seylan Bank PLC-Voting	6	-	1	6	-	1
SMB Leasing PLC	3,610	3	2	3,610	3	3
The Finance Company PLC	120	8	0	120	8	1
Union Bank of Colombo PLC	100	3	1	100	3	2
Vanik Incorporation PLC-Non-Voting	10	-	-	10	-	-
Vanik Incorporation PLC-Voting	100	-	-	100	-	-
Total		9,577	12,658		9,559	14,592

16.1 GROUP Cont.

As at 31st March,	GROUP					
	No. of Shares 2017	Cost 2017 Rs.'000	Carrying Value 2017 Rs.'000	No. of Shares 2016	Cost 2016 Rs.'000	Carrying Value 2016 Rs.'000
Beverages, Food & Tobacco						
Bairaha Farms PLC	100	1	16	100	1	14
Cargills (Ceylon) PLC	300	9	56	300	9	45
Ceylon Beverage Holdings PLC	276	6	158	276	6	160
Ceylon Cold Stores PLC	64	1	52	64	1	28
Ceylon Tea Services PLC	80	3	48	80	3	49
Ceylon Tobacco Company PLC	7	-	6	7	-	7
Convenience Foods (Lanka) PLC	90	1	28	90	1	33
Distilleries Company of Sri Lanka PLC	400	1	24	100	1	21
Keells Food Products PLC	219	11	32	219	11	37
Lanka Milk Foods (CWE) PLC	133	3	16	133	3	15
Nestle Lanka PLC	40	4	84	40	4	81
Renuka Foods PLC -Voting	20	-	-	20	-	-
Tea Smallholder Factories PLC	142	3	3	142	3	2
Three Acre Farms PLC	19	-	2	19	-	2
Total		43	525		43	494
Chemicals and Pharmaceuticals						
CIC Holdings PLC - Voting	4,239	29	339	4,239	29	405
Chemmanex PLC	35,194	2	1,936	35,194	2	2,217
Haycarb PLC	27	1	4	27	1	4
Industrial Asphalts (Ceylon) PLC	10	1	3	10	1	3
J.L. Morison Sons & Jones Ceylon PLC-Non-Voting	60	17	20	60	-	17
J.L. Morison Sons & Jones Ceylon PLC-Voting	200	4	68	200	4	68
Standard Capital PLC	400	17	24	400	17	36
Total		71	2,394		54	2,750
Construction & Engineering						
Access Engineering PLC	474,700	8,000	11,298	474,700	8,000	9,874
Colombo Dockyard PLC	284	2	1	284	2	2
Total		8,002	11,299		8,002	9,876

Notes to the Financial Statements Contd.

16.1 GROUP Cont.

As at 31st March,	No. of Shares 2017	Cost 2017 Rs.'000	Carrying Value 2017 Rs.'000	GROUP		
				No. of Shares 2016	Cost 2016 Rs.'000	Carrying Value 2016 Rs.'000
Diversified Holdings						
Aitken Spence PLC	555	10	31	555	10	41
Browns Investments PLC	6,000	19	8	6,000	19	8
Carson Cumberbatch PLC	191	10	31	191	10	52
CT Holdings PLC	203	7	30	203	7	26
Dunamis Capital PLC	206	2	4	206	2	4
Hayleys PLC	1,300	59	2	1,300	59	2
Hemas Holdings PLC	156,049	7,684	16,962	156,049	7,684	12,578
John Keells Holdings PLC	192	11	26	163	10	24
Richard Peiris & Company PLC	3,705	2	31	3,705	2	27
The Colombo Fort Land & Building PLC	5,089,930	9,173	92,128	5,089,930	9,173	99,254
Total		16,977	109,255		16,976	112,016
Footwear & Textile						
Ceylon Leather Products PLC	200	2	11	200	2	13
Hayleys MGT Knitting Mills PLC	409	7	6	409	7	7
Odel PLC	100	1	3	100	1	2
Total		10	19		10	22
Healthcare						
Asiri Hospital Holdings PLC	2,660	6	69	2,660	6	64
Asiri Surgical Hospital PLC	1,499	4	14	1,499	4	16
Ceylon Hospitals PLC (Durdans)-Voting	130	3	10	130	3	12
Ceylon Hospitals PLC (Durdans)- Non Voting	130	2	9	130	2	10
Nawaloka Hospitals PLC	26,666	20	125	26,666	20	93
The Lanka Hospital Corporation PLC	100	2	6	100	2	5
Total		37	233		37	200

16.1 GROUP Cont.

As at 31st March,	No. of Shares 2017	Cost 2017 Rs.'000	Carrying Value 2017 Rs.'000	GROUP		
				No. of Shares 2016	Cost 2016 Rs.'000	Carrying Value 2016 Rs.'000
Hotel & Travel						
Aitken Spence Hotel Holdings PLC	140	2	5	140	2	7
Amaya Leisure PLC	267	2	17	260	2	16
Asian Hotels & Properties PLC	200	1	11	200	1	10
Browns Beach Hotels PLC	150	-	3	150	-	4
Ceylon Hotels Corporation PLC	510	2	10	510	2	12
Citrus Leisure PLC	-	-	-	53	1	-
Dolphin Hotels PLC	125	1	4	125	1	5
Eden Hotel Lanka PLC	200	2	2	200	2	3
Galadari Hotels (Lanka) PLC	100	-	1	100	-	1
Hotel Developers (Lanka) PLC	4	-	-	4	-	-
Hotel Sigiriya PLC	14,000	65	-	14,000	65	-
Hunas Falls Hotels PLC	450	19	21	450	19	23
John Keells Hotels PLC	1,506	5	15	1,506	5	18
Mahaweli Reach Hotels PLC	100	1	2	100	1	2
Miramar Beach Hotel PLC	100	1	6	100	1	6
Palm Garden Hotels PLC	56	3	1	56	3	2
Pegasus Hotels of Ceylon PLC	1,093	37	35	1,093	37	35
Renuka City Hotel PLC	600	148	176	600	148	194
Royal Palms Beach Hotels PLC	475	12	10	475	12	17
Tal Lanka Hotels PLC	100	-	2	100	-	2
The Kingsbury PLC	687	3	11	687	3	10
The Fortress Resorts PLC	500	5	6	500	5	7
The Lighthouse Hotel PLC	100	1	5	100	1	5
The Nuwara Eliya Hotels Company PLC	11	4	16	11	4	15
Trans Asia Hotels PLC	400	1	-	400	1	-
Total		315	360		316	394
Information Technology						
E - Channelling PLC	1,162	2	7	1,162	2	9
PC House PLC	1,000	11	-	1,000	11	-
Total		13	7		13	9
Investment Trust						
Ascot Holdings PLC	97	1	2	97	1	2
Ceylon Guardian Investment Trust PLC	174	2	16	174	2	21
Ceylon Investment PLC	463	3	19	463	3	24
Colombo Fort Investments PLC	81	2	5	81	2	17
Colombo Investment Trust PLC	140	2	11	140	2	12
Renuka Holdings PLC- Voting	164	1	2	164	1	3
Renuka Holdings PLC- Non Voting	1,180	17	24	1,180	17	25
Total		28	79		28	104

Notes to the Financial Statements Contd.

16.1 GROUP Cont.

As at 31st March,	No. of Shares 2017	Cost 2017 Rs.'000	Carrying Value 2017 Rs.'000	GROUP		
				No. of Shares 2016	Cost 2016 Rs.'000	Carrying Value 2016 Rs.'000
Land & Property						
C.T. Land Development PLC	100	1	4	100	1	5
City Housing & Real Estate Co. PLC	180	1	1	180	1	2
Colombo Land & Development Company PLC	1,400	2	35	1,400	2	30
Commercial Development PLC	600	6	40	600	6	52
East West Properties PLC	1,200	6	17	1,200	6	16
Equity Two PLC	100	1	6	100	1	7
Kelsey Developments PLC	337	4	17	337	4	21
On'ally Holdings PLC	31	-	1	31	-	2
Overseas Realty (Ceylon) PLC	300	2	6	300	2	7
Serendib Land PLC	30	2	49	30	2	64
Seylan Developments PLC	204	1	3	204	1	2
Touchwood Investments PLC	2,400	1	6	2,400	1	6
Total		27	186		27	214
Manufacturing						
Abans Electricals PLC	240	12	21	240	12	27
ACL Cables PLC	576	2	31	288	2	29
ACL Plastics PLC	100	3	18	100	3	16
ACME Printing and Packaging PLC	10,300	257	50	10,300	257	55
Alufab PLC	90	3	3	90	3	3
Blue Diamonds Jewellery Worldwide PLC	22	-	-	22	-	-
Bogala Graphite Lanka PLC	200	1	2	200	1	3
Ceylon Grain Elevators PLC	10	-	1	10	-	1
Chevron Lubrications Lanka PLC	12,400	180	2,108	6,200	180	1,891
Dankotuwa Porcelain PLC	166	3	1	166	3	1
Dipped Products PLC	86	2	7	86	2	6
Hayleys Fibre PLC	105	2	6	105	2	4
Kelani Tyres PLC	360	2	20	360	2	23
Lanka Aluminium Industries PLC	10	-	1	10	-	1
Lanka Cement PLC	100	-	-	100	-	1
Lanka Ceramic PLC	31	1	4	31	1	4
Lanka Tiles PLC	52	1	5	52	1	5
Pelwatte Sugar Industries PLC	100	-	-	100	-	-
Piramal Glass Ceylon PLC	3,428	6	19	3,428	6	17
Regnis (Lanka) PLC	30	1	4	30	1	4
Richard Peiris Exports PLC	92	3	19	92	3	19
Royal Ceramics Lanka PLC	10,896	114	1,297	10,896	114	1,091
Samson International PLC	50	1	5	50	1	5
Sierra Cables PLC	2,600	8	8	2,600	8	7
Singer Industries (Ceylon) PLC	33	1	4	33	1	5
Swisstek (Ceylon) PLC	100	-	7	100	-	6
Tokyo Cement Company (Lanka) PLC-Voting	546,030	29,970	33,308	546,030	29,970	20,201
Total		30,573	36,948		30,573	23,425

16.1 GROUP Cont.

As at 31st March,	No. of Shares 2017	Cost 2017 Rs.'000	Carrying Value 2017 Rs.'000	GROUP		
				No. of Shares 2016	Cost 2016 Rs.'000	Carrying Value 2016 Rs.'000
Motors						
Diesel & Motor Engineering PLC	6	-	3	6	-	4
Lanka Ashok Leyland PLC	90	1	96	90	1	136
Sathosa Motors PLC	66	2	20	66	2	20
The Autodrome PLC	100	2	7	100	2	9
Total		5	126		5	169
Oil Palms						
Bukit Darah PLC	10	3	3	10	3	4
Indo Malay PLC	5	1	7	5	1	8
Selinsing PLC	36	9	52	43	11	58
Total		13	62		15	70
Plantations						
Agalawatte Plantations PLC	100	1	2	100	1	2
Balangoda Plantations PLC	310	4	3	310	4	5
Bogawantalawa Tea Estates PLC	46	-	-	46	-	-
Hapugastenne Plantations PLC	300	5	6	300	5	6
Horana Plantations PLC	120	2	3	120	2	3
Kahawatte Plantations PLC	531	77	20	531	77	20
Kegalle Plantations PLC	200	1	10	200	1	10
Kelani Valley Plantations PLC	200	1	16	200	1	14
Madulsima Plantations PLC	200	2	2	200	2	2
Malwatte Valley Plantations PLC	1,100	2	6	1,100	2	5
Maskeliya Plantations PLC	2,300	42	18	2,300	42	18
Metropolitan Resource Holdings PLC	22	1	1	22	1	-
Namunukula Plantations PLC	1,200	22	88	1,200	22	72
Talawakelle Tea Estates PLC	700	15	22	700	15	23
Udapussellawa Plantations PLC	200	4	4	200	4	4
Watawala Plantations PLC	12,000	43	292	12,000	43	232
Total		222	494		222	416
Power and Energy						
Lanka IOC PLC	800	22	23	800	22	26
Panasian Power PLC	1,000	3	3	1,000	3	3
Resus Energy PLC	1,000	19	19	1,000	19	22
Vallibel Power Erathna PLC	3,000	8	21	3,000	8	24
Vidullanka PLC	1,856	2	10	1,856	2	11
Total		54	76		54	86

Notes to the Financial Statements Contd.

16.1 GROUP Cont.

As at 31st March,	No. of Shares 2017	Cost 2017 Rs.'000	Carrying Value 2017 Rs.'000	GROUP		
				No. of Shares 2016	Cost 2016 Rs.'000	Carrying Value 2016 Rs.'000
Service						
John Keells PLC	336	2	17	336	2	24
Paragon Ceylon PLC	100	1	7	100	1	6
Total		3	24		3	30
Stores and Suppliers						
Gestetner of Ceylon PLC	754	16	89	679	16	90
Hunters & Company PLC	24	1	10	24	1	10
Total		17	99		17	100
Telecommunications						
Dialog Axiata PLC	100	2	1	100	2	1
Sri Lanka Telecom PLC	200	3	7	200	3	8
Total		5	8		5	9
Trading						
Brown & Company PLC	100	3	7	100	3	8
Ceylon & Foreign Traders PLC	10,000	5	46	10,000	5	50
Singer Sri Lanka PLC	196	5	27	196	5	24
Tess Agro PLC	2,053	2	2	2,053	2	2
Total		15	82		15	84
Total Quoted Investments		66,007	174,934		65,974	165,060

As at 31st March,				GROUP		
	No. of Shares 2017	Cost 2017 Rs.'000	Carrying Value 2017 Rs.'000	No. of Shares 2016	Cost 2016 Rs.'000	Carrying Value 2016 Rs.'000
16.1.2 Unquoted Investments						
Asia Pacific Golf Courses Limited	2,500	250	250	2,500	250	250
Ceylon Biscuits Limited	5,041,680	30	251,328	5,041,680	30	214,279
Dacreel Ceylon Limited	1	-	-	1	-	-
Duramedical (Lanka) Limited	-	-	-	100,000	1,000	1,000
Dutch Dairy International Limited	125,000	5,400	5,400	125,000	5,400	5,400
Far Eastern Exports Limited	160,500	1,670	1,757	160,500	1,670	1,757
Fortland Finance Limited	31,500	318	-	31,500	318	-
International Manufacturers Company Limited	3,300	23	23	3,300	23	23
Rubber & Allied Products Limited	5,393	-	-	5,393	-	-
Srilanka Institue of Nanotechnology (Private) limited	3,814,182	50,000	17,463	3,814,182	50,000	17,463
Union Construction Engineering Limited	5,500	55	55	5,500	55	55
York Conventions (Private) Limited	-	-	10	-	-	10
Total		57,746	276,287		58,746	240,237
16.1.3 Unit Trusts						
Ceybank Unit Trust	13,580,829	138,708	152,171	13,580,829	138,708	138,708
Comtrust Equity Fund	94,856	1,835	1,897	94,856	1,835	1,835
National Equity Fund	378,908	1,709	12,428	378,908	1,709	11,129
Pyramid Unit Trust	75,558	2,447	2,665	75,558	2,447	2,447
Total		144,699	169,161		144,699	154,119
16.1.4 Financial Assets Held to Maturity						
Long term Fixed Deposits			-	-	-	5,852
Total			-	-	-	5,852

Sector classification and market value per share are based on the official valuation list published by the Colombo Stock Exchange.

Notes to the Financial Statements Contd.

As at 31st March,	No. of Shares 2017	Cost 2017 Rs.'000	Carrying Value 2017 Rs.'000	No. of Shares 2016	Cost 2016 Rs.'000	Carrying Value 2016 Rs.'000
16.2 COMPANY						
16.2.1 Quoted Investments						
Banks, Finance & Insurance						
People's Leasing Company PLC	10,000	180	156	10,000	180	160
The Finance Company PLC	100	9	1	100	9	1
Total		189	157		189	161
Beverages, Food & Tobacco						
Ceylon Beverage PLC	226	1	135	226	1	131
Total		1	136		1	131
Manufacturing						
Royal Ceramic Lanka PLC	10,890	114	1,296	10,890	114	1,090
Total		114	1,296		114	1,090
Plantations						
Namunukula Plantations PLC	1,000	15	74	1,000	15	59
Total		15	74		15	59
Total		319	1,662		319	1,441

Sector classification and market value per share are based on the official valuation list published by the Colombo Stock Exchange.

16.3 Other Financial Assets - Current

As at 31st March,	Notes	GROUP		COMPANY	
		Carrying Value 2017 Rs.'000	Carrying Value 2016 Rs.'000	Carrying Value 2017 Rs.'000	Carrying Value 2016 Rs.'000
Financial assets classified as Held for Trading					
Quoted Investments - Held -for- trading	16.3.1	751,326	719,803	-	-
Share Warrants - Held -for- trading	16.3.2	-	23	-	-
Unit Trusts - Held -for- trading	16.3.3	8,276	8,018	-	-
		759,601	727,844	-	-

The movement of the financial assets at fair value through profit or loss is as follows;

	GROUP	
	Carrying Value 2017 Rs.'000	Carrying Value 2016 Rs.'000
At the beginning of the year		
Investment in Unit Trust	8,018	9,234
Equity Investments	719,827	906,906
	727,844	916,140

	GROUP	
	Carrying Value 2017 Rs.'000	Carrying Value 2016 Rs.'000
Additions		
Investment in Unit Trust	322	767
Equity Investments	25,999	4,303
	26,321	5,070
Disposals		
Investment in Unit Trust	-	(108)
Equity Investments	(9,808)	(3497)
	(9,808)	(3,605)
Market Fair value changes		
Investment in Unit Trust	(63)	(1,875)
Equity Investments	15,308	(187,885)
	15,245	(189,760)
At the end of the year		
Investment in Unit Trust	8,276	8,018
Equity Investments	751,326	719,827
	759,601	727,844

16.3 GROUP

	GROUP					
As at 31st March,	No. of Shares 2017	Cost 2017 Rs.'000	Carrying Value 2017 Rs.'000	No. of Shares 2016	Cost 2016 Rs.'000	Carrying Value 2016 Rs.'000
16.3.1 Quoted Investments						
Banks, Finance & Insurance						
Alliance Finance Company PLC	80,000	353	4,400	6,000	354	4,440
Amana Takaful PLC	750,000	858	600	750,000	858	1,050
Asian Alliance Insurance PLC	100,000	284	1,950	100,000	284	1,510
Capital Alliance Finance PLC	3,479,939	123,600	34,799	3,479,939	123,600	35,147
Central Finance Company PLC	38,440	710	3,314	18,600	710	3,906
Commercial Bank of Ceylon PLC-Non-Voting	98,327	2,611	10,138	96,759	2,436	10,934
Commercial Bank of Ceylon PLC-Voting	873,561	18,615	113,921	861,162	17,086	108,076
Hatton National Bank PLC- Non-Voting	51,330	1,268	9,496	30,858	891	5,277
Hatton National Bank PLC-Voting	253,262	2,977	56,999	249,224	2,977	49,670
HNB Assurance PLC	100,000	1,308	5,810	119,594	1,685	8,751
Housing Development Finance Corporation Bank of Sri Lanka	105,802	7,478	12,061	105,802	7,478	14,495
Lanka ORIX Finance PLC	79,400	544	175	79,400	544	5,716
Lanka ORIX Leasing Company PLC	394,000	939	24,034	394,000	939	2,972
Lanka Ventures PLC	339,700	11,404	14,407	339,700	11,404	14,607
Merchant Bank of Sri Lanka & Finance PLC	124,879	8,170	1,349	124,879	8,170	1,274

Notes to the Financial Statements Contd.

16.3.1 Quoted Investments Contd.

As at 31st March,	GROUP					
	No. of Shares	Cost	Carrying Value	No. of Shares	Cost	Carrying Value
	2017	2017 Rs.'000	2017 Rs.'000	2016	2016 Rs.'000	2016 Rs.'000
Nation Lanka Finance PLC	11,250	68	11	11,250	68	11
National Development Bank PLC	20,197	709	2,820	19,456	620	3,285
Nations Trust Bank PLC	154,625	3,955	11,442	154,625	3,955	11,473
Pan Asia Banking Corporation PLC	467,100	4,661	7,193	311,400	2,523	7,162
People's Merchant Finance PLC	1,500	27	21	1,500	27	5
Sampath Bank PLC	76,526	4,157	19,820	70,824	2,865	16,006
Seylan Bank PLC-Non-Voting	267,709	4,172	14,644	267,709	4,172	16,865
Union Bank of Colombo PLC	384,100	7,685	5,454	384,100	7,685	6,376
Total		206,551	354,858		201,331	329,008
Beverages, Food & Tobacco						
Cargills (Ceylon) PLC	127,800	4,386	23,988	127,800	4,386	19,170
Ceylon Cold Stores PLC	9,320	177	7,559	9,320	177	4,008
Ceylon Tea Services PLC	1,428	86	857	1,428	86	880
Ceylon Tobacco Company PLC	3,500	140	3,048	3,500	140	3,542
Keells Food Products PLC	3,570	174	518	3,570	174	607
Lanka Milk Foods (CWE) PLC	133	4	16	133	4	15
Nestle Lanka PLC	4,700	404	9,820	4,700	404	9,533
Renuka Agri Foods PLC	91,560	307	256	91,560	307	275
Renuka Foods PLC -Voting	223,770	295	4,028	223,770	295	4,654
Renuka Foods PLC -Non Voting	1,914	24	32	1,914	24	37
Three Acre Farms PLC	25,000	216	3,208	25,000	216	2,130
Total		6,213	53,328		6,213	44,851
Chemicals and Pharmaceuticals						
Chemnex PLC	17,700	1,558	974	17,700	1,558	1,115
Haycarb PLC	345	10	52	345	10	55
Union Chemicals Lanka PLC	100	1	55	100	1	59
Total		1,569	1,081		1,569	1,229
Construction & Engineering						
Colombo Dockyard PLC	16,380	927	1,245	16,380	927	1,770
MTD Walkers PLC	87,960	-	3,079	87,960	-	2,929
Total		927	4,324		927	4,699
Diversified Holdings						
Aitken Spence PLC						
Browns Investments PLC	706,000	1,933	988	706,000	1,933	918
Carson Cumberbatch PLC	664	81	108	664	81	179
Dunamis Capital PLC	60,875	419	1,248	60,875	419	1,035
Hayleys PLC	100,016	2,372	26,504	100,016	2,372	24,574
Hemas Holdings PLC	20,888	367	2,271	20,888	367	1,683
John Keells Holdings PLC	69,137	5,686	9,534	58,028	5,265	8,588
Richard Peiris & Company PLC	4,740	12	39	4,740	12	34
Sunshine Holdings PLC	700	23	32	700	23	35
Vallibel One PLC	104,000	2,600	1,820	104,000	2,600	1,851
Total		13,493	42,545		13,072	38,897

16.3.1 Quoted Investments Contd.

As at 31st March,	GROUP					
	No. of Shares 2017	Cost 2017 Rs.'000	Carrying Value 2017 Rs.'000	No. of Shares 2016	Cost 2016 Rs.'000	Carrying Value 2016 Rs.'000
Footwear & Textile						
Hayleys MGT Knitting Mills PLC	8,590	194	117	8,590	194	155
Odel PLC	1,500	23	38	1,500	23	33
Total		217	154		217	188
Healthcare						
Asiri Hospital Holdings PLC	353,000	895	9,107	353,000	895	8,472
Asiri Surgical Hospital PLC	112,500	277	1,035	112,500	277	1,238
Ceylon Hospitals PLC (Durdans) -Voting	13,330	301	1,200	13,330	301	1,102
The Lanka Hospital Corporation PLC	33,000	489	2,030	33,000	489	1,683
Total		1,962	13,372		1,962	12,495
Hotel & Travel						
Aitken Spence Hotel Holdings PLC	100,625	1,856	3,542	100,625	1,856	5,333
Amaya Leisure PLC	64,798	2,223	4,134	62,999	2,097	3,811
Asian Hotels & Properties PLC	72,000	989	3,996	72,000	989	3,442
Ceylon Hotels Corporation PLC	10,000	254	192	10,000	254	240
Citrus Leisure PLC	168,714	4,029	1,181	168,714	4,029	1,130
Dolphin Hotels PLC	20,000	275	630	20,000	275	840
Eden Hotel Lanka PLC	350,000	7,006	3,815	350,000	7,006	5,600
Galadari Hotels (Lanka) PLC	7,000	60	64	7,000	60	61
Hikkaduwa Beach Resort PLC	33,742	675	445	33,742	675	449
John Keells Hotels PLC	530,416	8,907	5,304	530,416	8,907	6,365
Palm Garden Hotels PLC	15,164	711	365	15,164	711	453
Pegasus Hotels of Ceylon PLC	22,666	499	737	22,666	499	714
Renuka City Hotel PLC	12,740	897	3,752	12,740	897	4,133
Royal Palms Beach Hotels PLC	15,700	629	344	15,700	629	479
Serendib Hotels PLC-Non-Voting	31,250	296	722	31,250	296	546
Tal Lanka Hotels PLC	19,500	182	410	19,500	182	456
Tangerine Beach Hotels PLC	11,400	348	678	11,400	348	760
The Fortress Resorts PLC	50	1	1	50	1	1
The Lighthouse Hotel PLC	114,800	1,948	5,625	114,800	1,948	6,073
Total		31,785	35,937		31,659	40,886
Investment Trust						
Ceylon Guardian Investment Trust PLC	151,420	1,517	13,643	151,420	1,517	18,125
Ceylon Investment PLC	595,848	2,862	23,834	595,848	2,862	31,402
Guardian Capital Partners PLC	113,000	8,253	3,108	113,000	8,253	3,175
Renuka Holdings PLC-Voting	3,370,000	5,852	3,211	3,370,000	5,852	10,447
Total		18,484	43,795		18,484	63,149

Notes to the Financial Statements Contd.

16.3.1 Quoted Investments Contd.

As at 31st March,	GROUP					
	No. of Shares 2017	Cost 2017 Rs.'000	Carrying Value 2017 Rs.'000	No. of Shares 2016	Cost 2016 Rs.'000	Carrying Value 2016 Rs.'000
Land & Property						
C.T. Land Development PLC	2,000	14	88	2,000	14	91
Colombo Land & Development Company PLC	522,460	4,783	12,905	522,460	4,783	11,181
East West Properties PLC	48,000	338	677	48,000	338	648
Equity Two PLC	25,200	217	1,504	25,200	217	1,653
Property Development PLC	8,000	133	660	8,000	133	649
Serendib Engineering Group PLC	3,897,859	55,283	22,997	3,897,859	55,283	26,505
Touchwood Investments PLC	600,000	10,602	-	600,000	10,602	1,560
Total		71,370	38,831		71,370	42,287
Manufacturing						
ACL Cables PLC	72,000	1,485	3,924	36,000	1,485	3,632
Bogala Graphite Lanka PLC	11,200	37	127	11,200	37	168
Ceylon Grain Elevators PLC	30,000	302	2,067	30,000	302	2,067
Chevron Lubrications Lanka PLC	20,000	387	3,400	10,000	387	3,050
Dankotuwa Porcelain PLC	52,500	414	315	52,500	415	357
Dipped Products PLC	35,024	1,562	2,662	35,024	1,562	2,557
Hayleys Fibre PLC	489	21	29	489	21	19
Kelani Cables PLC	400	7	47	400	7	45
Kelani Tyres PLC	160	1	9	160	1	10
Lanka Cement PLC	5,000	39	24	5,000	39	25
Lanka Tiles PLC	25,000	630	2,550	25,000	630	2,515
Lanka Walltiles PLC	100,000	3,947	9,300	100,000	3,947	9,880
Orient Garments PLC	610,320	13,193	4,272	610,320	13,193	4,272
Pelwatte Sugar Industries PLC	-	-	-	5,000	96	-
Piramal Glass Ceylon PLC	250,000	1,400	1,400	250,000	1,400	1,275
Regnis (Lanka) PLC	137,853	2,465	18,596	137,853	2,465	20,155
Richard Peiris Exports PLC	40,600	1,066	8,485	40,600	1,066	8,575
Sierra Cables PLC	824,000	1,515	2,472	824,000	1,515	2,389
Singer Industries (Ceylon) PLC	31,800	844	4,051	31,800	844	4,452
Textured Jersey Lanka PLC	10,000	150	370	10,000	150	317
Tokyo Cement Company (Lanka) PLC-Non-Voting	474,540	7,885	25,150	474,540	7,885	15,327
Tokyo Cement Company (Lanka) PLC-Voting	387,081	19,422	23,612	387,081	19,422	14,321
Total		56,772	112,862		56,869	95,408
Motors						
United Motors Lanka PLC	34,881	334	2,721	34,881	334	2,895
Total		334	2,721		334	2,895
Oil Palms						
Bukit Darah PLC	548	121	143	548	121	192
Total		121	143		121	192

16.3.1 Quoted Investments Contd.

As at 31st March,	GROUP					
	No. of Shares 2017	Cost 2017 Rs.'000	Carrying Value 2017 Rs.'000	No. of Shares 2016	Cost 2016 Rs.'000	Carrying Value 2016 Rs.'000
Plantations						
Watawala Plantations PLC	432,000	526	10,541	432,000	526	8,338
Total		526	10,541		526	8,338
Power and Energy						
Lanka IOC PLC	174,600	5,418	5,063	174,600	5,418	5,675
Panasian Power PLC	29,200	88	88	29,200	88	93
Resus Energy PLC	110,000	2,098	2,090	110,000	2,098	2,442
Vallibel Power Erathna PLC	39,017	86	277	39,017	85	312
Vidullanka PLC	592,775	1,030	3,082	592,775	1,030	3,557
Total		8,719	10,600		8,719	12,079
Service						
John Keells PLC	20,000	383	1,022	20,000	383	1,400
Total		383	1,022		383	1,400
Telecommunications						
Dialog Axiata PLC	15,000	224	170	15,000	224	153
Total		224	170		224	153
Trading						
Browns & Company PLC	28,900	2,745	2,052	28,900	2,745	2,306
Singer Sri Lanka PLC	164,338	679	22,991	164,338	679	19,343
Total		3,424	25,043		3,424	21,649
Total Held for Trading Financial Assets		423,074	751,326		417,404	719,803
16.3.2 Share Warrants						
John Keells Holdings - Warrants (2016)	-	-	-	2,468	-	23
			-			23

Notes to the Financial Statements Contd.

As at 31st March,	GROUP					
	No. of Shares 2017	Cost 2017 Rs.'000	Carrying Value 2017 Rs.'000	No. of Shares 2016	Cost 2016 Rs.'000	Carrying Value 2016 Rs.'000
16.3.3 Unit Trusts						
Bartleet Transcapital Limited	10,000	200	200	10,000	200	200
Ceybank Unit Trust	304,958	5,037	7,203	292,672	2,439	7,015
National Equity Fund	12,000	120	382	12,000	120	360
NDB Wealth Growth & Income Fund	13,694	220	491	-	-	-
Eagle Growth and Income Fund	-	-	-	13,964	220	443
Total		5,577	8,276		2,979	8,018

16(a) Financial Assets and Liabilities by Fair Value Hierarchy - Group

The Group uses the following hierarchy for determining and disclosing the fair value of financial instruments by valuation technique.

Level 1: quoted (unadjusted) prices in active markets for identical assets or liabilities.

Level 2: other techniques for which all inputs with significant effect on the recorded fair values are observable, either directly or indirectly.

Level 3: techniques that use inputs that have a significant effect on the recorded fair value that are not based on observable market data.

The Group held the following financial instruments carried at fair value in the statement of financial position:

As at 31st March	Level 1		Level 2		Level 3	
	2017 Rs.'000	2016 Rs.'000	2017 Rs.'000	2016 Rs.'000	2017 Rs.'000	2016 Rs.'000
Quoted Investments - Available-for-Sale	174,934	165,060	-	-	-	-
Quoted Investments - Held -for- trading	751,326	719,803	-	-	-	-
Unquoted Investments - Available-for-Sale	-	-	-	-	276,287	240,237
Unit Trusts - Available-for-Sale	169,161	154,119	-	-	-	-
Unit Trusts - Held -for- trading	8,276	8,018	-	-	-	-
Share Warrants	-	23	-	-	-	-

Level	Type	Valuation technique	Significant unobservable inputs	Inter-relation between significant unobservable inputs and fair value measurements
Level 3	Equity securities	Cash flow valuation	Cash inflows and outflows related to investments Discount rate applicable to relevant investments	Change in cashflow assumption would increase/(decrease) value of investment. The estimated fair value of investment would change if discount rate changes.

16(b) Financial Assets and Liabilities by Fair Value Hierarchy - Company

The Company uses the fair value hierarchy given above for determining and disclosing the fair value of financial instruments.

The Company held the following financial instruments carried at fair value in the statement of financial position:

As at 31st March	Level 1		Level 2		Level 3	
	2017 Rs.'000	2016 Rs.'000	2017 Rs.'000	2016 Rs.'000	2017 Rs.'000	2016 Rs.'000
Quoted Investments - Available-for-Sale	1,662	1,441	-	-	-	-

17 DEFERRED TAX ASSETS

As at 31st March,	GROUP		COMPANY	
	2017 Rs.'000	2016 Rs.'000	2017 Rs.'000	2016 Rs.'000
Balance at the beginning of the Year	114,736	42,055	-	-
	114,736	42,055	-	-
Origination of Temporary Differences				
Recognised in Profit / (Loss) for the year	78,450	71,449	-	-
Recognised in Other Comprehensive Income	(9,466)	2,630	-	-
Transfer to/ From Deferred Tax Liabilities (Note 26)	4,565	(1,398)	-	-
Balance at the end of the Year	188,285	114,736	-	-
17.1 Deferred Tax Composition - Group				
Property Plant and Equipment	(82,655)	(140,364)	-	-
Defined Benefit Obligations	48,872	56,235	-	-
Impairment of Debtors	13,628	11,429	-	-
Impairment of Inventory	-	734	-	-
Tax loss carried forward	208,440	186,702	-	-
Deferred Tax Assets	188,285	114,736	-	-

18 INVENTORIES

As at 31st March,	GROUP		COMPANY	
	2017 Rs.'000	2016 Rs.'000 Restated	2017 Rs.'000	2016 Rs.'000
Raw Materials	2,183,358	2,344,896	-	-
Growing Crop-Nurseries	39,451	38,188	-	-
Consumable Stock	27,304	23,084	-	-
Work- in -Progress	106,040	114,514	-	-
Finished Goods	4,139,677	2,878,650	-	-
Motor Vehicles	510,435	930,457	-	-
Goods-In-Transit	82,046	546,363	-	-
	7,088,311	6,876,425	-	-
Less: Provision for Obsolete Inventories*	(190,773)	(180,894)	-	-
	6,897,538	6,695,531	-	-

Note: * The amount written off during the year amounts to Rs. 73 Mn

19 TRADE AND OTHER RECEIVABLES

Trade Debtors	6,108,914	5,879,869	-	-
Less: Impairment Loss on Trade Receivable*	(291,041)	(346,625)	-	-
	5,817,883	5,533,244	-	-
Other Receivables	776,839	677,226	50,607	2,062
Deposits & Prepayments	877,137	1,050,651	805	870
Staff Loan	123,594	128,972	-	-
Other Tax Recoverable (Note -19.1)	334,292	330,930	-	-
	2,111,906	2,187,779	51,412	2,932
	7,929,745	7,721,023	51,412	2,932

Note: * The amount written off during the year amounts to Rs. 94 Mn

Notes to the Financial Statements Contd.

As at 31st March,	GROUP		COMPANY	
	2017 Rs.'000	2016 Rs.'000 Restated	2017 Rs.'000	2016 Rs.'000
19.1 Other Tax Recoverable				
WHT Recoverable	1,587	3,229	-	-
NBT Recoverable	2,472	2,683	-	-
VAT Recoverable	97,156	131,845	-	-
ESC Recoverable	192,716	159,957	-	-
Other Tax Recoverable	40,361	33,216	-	-
	334,292	330,930	-	-

20 CASH AND CASH EQUIVALENTS

As at 31st March,	GROUP		COMPANY	
	2017 Rs.'000	2016 Rs.'000	2017 Rs.'000	2016 Rs.'000
Favourable Balance				
Fixed Deposits	473,938	480,520	115,400	111,000
Other Cash & Cash Equivalents	215	3,699	-	-
Cash at Bank	1,140,850	1,118,337	3,970	4,124
Cash in Hand	22,424	17,470	-	-
	1,637,426	1,620,026	119,370	115,124
Bank Overdraft	(3,184,515)	(3,269,913)	(111,147)	(93,852)
Cash & Cash Equivalents as per Statement of Cash Flows	(1,547,089)	(1,649,887)	8,223	21,272

20.1 Security Details Over Bank Overdraft Facilities

20.1.1 Company

The bank overdraft facility of the Company is secured over the fixed deposit of Rs.111 million.

20.1.2 GROUP

E.B.Creasy & Company PLC

- The bank overdraft facility of Hatton National Bank PLC is secured by existing primary concurrent floating mortgage totaling to Rs. 36 million over land & building situated at No. 98, Sri Sangaraja Mawatha, Colombo 10.
- The bank overdraft facilities of Sampath Bank PLC is secured by Lankem Ceylon PLC shares to the value Rs. 20 million lodged in the custodial accounts.
- The bank overdraft facilities of Bank of Ceylon is secured by 2.5 million numbers of Lankem Ceylon PLC shares.
- The bank overdraft Facility of Commercial Bank of Ceylon PLC is secured by primary mortgage for Rs. 91.8 million over the property at No. 53 1/1, 53 2/1, & 57, Sir Baron Jayatilake Mawatha, Colombo 01, belonging to Colombo Fort Land & Building PLC (Parent Company) and secondary mortgage bond for Rs. 83 million executed over the same.

Creasy Foods Limited

The bank overdraft is secured on the land, buildings and stocks at Unit Three - Industrial Estate, Ekala, Ja-Ela

Agarapatana Plantations Limited

Bank overdraft facilities of Agarapatana Plantations Limited, a subsidiary of the Company are secured by pledging the following:

- Primary mortgage over leasehold rights to bare land and building of Glenanore and Haputale Estates including machinery fixed at each of these estates (facility amount Rs. 140 million and Rs.110 million) from Bank of Ceylon .
- Primary mortgage over leasehold rights to bare land and building of Torrington Estate (facility amount Rs. 50 million) from Indian Bank.
- Mortgage over leasehold rights over the estate, land and buildings, fixed and floating assets of Diyagama East Estate (facility amount Rs. 50 million) from Seylan Bank.

(d) Deposit of original title deeds and plan relating to Dambetenne Estate (facility amount Rs. 20 million) from Commercial Bank of Ceylon PLC.

Kotagala Plantations PLC

Bank overdraft facilities obtained from Seylan Bank PLC (facility amount Rs. 130 million) and Standard Chartered Bank (facility amount Rs. 250 Million) of Kotagala Plantations PLC, a subsidiary of the Company, are secured by pledging the following,

- (a) Primary mortgages over leasehold rights of the estate lands and buildings, fixed and floating assets of Yulliefield and Chrystlers Farm Estates.
- (b) Primary mortgages over leasehold rights of the estate lands and buildings, Sorana Estates.
- (c) Primary mortgages over leasehold rights of the estate lands and buildings, fixed and floating assets of Hedigalle and Eduragala Estates.

21 ASSETS HELD FOR SALE

C. W. Mackie PLC

C. W. Mackie PLC and Co-Ro A/S from Denmark has entered in to a joint venture agreement on 24 February 2017, with the purpose of manufacturing, processing and marketing Co-Ro's products in the form of concentrates and ready to drink (RTD) products

Accordingly, assets relating to Concentrate Squashes manufacturing and bottling factory which are to be transferred to the above referred joint venture is presented as assets held for sale and expected sale of assets will commence by June 2017, once the joint venture Company is formed and commences its operations.

As at 31 March 2017 assets held for sale stated at cost less accumulated depreciation and comprises of the following assets:

	Cost Rs.'000	Accumulated Depreciation Rs.'000	Written Down Rs.'000
Freehold land	139,499	-	139,499
Buildings on freehold land	77,211	13,596	63,615
Plant and machinery	114,354	111,418	2,936
Freehold motor vehicles	15,278	14,758	520
Factory equipment	4,603	3,397	1,206
Office equipment	200	200	-
Lab equipment	394	394	-
Computers	1,009	829	180
	352,548	144,592	207,956

The fair value less cost to sell of these assets are determined to be higher and there is no indication of impairment of the carrying value of the assets.

Cumulative income or expenses included in Other Comprehensive Income

There are no cumulative income or expenses included in Other Comprehensive Income relating to the disposal group.

22 STATED CAPITAL

	2017		2016	
	Number of Shares	Value of Shares Rs.'000	Number of Shares	Value of Shares Rs.'000
Fully-Paid Ordinary Shares				
At the beginning of the Year	180,000,000	327,000	180,000,000	327,000
At the end of the Year	180,000,000	327,000	180,000,000	327,000

The holders of ordinary shares are entitled to receive dividends as declared from time to time and are entitled to one vote per share at meetings of the Company.

Notes to the Financial Statements Contd.

23 CAPITAL RESERVES

	Property Development Reserve Rs.'000	Capital Redemption Reserve Fund Rs.'000	Total Rs.'000
GROUP			
Balance as at 31.03.2016	15,190	4,868	20,058
Balance as at 31.03.2017	15,190	4,868	20,058
COMPANY			
Balance as at 31.03.2016	10,000	-	10,000
Balance as at 31.03.2017	10,000	-	10,000

23.1 Nature and the Purpose of Reserves

23.1.1 Property Development Reserve

Represent of the amount set aside for future development of properties.

23.1.2 Capital Redemption Reserve Fund

The amount set aside out of retained earnings for redemption of preference shares.

23.1.3 Available for Sale Reserve

The amount set aside out of retained profits for the changes in the fair value of investments classified as available for sale.

23.1.4 General Reserve

General reserve is the reserve set aside for general purposes.

As at 31st March,	GROUP		COMPANY	
	2017 Rs.'000	2016 Rs.'000	2017 Rs.'000	2016 Rs.'000
24 LOANS & BORROWINGS				
Payable after one year				
Lease Obligation - JEDB/SLSPC (Note 24.1.a)	363,695	371,165	-	-
Lease Obligation- Others (Note 24.2.a)	134,258	194,524	-	-
Loans - Others (Note 24.3)	4,875,649	3,878,554	121,000	110,000
Debentures (Note 24.4)	930,000	930,000	-	-
	6,303,602	5,374,243	121,000	110,000
Payable within one year				
Lease Obligation - JEDB/SLSPC (Note 24.1.a)	7,470	7,047	-	-
Lease Obligation - Others (Note 24.2.a)	104,841	71,334	-	650
Loans - Others (Note 24.3)	3,007,117	2,870,507	61,500	85,000
Debentures (Note 24.4)	-	200,000	-	-
Trust Receipt Loans (Note 24.6)	2,595,079	1,638,609	-	-
Other Short Term Loans	4,472,692	4,704,155	-	-
	10,187,199	9,491,652	61,500	85,650
	16,490,801	14,865,895	182,500	195,650

As at 31st March,	GROUP		COMPANY	
	2017 Rs.'000	2016 Rs.'000	2017 Rs.'000	2016 Rs.'000
24.1 Lease Obligation - JEDB/SLSPC				
Gross Lease Obligations	647,922	670,093	-	-
Payments made during the Year	(22,170)	(22,170)	-	-
Less: Finance cost applicable for future Period	(254,587)	(269,711)	-	-
Net Lease Obligations (Note 24.1.a)	371,165	378,212	-	-
24.1.a Analysis of Lease Obligations by Year of Repayment				
Lease Obligations Repayable within One Year from Year end				
Gross Lease Obligations	22,170	22,170	-	-
Less: Finance cost applicable for future Period	(14,700)	(15,123)	-	-
Net Lease Obligations Repayable within One Year from the Year end	7,470	7,047	-	-
Lease Obligations Repayable within Two to Five Years				
Gross Lease Obligations	88,680	88,680	-	-
Less: Finance cost applicable for future Period	(58,755)	(58,755)	-	-
Net Lease Obligations Repayable within Two to Five Years	29,925	29,925	-	-
Lease Obligations Repayable after Five Years				
Gross Lease Obligations	514,902	537,073	-	-
Less: Interest in Suspense	(181,132)	(195,833)	-	-
Net Lease Obligations Repayable after Five Years	333,770	341,240	-	-
Net Lease Liability Repayable after One Year	363,695	371,165	-	-

24.1.1 Net obligation to lessor represents amounts payable to JEDB/SLSPC in relation to the estates leased by Kotagala Plantations PLC.

24.1.2 Kotagala Plantations PLC

In terms of the amendment of leases, Rs.22.2million is payable each year as lease rental, commencing from 22nd June, 1996 till the end of the lease on 21st June, 2045. This amount is to be inflated annually by the Gross Domestic Product (GDP) deflated in the form of contingent rent.

The charge to the statement of comprehensive income for the current financial year on account of interest is Rs Rs.72.7 million (2015/16 - Rs. 70.8 million).

	GROUP		COMPANY	
	2017 Rs.'000	2016 Rs.'000	2017 Rs.'000	2016 Rs.'000
24.2 Lease Creditors - Others				
Balance at the beginning	302,724	355,013	692	1,729
Leases acquired during the Year	146	31,763	-	-
Payments made during the Year	(38,123)	(84,052)	(692)	(1,037)
Less: Interest in Suspense	(25,648)	(36,866)	-	(42)
Balance at the end	239,099	265,858	-	650

Notes to the Financial Statements Contd.

	GROUP		COMPANY	
	2017 Rs.'000	2016 Rs.'000	2017 Rs.'000	2016 Rs.'000
24.2.a Analysis of Lease Obligations by Year of Repayment				
Lease Obligations Repayable within One Year from Year End				
Gross Liability	115,262	90,977	-	692
Less : Interest in Suspense	(10,421)	(19,643)	-	(42)
Net Lease Obligations Repayable within One Year from Year End	104,841	71,334	-	650
Lease Obligations Repayable within Two to Five Years				
Gross Liability	149,485	211,747	-	-
Less : Interest in Suspense	(15,227)	(17,223)	-	-
Net Lease Obligations Repayable within Two to Five Years	134,258	194,524	-	-
24.3 Term Loans				
Balance at the beginning	6,749,061	6,823,396	195,000	317,000
Loans obtained during the Year	3,765,484	1,732,499	120,000	-
Effect of exchange rate fluctuation	69,675	106,040	-	-
Payments made during the Year	(2,701,454)	(1,912,874)	(132,500)	(122,000)
Balance at the end	7,882,766	6,749,061	182,500	195,000
Payable within one Year	(3,007,117)	(2,870,507)	(61,500)	(85,000)
Payable after one Year	4,875,649	3,878,554	121,000	110,000

24.4 Debentures

24.4.1 Kotagala Plantations PLC, a subsidiary, has issued Rs. 1,000 million Rated Secured Redeemable Listed Debentures. The details are as follows;

Debenture Type	Year of Issue	Year of Redemption	Colombo Stock Exchange Listing	Issued Value Rs. million	Interest Payable Frequency	Interest Rate %	Balance as at 31st March, 2017 Rs. million	Bond Rate of Comparable Government Security %
A	2014	2018	Listed	250	Bi-Annually	14.25	250	11.41
B	2014	2019	Listed	250	Bi-Annually	14.5	250	12.02
C	2014	2020	Listed	250	Bi-Annually	14.75	250	12.22
D	2014	2021	Listed	250	Bi-Annually	15	250	12.57
							1,000	

24.4.2 Trading at Colombo Stock Exchange

Debenture Type	Highest Value (Rs.)	Lowest Value (Rs.)	Last Traded Value (Rs.)
A	Not Traded	-	-
B	Not Traded	-	-
C	101	100	100
D	100	100	100

24.4.3 Lankem Ceylon PLC had issued Rs. 200 Mn. Rated Unsecured Unlisted Redeemable Debentures with a value of Rs. 1,000/- each on 5th April 2011 to Sri Lanka Insurance Corporation Limited at the rate of AWPLR +1%. These debentures were redeemed after 5 years from the date of issue. The purpose of the issue was to fund long term working capital requirement.

24.5 Assets Pledged as Security Against Interest Bearing Borrowings

	Company/ Lender	Balance as at 31.03.2017 Rs. million	Balance as at 31.03.2016 Rs. million	Interest Rate %	Terms of Repayment	Security Pledged
The Colombo Fort Land & Building PLC	Sampath Bank PLC	-	120.00	AWPLR+2	Five equal annual instalments of Rs.60 million commencing from 30.09.2013.	Tertiary Mortgage Bond for Rs.127.5 million executed by the Company jointly with York Arcade Holdings PLC on the land & building at Leyden Bastian Road and pledge of 1,500,000 C M Holdings PLC shares, 142,000 E.B. Creasy & Company PLC shares and 2,200,000 Lankem Ceylon PLC shares owned by the Company.
	Commercial Bank of Ceylon PLC	62.50	75.00	AWPLR+1.5	Eight equal bi-annual payments of Rs.12.5 million each.	Tertiary Mortgage Bond for Rs.100 million over the property at No.53-1/1, 53-2/1 and 57, Sir Baron Jayathilaka Mawatha, Colombo 1 belonging to the Company.
	Sampath Bank PLC	120.00	-	AWPLR+2.5	Five equal annual installments of Rs.24 million commencing from 31.12.2017.	Lien over 1,500,000 C M Holdings PLC shares, 142,000 E.B. Creasy & Company PLC shares and 2,200,000 Lankem Ceylon PLC shares owned by the Company.
		182.50	195.00			
E.B. Creasy & Company PLC	Commercial Bank of Ceylon PLC "Gamata Karmantha"	-	8.30		In 27 equal monthly instalments of Rs.1,042,000/- and final instalment of Rs.1,012,439/-.	Primary mortgage bond No. 1134 dated 18th December, 1998 for Rs.91.8 million and secondary mortgage bond for Rs.83.0 million executed over the property at No.53-1/1, 53-2/1 and 57, Sir Baron Jayatilaka Mawatha, Colombo 01 belonging to The Colombo Fort Land & Building PLC (Parent Company).
	Commercial Bank of Ceylon PLC	55.78	75.83		In 59 equal monthly instalments of Rs.1,670,000/- each and final instalment of Rs.1,470,000/-.	Primary Mortgage Bond for Rs.100 million over industrial machinery imported through the Bank for the expansion of the personal care unit and installed at Millewa, Padukka to be executed.
	Commercial Bank of Ceylon PLC	73.28	93.32		In 59 equal monthly instalments of Rs.1,670,000/- each and final instalment of Rs.1,470,000/-.	Primary Mortgage Bond for Rs.100 million over the machinery to be imported by the Company.
	Hatton National Bank PLC	106.48	79.90		In 59 equal monthly instalments of Rs.3,340,000/- and final instalment of Rs.2,940,000/-.	Quintic Floating Mortgage Bond for Rs.200 million over commercial property situated at No. 98, Sri Sangaraja Mawatha, Colombo 10.

Notes to the Financial Statements Contd.

	Company/ Lender	Balance as at 31.03.2017 Rs. million	Balance as at 31.03.2016 Rs. million	Interest Rate %	Terms of Repayment	Security Pledged
E.B. Creasy & Company PLC (Contd.)	Hatton National Bank PLC	-	1.87		In 48 equal monthly instalments of Rs.937,500/-.	Existing Tertiary Mortgage Bond totalling Rs.50 million over property at No. 98, Sri Sangaraja Mawatha, Colombo 10 will secure this facility up to Rs.10 million. (Also secures overdraft facility of Rs.25 million.
	National Development Bank	-	37.50		In 48 equal monthly instalments of Rs.4,166,666/- and instalments payable monthly on or before the last banking day of each month.	A Primary mortgage over 2,777,000 ordinary shares of Lankem Ceylon PLC (owned by the borrower) and Power of Attorney together with blank Share Transfer Form.
	Sampath Bank PLC	0.66	5.66		In 47 equal monthly instalments of Rs.416,666/- each and final instalment of Rs.416,698/-.	Loan agreement for Rs.20 million & mortgage over machinery for manufacturing division of mosquito coils for Rs.20 million.
	Nations Trust Bank PLC	142.23	191.68		47 monthly equal capital instalments of Rs.4,167,000/- and a final capital instalment of Rs.4,151,000/-.	Loan agreement for Rs.200 million.
	Nations Trust Bank PLC	70.00	-		Monthly instalments of Rs.1,950,000/-.	Term loan agreement for Rs.70 million.
		448.43	494.06			
Lankem Ceylon PLC	Commercial Bank of Ceylon PLC Loan 01	18.00	55.40		In 35 monthly instalments of Rs.3.4 million and a final instalment of Rs.1 million.	Primary Mortgage for Rs.200 million instalments over land at Ja-ela & Gonawala.
	Commercial Bank of Ceylon PLC Loan 02	256.40	340.40		In 57 monthly instalments of Rs.8.4 million each and a final instalment of Rs.4.4 million.	
	Commercial Bank of Ceylon PLC Loan 03	208.00	-		In 57 monthly instalments of Rs.4.2 million each and a final instalment of Rs.2.2 million together with interest payable monthly on reducing balance of capital.	Additional Mortgage Bond for Rs.250 million over stocks and assignment of book debts to be executed by the Company.

	Company/ Lender	Balance as at 31.03.2017 Rs. million	Balance as at 31.03.2016 Rs. million	Interest Rate %	Terms of Repayment	Security Pledged
Lankem Ceylon PLC (Contd.)	Sampath Bank PLC Loan 1	-	346.00		Payable on the 26th of each month commencing after one month of date of disbursement as follows. Year 1 - 12 equal instalments of Rs.2 million Year 2 - 12 equal instalments of Rs.3 million Year 3 - 12 equal instalments of Rs.4 million Year 4 - 12 equal instalments of Rs.6 million Year 5 - 12 equal instalments of Rs.7.5 million Year 6 - 11 equal instalments of Rs.8.3 million Final Instalment Rs.8.7 million.	Primary Mortgage for Rs.370 million over the property situated at Nawam Mawatha depicted lots A & B in Plan No. 482 dated 08/05/1987 in extent of 40 perches owned by the Company.
	Sampath Bank PLC Loan 2	-	32.80		17 equal monthly instalments of Rs.5.6 million and a final instalment of Rs.4.8 million.	
	Hatton National Bank PLC	-	9.92		In 59 monthly instalments of Rs.0.84 million each and a final instalment of Rs.0.73 million together with interest payable monthly on reducing balance of capital.	
	Peoples' Bank	802.17	-		In 47 monthly instalments of Rs.20.5 million each and a final instalment of Rs.1.5 million together with interest payable monthly on reducing balance of capital.	Mortgage over stocks and Book debts on crystallization basis.
	National Development Bank	304.25	-		Payable quarterly on or before the last banking day of each quarter Yr 1 to Yr 4 - Q1-Q3 equal instalments of Rs.15.25 million and Q4-26.50 million. Yr 5 - Q1-Q4 equal instalments of Rs.5.25 million.	16 million of C.W.Mackie PLC Shares
	Bank of Ceylon	600.00	-		In 84 monthly instalments of Rs.7.143 million each.	Primary Mortgage Bond for Rs.600 million over the property named Lanlib Building situated at Nawam Mawatha depicted as Lots A & B in Plan No. 482 dated 08/05/1987 in extent of 40 perches owned by the Company.
		2,188.82	784.52			

Notes to the Financial Statements Contd.

	Company/ Lender	Balance as at 31.03.2017 Rs. million	Balance as at 31.03.2016 Rs. million	Interest Rate %	Terms of Repayment	Security Pledged
Beruwala Resorts PLC	Cargills Bank PLC Term Loan 1	14.50	19.16		Repayable over 48 monthly instalments.	Mortgage executed over laundry machine & equipment.
	Cargills Bank PLC Term Loan 2	3.22	4.20		Repayable over 48 monthly instalments.	Mortgage executed over Mazda motor car for Rs.4.2 million.
	Cargills Bank PLC Term Loan 3	7.33	-		Repayable in 47 monthly installment of Rs.0.17 million and final installment of Rs. 0.17 million plus interest, commencing one month after drawdown.	Secondary mortgage over laundry machine.
	Pan Asia Banking Corporation PLC	194.97	205.67		Repayable over 102 monthly instalments. Repayments to commence after a grace period of 18 months form the first draw down.	Primary Mortgage over land and building of B.O.T. Hotel Services (Private) Limited situated at Weligama.
		220.02	229.03			
Sigiriya Village Hotels PLC	Sampath Bank PLC	127.29	75.39		Repayable over 35 monthly instalments.	Lien over Beruwala Resorts PLC shares totalling to 85,384,000 numbers lodged in Sampath Bank PLC custodian account. Rs.17.5 million mortgage over hotel kitchen equipment and other accessories.
	Pan Asia Banking Corporation PLC	17.36	-		Repayable over 48 monthly instalments.	Rs. 50 million worth of shares of Marawila Resorts PLC has been lodged. Rs. 25 million corporate guarantee from The Colombo Fort Land & Building PLC.
		144.65	75.39			
B. O. T. Hotel Services (Private) Limited	Pan Asia Banking Corporation PLC	83.15	108.60	MAWPLR+3	Loan has been obtained under two instalments of Rs. 50 Mn and Rs.75 million. 1. Rs.50 million- 30 monthly repayment 2. Rs.75 million - 48 monthly repayment	Pledge of property the property of the Hotel premises which is situated in Kapparithota, Weligama Rs.50 million. Corporate guarantee from Beruwala Resorts PLC for Rs.75 million.
		83.15	108.60			
Marawila Resorts PLC	Hatton National Bank PLC Term Loan	274.61	301.58	3Months LIBOR+5 (floorof6%)	In terms of new arrangement made with Hatton National Bank PLC, Marawila Resorts PLC has to resettle the outstanding USD term loan of USD 1.83 million in 4 years. The interest to be serviced monthly.	Existing secondary floating mortgage bonds totaling to US\$ 5.37 million over the hotel premises at Marawila.
		274.61	301.58			

	Company/ Lender	Balance as at 31.03.2017 Rs. million	Balance as at 31.03.2016 Rs. million	Interest Rate %	Terms of Repayment	Security Pledged
Galle Fort Hotel (Private) Limited	Hatton National Bank PLC	41.16	61.37		Repayable over 60 monthly instalments.	Corporate guarantee of Rs.0.75 million from Lankem Ceylon PLC and hotel property at No.28, Church Street, Galle.
	Commercial Bank of Ceylon PLC	-	70.10		Repayable over 60 monthly instalments.	Primary mortgage over the property at No.31, Light House Street, Galle.
	Commercial Bank of Ceylon PLC	-	17.36		Repayable over 35 monthly instalments.	Primary mortgage bond of Rs.25 million over property at No.31, Light House Street, Galle.
	Cargills Bank PLC	72.91	-		Repayable over 66 monthly instalments.	Lien over Fixed Deposit of Rs.10 million. Primary mortgage of Rs.35 million and USD 0.5 million, over the property at 31, Light House Street, Galle.
	Cargills Bank PLC	33.93	-		Repayable over 66 monthly instalments.	Lien over Fixed Deposit of Rs.10 million. Primary mortgage of Rs.35 million and USD 0.5 million, over the property at 31, Light House Street, Galle.
		148.00	148.83			
Kotagala Plantations PLC	National Development Bank PLC Approved facility Rs.215 million	28.66	71.66	AWPLR+3%	Repayable over 5 years from 31.12.2012, in equal monthly instalments of Rs.3,300,000/- and Rs.283,400/- respectively. (After the refinance is received interest rate would be 15.58%)	Secondary Mortgage over leasehold rights of Stonycliff, Vogan, Gikiyanakande and Dalkeith Estates and all immovable properties of these Estates.
	National Development Bank PLC Packing credit loan - Rs.150 million	5.79	46.77	5.5	Payable with in 3 months and rolled over.	Primary Mortgage Bond over stocks and book debts for Rs.200,000,000/-.
	National Development Bank PLC Approved facility Rs.500 million	123.02	403.23	AWPLR+4.75	Payable over 96 instalments.	Primary mortgage over lease hold rights of building and machinery of Millewa estate.

Notes to the Financial Statements Contd.

	Company/ Lender	Balance as at 31.03.2017 Rs. million	Balance as at 31.03.2016 Rs. million	Interest Rate %	Terms of Repayment	Security Pledged
Kotagala Plantations PLC (Contd.)	National Development Bank PLC Approved facility Rs.204 million	156.39	173.41	LIBOR+8	Repayable over 89 instalments of (USD 41,110) and one instalment of USD 41,210 from 7th month after the disbursement.	Secondary mortgage on leased hold rights of Stonycliff, Vogan, Gikiyanakanda and Dalkeith Estates and all immovable properties of these estates.
	DFCC Bank PLC Approved facility - Rs.129 million	-	2.10	AWPLR+2	Repayable over 10 years from 15.09.2003 in equal monthly instalments of Rs.1,067,614/- each.	Primary Mortgage over leasehold rights of Drayton, Raigam and Padukka Estates.
	Lanka Orix Leasing Company Limited Approved facility Rs.50 million	-	33.33	10.00	Payable within 10 monthly instalments.	
	Lanka Orix Leasing Company Limited Approved facility Rs.40 million	-	0.56	10.56	Repayable over 7 years from 30.03.2009 in 84 equal monthly instalments of Rs.476,191/- each.	An on demand Promissory Note for Rs.40,000,000/- with interest @ 18% p.a. until the receipt of refinance of the subsidiary loan from the DFCC Bank, and thereafter at the rate of 10.56% p.a and the interest shall be paid together with any taxes which may be imposed by the government from time to time. Primary Mortgage Bond over the unexpired Leasehold rights created by the Indenture of Lease bearing No: 293 dated 2nd March, 1995 attested by D.C. Peiris, Notary Public and the amendment thereto bearing Indenture No: 1522 dated 4th July 1995 attested by M.H.D. Amaratunga, Notary Public. Corporate Guarantees of M/s Lankem Plantation Holdings Limited and M/s Lankem Tea & Rubber Plantations (Private) Limited.

	Company/ Lender	Balance as at 31.03.2017 Rs. million	Balance as at 31.03.2016 Rs. million	Interest Rate %	Terms of Repayment	Security Pledged
Kotagala Plantations PLC (Contd.)	Sampath Bank PLC Approved facility Rs.50 million	10.01	17.79	10.56	In 95 equal monthly instalments of Rs.521,000/- and a final instalment of Rs.505,000/- (Capital) together with interest after a grace period of 48 months commencing from the date of 1st disbursement. (The interest will be recovered on a monthly basis during the grace period also.)	Loan Agreement for Rs.50,000,000/- Primary Mortgage Bond for Rs.50,000,000/- over leasehold rights of Arapolakande Rubber Estate at Kalutara together with factory buildings therein.
	People's Leasing Company PLC Term Loan Rs.8 million	3.01	5.48	19.00	Interest and capital payable monthly and repayment is first month instalment Rs.2,200,000/- and the balance 59 monthly instalment at Rs.152,649/-each.	
	People's Bank Term Loan Rs.300 million	109.31	114.02	AWPLR+3	Repayable within 60 instalments of Rs.1,725,000/- each.	Securitised tea sales of Mayfield Estates.
	People's Bank Term Loan Rs.196 million	186.20	189.47	AWPLR+3	Repayable within 60 instalments of Rs.3,157,777/- each.	Immovable properties and lease hold rights of Mount Vernon and Mayfield Estates.
	Standard Chartered Bank Term Loan Rs.250 million	173.20	124.00	SLIBOR+3.5%	Payable within 3 months and rolled over.	Leasehold rights of Hedigalla and Eduragala estate.
	Standard Chartered Bank Packing credit loan	69.40	121.40			
	Hatton National Bank Rs.889 million	551.68	598.39	LIBOR+7.5	Payable in 32 equal quarterly instalments of USD 0.175 million each.	Mortgage of immovable property situated at Talwatte Village belonging to Union Commodities (Private) Limited.
	State Mortgage Bank Term Loan Rs.50 million	31.93	37.79	19.00	Repayment in 72 equal monthly Instalment of Rs.718,620/- Commencing after the date of disbursement of the loan Repayment in 72 equal monthly Instalment of Rs.444,960/- Commencing after the date of disbursement of the loan.	10 vehicles offered as security.

Notes to the Financial Statements Contd.

	Company/ Lender	Balance as at 31.03.2017 Rs. million	Balance as at 31.03.2016 Rs. million	Interest Rate %	Terms of Repayment	Security Pledged
Kotagala Plantations PLC (Contd.)	Cey Bank Asset Management Limited Commercial Paper Rs.150 million	150.04	149.99	11.55	Repayable as per the Commercial Paper maturity date.	Commercial Paper.
	Colombo Trust Finance PLC Rs.9.16 million	3.25	4.37	19.00	Monthly instalment of Rs.170,225/- in first 3 months, Rs.2,500,000/- in the fourth month and Rs.170,225/- in next 56 months.	KIA Sorento Jeep bearing vehicle Registration no.KW-9649.
	Sri Lanka Tea Board Term Loan Rs.27.8 million	-	22.27		Repayable within 10 instalments.	
	Sri Lanka Tea Board Term Loan Rs.29.58 million	23.66	-		Repayable within 10 monthly instalments of Rs.2,957,150/- each.	
	Sri Lanka Tea Board Term Loan Rs.45 million	45.00	-		Repayable within 36 monthly instalments of Rs.1,250,000/- each. (six months grace period)	
	Forbes & Walker Limited Term Loan Rs.150 million	110.00	-	19.00	Repayable within 30 monthly instalments of Rs.5,000,000/- each.	The realised and unrealised values of the stock of the teas catalogued and to be catalogued with broker.
	John Keells PLC Term Loan Rs.161.5 million	118.55	-	19.00	Repayable within 30 monthly instalments of Rs.5,383,333/- each.	A Promissory Note, continuing undertaking and guarantee executed by the Borrower in favour of JKPLC whereby the Borrower agrees to forward teas and sales proceeds on pre-allocated markets some of which are shared with Broker to JKPLC until the payment of all monies due and owing to JKPLC.
		1,899.10	2,116.03			

	Company/ Lender	Balance as at 31.03.2017 Rs. million	Balance as at 31.03.2016 Rs. million	Interest Rate %	Terms of Repayment	Security Pledged
Agarapatana Plantations Limited	Nations Trust Bank PLC Loan Rs.5 million	2.37	3.49	18.00	60 monthly instalments commencing from 01.02.2014.	Original Certificate of Registration of the vehicle.
	Hatton National Bank PLC Loan Rs.10 million	-	2.02	AWPLR+2	47 equal monthly instalments of Rs.210,000/- and final instalment of Rs.130,000/-.	Primary Mortgage over leasehold rights to bare land and buildings of Kahagalle Estates.
	Bank of Ceylon Loan Rs.236 million	186.51	227.05	AWPLR+1.5	60 installments of Rs.4,054,598 and first and second installments of Rs.416,667/-.	Additional mortgage over leasehold rights of Glenanore and Haputale Estates including machinery fixed at each of these estates.
	Commercial Bank of Ceylon PLC Loan Rs.500 million	317.23	375.05	AWPLR+3	84 monthly instalments commencing from 05.09.2016.	Duly accepted Letter of Offer supported by Board Resolution. General Terms and conditions relating to Term Loans. Deposit of original title deeds and plan relating of the Dambetenne Estate.
	People's Leasing & Finance PLC Loan Rs.4.85 million	2.07	3.05	13.17	60 monthly instalments commencing from 01.01.2014.	Loan agreement acceptance, receipt, promissory note & Corporate Guarantee From Lankem Tea & Rubber Plantations (Private) Limited.
	National Development Bank PLC Term Loan Rs.95 million	8.00	27.50	AWPLR +4.75	36 monthly instalments commencing from 23.09.2013.	Loan agreement acceptance and Broker Certificate From Forbes & Walkers Tea Brokers (Private) Limited.
	National Development Bank PLC Term Loan Rs.100 million	-	13.00	AWPLR +4.25	36 monthly instalments commencing from 08.05.2013.	
	Sri Lanka Tea Board Loan Rs. 60 million	60.00	-	AWPLR+1	36 monthly instalments commencing from August 2017.	
	John Keelles PLC Broker Loan Rs.78 million	57.25	-	19	120 weekly instalments commencing from 10.08.2016.	Promissory Note in Favour of John Keells PLC.

Notes to the Financial Statements Contd.

	Company/ Lender	Balance as at 31.03.2017 Rs. million	Balance as at 31.03.2016 Rs. million	Interest Rate %	Terms of Repayment	Security Pledged
Agarapatana Plantations Limited (Contd.)	Forbes & Walker Tea Brokers (Private) Limited Broker Loan Rs.150 million	110.00	-	19	120 weekly instalments commencing from 18.08.2016.	Promissory Note in Favour of Forbes & Walker Tea Brokers (Private) Limited.
	Ceylon Tea Brokers PLC Broker Loan Rs.45 million	35.45	-	19	125 weekly instalments commencing from 18.08.2016.	Promissory Note in Favour of Ceylon Tea Brokers PLC.
	Sri Lanka Tea Board Short Term Loan	23.92	32.28		10 equal installments commencing from December 2016.	
		802.80	683.44			
Lankem Tea & Rubber Plantations (Private) Limited	National Development Bank PLC	66.85	79.71		84 monthly instalments commencing from 01.04.2014.	Pledged 4,600,525 shares held by the Company in Kotagala Plantations PLC and 3,025,000 shares held by Lankem Plantation Holdings Limited in Kotagala Plantations PLC.
	People's Leasing & Finance PLC	9.74	15.66			Promissory Notes worth Rs.25 million have been pledged.
		76.59	95.37			
Waverley Power (Private) Limited	DFCC Bank	32.00	42.80		78 monthly instalments commencing from September, 2010 and October, 2013.	The Company has pledged its own share certificates issued to its shareholders, Lankem Developments PLC and Agarapatana Plantation Limited. Corporate guarantee from Lankem Ceylon PLC.
	Hatton National Bank PLC	24.80	34.50		77 monthly instalments commencing from April, 2012 and October, 2013.	The Company has pledged its own share certificates issued to its shareholders, Lankem Developments PLC and Agarapatana Plantation Limited. Corporate guarantee from Lankem Ceylon PLC.
		56.80	77.30			

	Company/ Lender	Balance as at 31.03.2017 Rs. million	Balance as at 31.03.2016 Rs. million	Interest Rate %	Terms of Repayment	Security Pledged
Lankem Plantation Holdings Limited	National Development Bank PLC	46.06	53.88		84 monthly instalments commencing from 01.04.2014.	Pledged 4,600,525 Shares held by Lankem Tea & Rubber Plantations (Private) Limited in Kotagala Plantations PLC and 3,025,000 shares held by the Company in Kotagala Plantations PLC.
		46.06	53.88			
Ceylon Tapes (Private) Limited	Hatton National Bank PLC	2.26	4.78	AWPLR+1	Repayable over 59 monthly instalments.	Board Resolution.
	Commercial Bank of Ceylon PLC	41.25	-	AWPLR+2.5	Repayable over 60 monthly instalments.	Floating primary mortgage bond for Rs.50 million over the property called Franalyn Estate and morefully as lot A in plan no. 7221 dated 26.11.2015 made by Mr. P.A.K.J. Perera in extent of A 2: R 3: P 18.25 to be executed by the Company.
	DFCC Bank Term Loan	3.79	5.43	AWPLR+1	Repayable over 60 monthly instalments after a grace period of 6 months from the first disbursement.	Land worth of Rs.5.7 million and machinery worth Rs.0.3 million have been pledged when obtaining the loan.
		47.30	10.21			
JF Packaging (Private) Limited	Sampath Bank PLC Loan I	-	3.11		Repayable over 5 years in 59 monthly instalments of Rs.283,400/- and a final instalment of Rs.279,400/-.	Lien over balance lying to the credit of Fixed Deposit account No. 209815739752 & 209816033081 of the Company.
	Sampath Bank PLC Loan II	0.57	1.66		Repayable over 5 years in 59 monthly instalments of Rs.83,500/- and a final instalment of Rs.73,500/-.	
	Sampath Bank PLC Loan III	2.15	4.77		Repayable over 5 years in 60 monthly instalments.	

Notes to the Financial Statements Contd.

	Company/ Lender	Balance as at 31.03.2017 Rs. million	Balance as at 31.03.2016 Rs. million	Interest Rate %	Terms of Repayment	Security Pledged
JF Packaging (Private) Limited (Contd.)	Sampath Bank PLC Loan IV	-	0.45		Repayable over 3 years in 36 equal monthly instalments of Rs.55,500/-.	Lien over balance lying to the credit of Fixed Deposit account No. 209815739752 & 209816033081 of the Company.
	Sampath Bank PLC Loan V	15.01	20.75		Repayable over 5 years in 60 equal monthly instalments of Rs.422,000/-.	
	Sampath Bank PLC Loan VI	6.70	9.20		Repayable over 5 years in 59 monthly instalments of Rs.192,000/- and a final instalments of Rs.172,000/-.	
	Sampath Bank PLC Loan VII	51.33	-		Repayable over 5 years in 59 monthly instalments of Rs.916,700/- and a final instalment of Rs.914,700/-.	Hypothecation Bond for Rs.105 million over stocks and book debts held at factory premises at No.306, Minuwangoda Road, Kotugoda.
	Sampath Bank PLC Loan VIII	18.83	-		Repayable over 3 years in 35 monthly instalments of Rs.570,500/- and a final instalment of Rs.569,500/-.	Mortgage over Drylaminating machine and related equipments.
	Bank of Ceylon Loan I	27.89	41.32		Repayable over 8 years in equal monthly instalments of Rs.1,032,967/-.	Primary mortgage of land, building and machinery situated at No. 306, Minuwangoda Road, Kotugoda.
	Bank of Ceylon Loan II	8.43	12.81		Repayable over 5 years in 60 equal monthly instalments of Rs.337,079/-.	
	Bank of Ceylon Loan III	-	9.17		Repayable over 5 years in 60 equal monthly instalments of Rs.916,667/-.	
	Bank of Ceylon Loan IV	6.67	28.33		Repayable over 3 years in 36 equal monthly instalments of Rs.1,666,667/-.	
	Bank of Ceylon Loan V	14.86	20.86		Repayable over 5 years in 60 equal monthly instalments of Rs.500,000/-.	
	Bank of Ceylon Loan VI	142.21	-		Repayable over 4 years in 48 equal monthly instalments of Rs.3,125,000/-.	
	Bank of Ceylon Loan VII	42.05	-		Repayable over 6 years in 72 equal monthly instalments of Rs.2,083,333/-.	
	Hatton National Bank PLC Loan I	-	0.08		Repayable over 5 years in 60 equal monthly instalments of Rs.28,400/-.	
	DFCC Bank PLC Loan I	0.54	1.46		Repayable over 4 years in 48 equal monthly instalments of Rs.130,730/-.	
		337.24	153.97			

	Company/ Lender	Balance as at 31.03.2017 Rs. million	Balance as at 31.03.2016 Rs. million	Interest Rate %	Terms of Repayment	Security Pledged
Creasy Foods Limited	Hatton National Bank PLC Term Loan	5.24	9.25		To be repaid in 59 equal monthly instalments of Rs.0.334 million each and a final instalment of Rs.0.294 million.	Existing registered primary floating mortgage bond for Rs.50 million over Land & Buildings situated at No.26, Agaradaguru Mawatha, E-Kala.
		5.24	9.25			
SunAgro Foods Limited	Sampath Bank PLC	34.85	56.24		In 47 equal monthly instalments of Rs.2,084,000/- and a final instalment of Rs.2,052,000/- on 26th day of each month commencing after a grace period of 12 Months. Interest to be paid during the grace period.	Loan agreement an corporate guarantee from Lankem Ceylon PLC amounting to Rs.110 million.
	Commercial Bank of Ceylon PLC	10.04	17.36		In 35 equal monthly instalments of Rs.0.695 million each and a final instalment of Rs.0.675 million.	Loan agreement an corporate guarantee from Lankem Ceylon PLC amounting to Rs.75 million.
		44.89	73.60			
Lanka Special Steel Limited	Nations Trust Bank PLC	106.31	143.73		48 monthly equal capital instalments of Rs. 3,125,000/-.	Secondary Mortgage over plant & machinery of the Company.
		106.31	143.73			
Duramedical (Lanka) Limited	Nations Trust Bank PLC	33.94	-		First 06 Months - Interest to be serviced on a monthly basis (Grace period on the capital) 07th Month to 54th Month - 47 equal monthly capital instalments of Rs. 2,700,000/- and a final capital instalment of Rs. 3,100,000/-. Interest to be serviced seperately on a monthly basis.	Primary Mortgage for Rs.150,000,000/- over Rights under the Board of Investment Agreement No.28 dated 12/05/2016, Buildings and Machinery on the project property at Horana Export Processing Zone - (To be executed) (Mortgage details should be notified to the Bank and such details will be included in a separated Addendum Letter) Simple lodgment of 100,000 Nos. (unquoted) shares of Duramedical (Lanka) Limited owned by E.B. Creasy & Company PLC.
		33.94	-			

Notes to the Financial Statements Contd.

24.6 Trust Receipt Loans

The Group has obtained following Trust Receipt Loans.

	GROUP	
	2017 Rs.'000	2016 Rs.'000
E. B. Creasy & Company PLC	273,845	343,946
Lankem Ceylon PLC	1,788,957	1,129,843
Darley Butler & Company Limited	218,845	84,521
Laxapana Batteries PLC	85,210	54,372
Creasy Foods Limited	75,907	4,677
SunAgro Life Science Limited	152,315	21,250
	2,595,079	1,638,609

E.B. Creasy & Company PLC

Trust Receipt Loan is secured by existing Mortgage Bonds to Banks over the stocks in trade and an assignment of book debts.

Creasy Foods Limited

Trust Receipt loan is secured by floating charge on imported inventories at Unit Three Industrial Estate, Ekala, Ja- Ela and book debt.

Laxapana Batteries PLC

Lender	Facility No.	Interest	Outstanding as at 31.03.2017 Rs.000	Outstanding as at 31.03.2016 Rs.000	Repayment terms	Security
Sampath Bank PLC	Revolving Trust Receipt loan of Rs. 80 million	AWPLR +1.25%	82,048	54,372	Each loan to be settled within 120 days from the date of grant.	Existing Primary Mortgage bond of Rs. 66.5 million over the property situated in Panagoda, Homagama with an extent of 50,886 sq.f.
Union Bank of Colombo PLC	Revolving Trust Receipt loan of Rs. 20 million	AWPLR +2%	3,162	-	Each loan to be settled within 120 days from the date of grant.	Primary floating Mortgage bond of Rs. 30 million over stocks at Company H/O and at Company premises in Panagoda, Homagama and assignment over book debts
Total			85,210	54,372		

Marawila Resorts PLC

The Company, has obtained loans denominated in foreign currency from Hatton National Bank PLC to fund the construction of the hotel. This loan is secured by the land and other movable & immovable properties of Marawila Resorts PLC

As at 31st March,	GROUP		COMPANY	
	2017 Rs.'000	2016 Rs.'000	2017 Rs.'000	2016 Rs.'000
25 DEFERRED INCOME - CAPITAL GRANTS				
Balance at the beginning of the Year	585,423	572,003	-	-
Additions during the Year	13,897	34,648	-	-
Amortised during the Year	(21,325)	(21,228)	-	-
Balance at the end of the Year (Note 25.1)	577,995	585,423	-	-
25.1 Balance at the end of the Year				
Kotagala Plantations PLC	335,031	331,488	-	-
Agarapatana Plantations Limited	225,297	233,995	-	-
SunAgro Foods Limited	17,192	19,940	-	-
C.W. Mackie PLC	475	-	-	-
	577,995	585,423	-	-

25.a Utilisation of funds received as grants are given as below:

Kotagala Plantations PLC

i) Asian Development Bank - Plantation Reform Project (ADB-PRP)

The funds received are utilised for construction of Staff Quarters, Water Projects, Latrines, Farm Roads and purchase of Forestry Equipment.

ii) Plantation Development Support Program (PDSP)

The funds received are utilised for construction of Dispensaries, Staff Quarters, Water Projects and upgrading Crèches.

iii) Plantation Human Development Trust (PHDT)

The funds received are utilised for construction of Worker Housing, Water Projects and purchase of an Ambulance.

iv) Others

a) Ministry of Livestock Development and Estate Infrastructure

The funds received are utilised for construction of Community Centres, Agency Post Offices and upgrading Farm Roads and Crèches.

b) Sri Lanka Tea Board

Funds received are utilised for the construction of the CTC Tea Factory at Mount Vernon Estate.

The amounts spent are capitalised under the relevant classification of Property, Plant & Equipment and the corresponding grant component is reflected under deferred grants and subsidies and amortised over useful life span of the asset.

Agarapatana Plantations Limited

The Company has received funding from the Plantation Housing and Social Welfare Trust, Asian Development Bank, Plantation Reform Project and Ministry of Livestock Development for the development of worker welfare facilities such as re-roofing of line rooms, latrines, water supply and sanitation, etc. The amount spent is included under the relevant classification of Property, Plant & Equipment and the grant component is reflected under Deferred Income and Capital Grants.

SunAgro Foods Limited

The Company has received grants from the USAID/ CORE project amounting to Rs.27.49 million for the purpose of establishing an outgrower cereal cultivation with 1,000 farmers and to set up a processing facility for cereal legume mixture manufacturing in the Trincomalee District. The grant has been amortised over the useful lifetime of the assets.

Kelani Valley Canneries Limited

Kelani Valley Canneries Limited has been awarded a government grant in December 2016 from Industrial Development Board of Ceylon, amounted to Rs. 0.5 million for the acquisition of a fully automated jam cup filling machine worth Rs. 1.3 million. The government grant recognised as deferred income is amortised over the useful life of the machinery.

The Company shall not sell, assign, pledge, mortgage, gift, let or rent the machinery for a period of five years from the date of purchase of the machinery.

Notes to the Financial Statements Contd.

26 DEFERRED TAX LIABILITIES

As at 31st March,	GROUP			COMPANY	
	2017 Rs.'000	2016 Rs.'000 Restated	2015 Rs.'000 Restated	2017 Rs.'000	2016 Rs.'000
Balance at the beginning of the Year	549,778	684,237	569,589	26,809	26,997
Correction of Error (Note 31)	-	2,071	16,826	-	-
Acquisition of Subsidiaries	-	48	97,179	-	-
Origination/(Reversal) of Temporary Differences					
Recognised in Profit / (Loss) for the Year	(95,846)	(131,674)	9,159	(204)	(188)
Origination/(Reversal) of Temporary Differences					
Recognised in Other Comprehensive Income	55,435	(3,506)	(1,806)	-	-
Transfer from Deferred Tax Assets (Note 17)	4,565	(1,398)	(6,709)	-	-
Balance at the end	513,932	549,778	684,238	26,605	26,809
26.1 Deferred Tax Composition - Group					
Property Plant and Equipment	1,511,663	1,537,738	1,400,214	-	-
Defined Benefit Obligations	(134,536)	(203,974)	(217,364)	-	-
Tax loss carried forward	(863,195)	(783,986)	(498,612)	-	-
Deferred Tax Assets	513,932	549,778	684,238	-	-

As at 31st March,	GROUP		COMPANY	
	2017 Rs.'000	2016 Rs.'000	2017 Rs.'000	2016 Rs.'000
27 EMPLOYEE BENEFITS				
Fair Value of Plan Assets (Note 27.1)	107,381	95,539	-	-
Present Value of the Funded Obligations (Note 27.2)	204,937	220,074	-	-
Present Value of the Unfunded Obligations (Note 27.4)	2,239,046	2,320,594	-	-
Total Present Value of Retirement Benefit Obligations	2,443,983	2,540,668	-	-
27.1. Fair Value of Plan Assets				
Movements in Fair Value of Plan Assets				
Fair Value of Plan Assets as at 01st April	95,539	132,257	-	-
Contribution Paid to the Plan Assets	10,548	9,611	-	-
Expected Return on Plan Assets	13,759	8,465	-	-
Benefits Paid by the Plan	(8,763)	(53,685)	-	-
Actuarial Gains/(Losses)	(3,702)	(1,109)	-	-
Fair Value of Plan Assets as at 31st March	107,381	95,539	-	-

As at 31st March,	GROUP		COMPANY	
	2017 Rs.'000	2016 Rs.'000	2017 Rs.'000	2016 Rs.'000
27.2 Present Value of the Funded Obligations				
Movement in Present Value of Funded Obligations				
Present value of Defined Benefit Obligations as at 1st April	220,074	209,677	-	-
Provision for the Year (Note 27.2.1)	46,454	43,319	-	-
	266,528	252,996	-	-
Benefits paid by the Plan	(23,413)	(30,980)	-	-
Actuarial (Gains)/Losses (Note 27.2.1)	(38,178)	(1,942)	-	-
Present Value of Defined Benefit Obligations as at 31st March	204,937	220,074	-	-
27.2.1 Expenses Recognised in the Statement of Comprehensive Income				
Current Service Cost	24,840	22,153	-	-
Interest Cost	21,614	21,166	-	-
Provision for the Year	46,454	43,319	-	-
Net Actuarial (Gains)/Losses	(38,178)	(1,942)	-	-
	8,276	41,377	-	-
27.3 Present Value of Net Obligations				
Fair Value of Plan Assets	107,381	95,539	-	-
Present Value of Funded Obligations	(204,937)	(220,074)	-	-
Present Value of Net Obligations	(97,556)	(124,535)	-	-
27.4 Present Value of the Unfunded Obligation				
Movement in Present Value of Unfunded Obligation				
Present value of Defined Benefit Obligations as at 1st April	2,320,594	2,274,213	-	-
Acquisition of Subsidiaries	-	1,662	-	-
Provision for the year	409,375	424,441	-	-
	2,729,969	2,700,316	-	-
Benefits paid by the Plan	(152,032)	(129,160)	-	-
Actuarial (Gains)/Losses	(338,891)	(250,562)	-	-
Present value of Defined Benefit Obligations as at 31st March	2,239,046	2,320,594	-	-
27.4.1 Expenses Recognised in the Statement of Comprehensive Income				
Current Service Cost	153,166	177,010	-	-
Interest Cost	256,209	247,431	-	-
Provision for the Year	409,375	424,441	-	-
Net Actuarial (Gains)/Losses	(338,891)	(250,953)	-	-
	70,484	173,488	-	-

i) **Agarapatana Plantations Limited**

The gratuity liability of Agarapatana Plantations Limited (APL) amounting to Rs.1,019 million (2016-Rs. 1,120.99 million) as at 31st March, 2017 is based on the full actuarial valuation carried out by Professionally Qualified Actuary Firm, Messrs. Actuarial & Management Consultants (Private) Limited. .

ii) **Kotagala Plantations PLC**

The actuarial valuation had been carried out by Messrs. Actuarial & Management Consultants (Pvt) Ltd. According to the valuation the gratuity liability on employees of the Company as at 31st March 2017 is Rs.661.88 million (2016-Rs. 693.70 million).

Notes to the Financial Statements Contd.

iii) Marawila Resorts PLC

The actuarial valuations have been carried out by professionally qualified actuaries Messers Priyal S Goonetilleke and Associates for retiring gratuity of staff as at 31st March 2017. The actuarial present value of the accrued benefits as at 31st March 2017 is Rs. 5.9 million (2016 - Rs. 4.9 million). The liability is not externally funded.

iv) Sigiriya Village Hotels PLC

Actuarial Valuation has been carried out as at 31st March, 2017 by Mr. Piya Goonatilleka, Fellow of the Society of actuaries (USA). The valuation method used by the actuary was "Projected Unit Credit Method". The actuarial present value of the accrued benefits as at 31st March 2017 is Rs. 10.16 million (2016 - Rs. 8.2 million). The liability is not externally funded.

v) Beruwala Resorts PLC

Actuarial Valuation has been carried out as at 31st March, 2017 by Mr. Piya Goonatilleka, Fellow of the Society of actuaries (USA). The valuation method used by the actuary was "Projected Unit Credit Method". The actuarial present value of the accrued benefits as at 31st March 2017 is Rs. 5.27 million (2016 - Rs. 5.25 million). This item is grouped under Retirement Benefit Obligation in the Statement of Financial Position. The liability is not externally funded.

vi) C.W. Mackie PLC

The retirement benefit obligations as at 31st March, 2017 is based on actuarial valuation carried out by Messrs. Piya S Goonetilleke, Fellow of the Society of Actuaries (USA), Member of American Academy of Actuaries, Consulting Actuary of Messrs. Piya Goonetilleke and Associates, as at 31st March 2017 and appropriate adjustments have been effected in the financial statements.

The liability as at 31st March, 2017 of the C.W. Mackie group was Rs.85.36 million (2015/16 - Rs.49.86 million)

vii) J F Packaging (Pvt) Limited

The retirement benefit obligations as at 31st March 2017 is based on actuarial valuation carried out by Messrs. Actuarial and Management Consultants (Private) Ltd. The liability as at 31st March 2017 was Rs.21.23 million (2015/16 - Rs.26.60 million)

viii) Present Value of the Unfunded Obligations

LKAS 19 - 'Employee benefits' requires to apply Projected Unit Credit Method to make a reliable estimate of the Obligation in order to determine the present value of the retirement benefit obligation. The key assumptions were made in arriving at the retirement benefit obligation as at 31st March 2017 in respect of following companies are stated below:

Company Name	Expected Salary Increment Rate	Discount Rate	Retirement Age Years	Liability as at 31.03.2017 Rs. Million
Marawila Resorts PLC	7.5%	12.5%	55	5.99
Sigiriya Village Hotels PLC	7.5%	12.5%	55	10.17
Laxapana Batteries PLC	10%	12.5%	55	4.89
Lankem Ceylon PLC	10%	12.5%	55	75.47
Ceylon Tapes (Private) Limited	10%	12.5%	55	7.81
JF Packaging (Private) Limited	10%	12.5%	55	21.23
E.B. Creasy & Company PLC	10%	12.5%	60	300.27
E.B. Creasy Logistics Limited	10%	12.5%	55	0.99
Pattah Pharmacy (Private) limited	10%	12.5%	55	6.92
C.W. Mackie PLC - Group	12%	12.5%	Management & Allied staff - 60, other staff - 55	42.47
Kotagala Plantations PLC	Workers -16% every two years and other categories of staff - 10% p.a.	12.5%	60	661.90

Company Name	Expected Salary Increment Rate	Discount Rate	Retirement Age Years	Liability as at 31.03.2017 Rs. Million
Agarapatana Plantations Limited	Workers -16% increase once in two years and other categories of staff - 10% p.a.	12.5%	60	1,019.00
Beruwala Resorts PLC	7.5%	12.5%	55	5.27
B.O.T. Hotel Services (Private) Limited	7.5%	12.5%	55	3.30
Galle Fort Hotel (Private) Limited	10%	12.5%	55	3.32
Darley Butler & Company Limited	10%	12.5%	55	84.74
Creasy Foods Limited	10%	12.5%	55	10.38
SunAgro Life Science Limited	10%	12.5%	55	1.34
SunAgro Foods Limited	10%	12.5%	55	0.29
Sun Agro Farms Limited	10%	12.5%	55	0.33
Lankem Paints Limited	10%	12.5%	55	5.71
Lankem Consumer Products Limited	10%	12.5%	55	0.50
Lanka Special Steels Limited	10%	12.5%	55	9.47
Lak Kraft (Private) Limited	10%	12.5%	60	0.44
Sherwood Holidays Limited	10%	12.5%	60	0.59

ix) No provision has been made for Retiring Gratuity in the accounts of The Colombo Fort Land & Building PLC, York Arcade Holdings PLC, C M Holdings PLC, Colombo Fort Holdings Limited, Capital Leasing Company Limited, Transways (Private) Limited, Union Group (Private) Limited and C.F. Travels (Private) Limited as these companies do not employ any staff. All operational services such as accountancy, secretarial and personnel are provided by Corporate Managers & Secretaries (Private) Limited to whom a fee is paid.

As at 31st March,	GROUP		COMPANY	
	2017 Rs.'000	2016 Rs.'000	2017 Rs.'000	2016 Rs.'000
28 RENT RECEIVED IN ADVANCE				
Balance at the beginning of the Year	10,437	7,655	637	1,087
Received during the Year	51,337	20,930	-	-
Amount Recognised as Income during the Year	(31,612)	(18,148)	(450)	(450)
Balance at the end of the Year	30,162	10,437	187	637
Amount falling due within one Year	-	(3,810)	(187)	(450)
Amount falling due after one Year	30,162	6,627	-	187
29 TRADE & OTHER PAYABLES				
Trade Payables	2,438,639	1,765,873	-	-
Other Payables	3,650,670	3,099,880	25,870	27,748
Accrued Expenses	588,860	607,372	9,194	36,588
Bills Payables	44,756	267,937	-	-
Advance Received	242,356	346,150	-	-
Security Deposit	77,105	67,356	1,814	1,814
Unclaimed Dividend	11,326	9,517	11,326	9,517
	7,053,712	6,164,085	48,204	75,667

Notes to the Financial Statements Contd.

As at 31st March,	GROUP		COMPANY	
	2017 Rs.'000	2016 Rs.'000	2017 Rs.'000	2016 Rs.'000
30 RELATED PARTY TRANSACTIONS				
30.1 Amounts due from Related Parties				
Subsidiaries				
Agarapatana Plantations Limited	-	-	21,975	17,634
American Lloyd Travels Limited	-	-	-	28
Beruwala Resorts PLC	-	-	1,377	712
Colombo Fort Hotels Limited	-	-	127,112	-
Kotagala Plantations PLC	-	-	12,914	8,873
Lankem Ceylon PLC	-	-	370,679	338,329
Lankem Plantations Holdings Limited	-	-	-	57,750
Marawila Resorts PLC	-	-	566	566
Sigiriya Village Hotels PLC	-	-	1,149	712
York Hotel Management Servicers Limited	-	-	314	314
	-	-	536,086	424,918
Less: Transferred to Loan given to				
Related Parties - Lankem Ceylon PLC	-	-	(275,500)	(277,500)
Colombo Fort Hotels Ltd	-	-	(80,000)	-
	-	-	180,586	147,418
Other Related Parties				
Capital Finance Limited	346	346	-	-
Colombo Fort Group Services (Private) Limited	10,753	436	-	-
Corporate Managers & Secretaries (Private) Limited	12,300	36,951	-	-
Financial Trust Limited	-	1,308	-	1,308
Oral Care (Private) Limited	3	3	-	-
York Conventions (Private) Limited	5,435	5,282	-	-
J F Barrier Films (Private) Limited	66,569	80,087	-	-
Cosmopoly (Private) Limited	6,026	6,622	-	-
Others	4,934	4,877	-	-
	106,366	135,912	-	1,308
Less: Impairment Loss - Related Parties (Note30.1.1)	-	(1,163)	-	-
	106,366	134,749	-	1,308
Total Amounts due from Related Parties	106,366	134,749	180,586	148,726
30.1.1 Other Related Parties				
Others	-	1,163	-	-
	-	1,163	-	-
30.2 Amounts due to Related Parties				
Subsidiaries				
C M Holdings PLC	-	-	125,072	21,686
Capital Leasing Co. Limited	-	-	1,300	1,350
Carplan Limited	-	-	123	-
Colombo Fort Holdings Limited	-	-	38,388	35,287
Creasy Plantation Management Limited	-	-	4,583	4,583
E.B. Creasy & Co PLC	-	-	-	23
Guardian Assets Management Limited	-	-	45,200	43,390
KIA Motors Limited	-	-	-	29,873
Lankem Plantations Services Limited	-	-	4,583	4,583
Lankem Tea & Rubber Plantations (Pvt) Limited	-	-	102,274	233,485
York Arcade Holdings PLC	-	-	47,162	43,649
York Hotels (Kandy) Limited	-	-	128,559	117,724
	-	-	497,244	535,633

As at 31st March,	GROUP		COMPANY	
	2017 Rs.'000	2016 Rs.'000	2017 Rs.'000	2016 Rs.'000
30.2 Amounts due to Related Parties Contd.				
Associates				
Capital Investments Limited	12,095	12,085	12,095	12,085
Colombo Fort Investments PLC	62,567	52,358	62,567	52,358
Colombo Investment Trust PLC	38,851	29,756	38,851	29,756
	113,513	94,199	113,513	94,199
Other Related Parties				
Colombo Fort Group Services (Private) Limited	14,582	2,592	426	420
Consolidated Holdings (Private) Limited	2,022	1,920	2,022	1,920
Corporate Holdings (Private) Limited	26,804	21,536	23,288	18,047
Corporate Managers & Secretaries (Private) Limited	26,237	26,734	5,180	6,747
Property & Investment Holdings (Private) Limited	27,400	22,914	27,400	22,914
Ceylon Tea Brokers PLC	107,501	68,247	-	-
York Conventions (Private) Limited	2,935	3,030	-	-
Financial Trust Limited	56,537	-	56,537	-
Others	11,602	11,602	-	-
	275,620	158,575	114,853	50,048
Total Amounts due to Related Parties	389,133	252,774	725,610	679,880
Interest-bearing Borrowings (Note 30.2.1)	134,900	72,900	378,100	441,100
Non-interest-bearing Borrowings	254,233	179,874	347,510	238,780
	389,133	252,774	725,610	679,880
30.2.1 Interest-bearing Borrowings				
Subsidiaries				
C M Holdings PLC	-	-	80,000	-
Colombo Fort Holdings Limited	-	-	30,000	30,000
Creasy Plantation Management Limited	-	-	2,000	2,000
Guardian Asset Management Limited	-	-	14,200	14,200
KIA Motors (Lanka) Limited	-	-	-	25,000
Lankem Plantation Services Limited	-	-	2,000	2,000
Lankem Tea & Rubber Plantations (Private) Limited	-	-	30,000	210,000
York Hotels (Kandy) Limited	-	-	85,000	85,000
	-	-	243,200	368,200
Associates				
Colombo Fort Investments PLC	44,000	39,000	44,000	39,000
Colombo Investment Trust PLC	25,000	18,000	25,000	18,000
	69,000	57,000	69,000	57,000
Other Related Parties				
Consolidated Holdings (Private) Limited	800	800	800	800
Corporate Holdings (Private) Limited	15,100	15,100	15,100	15,100
Financial Trust Limited	50,000	-	50,000	-
	65,900	15,900	65,900	15,900
	134,900	72,900	378,100	441,100

Notes to the Financial Statements Contd.

30.3 Transactions with Related Parties

The Company carries out transactions in the ordinary course of its business with parties who are defined as related parties in Sri Lanka Accounting Standard (LKAS) 24 - 'Related Party Disclosures', the details of which are reported below:

As at 31st March,	GROUP		COMPANY	
	2017 Rs.'000	2016 Rs.'000	2017 Rs.'000	2016 Rs.'000
Subsidiaries				
(Receiving)/Rendering of Services	-	-	18,460	16,353
Loans (Taken)/Given	-	-	-	(20,000)
Interest (Expenses)/Income	-	-	13,690	(895)
Dividend (Paid)/Received	-	-	146,404	84,045
Rent (Taken)/Given	-	-	(11,401)	(11,086)
Guarantee Commission (Taken)/Given	-	-	(8,142)	(7,701)
Group Service Fee	-	-	-	75,088
(Received)/Payment of Outstanding Balances	-	-	97,864	9,526
Disposal (Acquisition) of Shares	-	-	114	56,376
Associates				
Loans (Taken)/Given	(13,000)	(11,000)	(13,000)	(11,000)
Interest (Expenses)/Income	(7,354)	(4,202)	(7,354)	(4,202)
Dividend (Paid)/Received	37,342	(19,309)	(16,175)	(14,349)
(Received)/Payment of Outstanding Balances	(2,092)	(2,707)	1,040	(2,173)
Disposal (Acquisition) of Shares	-	62,986	-	58,594
Other Related Parties				
(Purchases)/Sales of Goods and Services	1,054,940	657,286	(103)	-
(Received)/Payment of Rendering of Services	(527,000)	(361,995)	-	-
Dividend (Paid)/Received	(13,340)	(9,607)	(13,340)	(9,607)
Interest (Expenses)/Income	4,459	(1,460)	4,459	(1,460)
Loans (Taken)/Given	(50,000)	-	(50,000)	-
Rent (Taken)/Given	-	-	-	-
(Received)/Payment of Outstanding Balances	(13,117)	(23,042)	(13,117)	(23,042)

30.4 Terms and Conditions of Transactions with Related Parties

Transactions with related parties are carried out in the ordinary course of the business at commercial rates. Outstanding balances at year end are unsecured and no interest was charged during the year. Interest on balance transferred to interest-bearing liabilities are charged at market rate.

30.5 Transactions with Key Management Personnel

According to Sri Lanka Accounting Standard LKAS 24 - 'Related Party Disclosures', Key Management Personnel are those persons having authority and responsibility for planning, directing and controlling the activities of the entity. Accordingly, Key Management Personnel include the members of the Board of Directors (Including Executive and Non Executive Directors) of The Colombo Fort Land & Building PLC and its subsidiary companies.

(a) Loans to Key Management Personnel

No loans have been given to Key Management Personnel during the year.

(b) Key Management Personnel Compensation

Details of compensation for Executive and Non-Executive Directors are disclosed below:

As at 31st March,	GROUP		COMPANY	
	2017 Rs.'000	2016 Rs.'000	2017 Rs.'000	2016 Rs.'000
Short-Term Employee Benefits	474,040	433,312	12,300	12,300

(c) **Key Management Personnel Shareholding of the Company**

The shareholdings of the Directors are disclosed on page 20 of this Annual Report.

(d) **Transactions with Close Family Members**

There were no transactions with close family members during the year.

30.6 The Directors of the Company are also Directors of the following companies:

Name of the Company	Relationship	Name of the Director							
		Mr. A. Rajaratnam	Mr. S.D.R. Arudpragasam	Mr. N.H.B.S. Perera	Mr. A.M. de S. Jayaratne	Mr. R. Seevaratnam	Mr. Anushman Rajaratnam	Ms. A.K. Gunawardhana	Mr. C.P.R. Perera
The Colombo Fort Land & Building PLC	-	✓	✓	✓	✓	✓	✓	✓	✓
Agarapatana Plantations Limited	Subsidiary	✓	✓						✓
Beruwala Resorts PLC	Subsidiary	✓	✓						✓
C.F. Travels Limited	Subsidiary	✓							
C M Holdings PLC	Subsidiary	✓	✓		✓		✓		
C.W. Mackie PLC	Subsidiary	✓	✓		✓		✓		
Capital Leasing Company Limited	Subsidiary	✓	✓						
Carplan Limited	Subsidiary	✓	✓		✓				
Ceylon Tapes (Private) Limited	Subsidiary						✓		
Colombo Fort Holdings Limited	Subsidiary	✓							
Colombo Fort Hotels Limited	Subsidiary	✓	✓				✓		
Colombo Fort Properties (Private) Limited	Subsidiary	✓							
Creasy Plantation Management Limited	Subsidiary	✓	✓						
Darley Butler & Company Limited	Subsidiary	✓	✓		✓	✓			
Duramedical (Lanka) Limited	Subsidiary		✓						
E.B. Creasy & Company PLC	Subsidiary	✓	✓		✓	✓			
J.F. Packaging (Private) Limited	Subsidiary						✓		
KIA Motors (Lanka) Limited	Subsidiary	✓	✓		✓				
Kotagala Plantations PLC	Subsidiary	✓	✓		✓				✓
Lak Kraft (Private) Limited	Subsidiary		✓				✓		
Lanka Special Steels Limited	Subsidiary		✓						
Lankem Ceylon PLC	Subsidiary	✓	✓	✓		✓	✓		
Lankem Plantation Holdings Limited	Subsidiary	✓	✓	✓					✓
Lankem Plantation Services Limited	Subsidiary	✓	✓						
Lankem Tea & Rubber Plantations (Private) Limited	Subsidiary	✓	✓				✓		✓
Marawila Resorts PLC	Subsidiary	✓	✓						✓

Notes to the Financial Statements Contd.

Name of the Company	Relationship	Name of the Director							
		Mr. A. Rajaratnam	Mr. S.D.R. Arudpragasam	Mr. N.H.B.S. Perera	Mr. A.M. de S. Jayaratne	Mr. R. Seevaratnam	Mr. Anushman Rajaratnam	Ms. A.K. Gunawardhana	Mr. C.P.R. Perera
Muller & Phipps (Ceylon) PLC	Subsidiary		✓						
Nature's Link (Private) Limited	Subsidiary		✓						
Sherwood Holidays Limited	Subsidiary	✓	✓						
Sigiriya Village Hotels PLC	Subsidiary	✓	✓						✓
York Arcade Holdings PLC	Subsidiary	✓	✓		✓				
York Hotel Management Services Limited	Subsidiary		✓				✓		
York Hotels (Kandy) Limited	Subsidiary		✓				✓		
Capital Investments Limited	Associate	✓	✓						
Colombo Fort Investments PLC	Associate	✓	✓		✓				
Colombo Investment Trust PLC	Associate	✓	✓		✓				
Colombo Fort Group Services (Private) Limited	Other Related Party		✓				✓		
Consolidated Holdings (Private) Limited	Other Related Party	✓	✓						
Corporate Holdings (Private) Limited	Other Related Party							✓	
Financial Trust Limited	Other Related Party	✓					✓		
Property & Investment Holdings (Private) Limited	Other Related Party		✓				✓		

- The above mentioned Directors were Directors of the Company as at 31st March, 2017 and subsequent to the said date Mr. P.M.A. Sirimane and Mr.Sanjeev Rajaratnam were appointed to the Board with effect from 25th May, 2017.
- Mr.A. Rajaratnam resigned from the Board of York Hotels (Kandy) Limited with effect from 09.03.2017.
- Mr. Anushman Rajaratnam was appointed to the Board of York Hotels (Kandy) Limited with effect from 09.03.2017.
- Mr. N.H.B.S. Perera resigned from the Boards of The Colombo Fort Land & Building PLC, Lankem Ceylon PLC and Lankem Plantation Holdings Limited with effect from 31.03.2017.

There were no other related party transactions other than the above and those disclosed in Notes 30 to the Financial Statements.

31 PRIOR YEAR ADJUSTMENTS

31.1 Kotagala Plantations PLC

Kotagala Plantations PLC has erroneously not considered some of the timber fields for the biological asset valuation in the previous years. However, This error has now been corrected retrospectively in accordance with Sri Lanka Accounting Standard 8, "Accounting Policies, changes in Accounting Estimates and Errors". Accordingly the amounts presented as at 31st March 2015 and 31st March 2016 are restated as follows.

31.1.1 Impact to the balances reported in the statement of financial position.

A) Consumable Biological Assets

	31st March 2016 Rs.'000	1st April 2015 Rs.'000
Balance as previously reported	640,942	653,685
Increase in gain on fair value of biological assets on restatement.	188,971	168,255
Restated balance	829,913	821,940

B) Deferred Tax Liabilities

Balance as previously reported	335,540	448,823
Deferred tax charge arising from restatement of fair value of consumer biological assets.	18,897	16,826
Restated balance	354,437	465,649

The above deferred tax effect arises due to the increase in the taxable temporary difference of the fair value of consumer biological assets.

C) Retained Earnings

Kotagala Plantations PLC Group has restated its retained earnings as follows.

	31st March 2016 Rs.'000	1st April 2015 Rs.'000
Balance as previously reported	723,243	1,389,053
Add: Impact on increase in fair value of consumer biological assets	188,971	168,255
Less: Deferred Tax charge arising from restatement of fair value of consumer biological assets.	(18,897)	(16,826)
	893,317	1,540,482

31.1.2 Impact to the balances reported in the Profit or Loss and Other Comprehensive Income of Kotagala Plantations PLC Group

	31st March 2016 Rs.'000
D) Restated Loss for the year ended	
Loss for the year as previously reported	(772,044)
Impact from increase in fair value of biological assets. (Note D.1)	20,716
Impact from increase in deferred Tax charge (Note D.2)	(2,071)
Restated Loss for the year	(753,399)
D.1 Gain/ (Loss) on change in fair value of Consumer Biological Assets	
Gain on change in fair value of Biological Assets as previously stated	(12,743)
Increase in Gain on fair value of consumer Biological assets	20,716
Restated Gain on fair value of biological assets	7,973
D.2 Impact on Deferred Tax	
Deferred Tax reversal as previously stated	(140,676)
Deferred tax charge on prior year adjustments	2,071
Restated deferred tax reversal	(138,605)

Notes to the Financial Statements Contd.

31.2 Agarapathana Plantations PLC

Amendments to LKAS 16 and LKAS 41, on bearer plants, harvestable biological assets growing on the bearer plants are measured at fair value less cost to sell and accounted retrospectively

The Company applied above amendment for the first time, which is effective for annual periods beginning on or after 1st January 2016. The nature and effect of the changes are disclosed below.

Impact to the balances reported in the statement of financial position.

Bearer Biological Assets

	31st March 2016 Rs.'000	1st April 2015 Rs.'000
Balance as previously reported	-	-
Increase in gain on fair value of biological assets on restatement.	2,819	3,984
Restated balance	2,819	3,984

Consumable Biological Assets

	31st March 2016 Rs.'000
Balance as previously reported	78,421
Increase in gain on fair value of biological assets on restatement.	(1,164)
Restated balance	77,257

Retained Earnings

Agarapatana Plantations Limited has restated its retained earnings as follows.

	31st March 2016 Rs.'000	1st April 2015 Rs.'000
Balance as previously reported	(1,373,848)	(1,330,134)
Add: Impact on Fair Value gain on growing produce of bearer Biological Assets	2,819	3,984
Restated balance	(1,371,029)	(1,326,150)

31.3 Accordingly, balances pertaining to the previous years have been restated due to the above changes in Kotagala Plantations PLC and Agarapatana Plantations Limited and this has been reflected in the consolidated financial statements, the details are as follows:

As at 31st March,	Reclassified/ Restated Rs.'000	2016 As per Audited Accounts Rs.'000	Change Rs.'000	Reclassified/ Restated Rs.'000	2015 As per Audited Accounts Rs.'000	Change Rs.'000
Impact to the balances reported in the statement of financial position.						
Fair Value gain on growing produce of bearer Biological Assets (Note 31.2)	2,819	-	2,819	3,984	-	3,984
Biological Assets (Note 31.1.1(A))	1,390,876	1,201,905	188,971	1,300,184	1,131,930	168,255
Deferred Tax Liabilities (Note 31.1.1(B))	(549,778)	(530,882)	(18,897)	(684,238)	(667,412)	(16,826)
Profit or Loss and Other Comprehensive Income						
Other Income	780,595	761,045	19,550	-	-	-
Income Tax Expense	(161,751)	(159,679)	(2,071)	-	-	-
Retained Earnings	11,952,276	11,779,384	172,892	12,508,404	12,352,990	155,414

31.4 E B Creasy & Company PLC

The Company has reviewed the recognition point of goods in transit recognized under inventories and required changes were made retrospectively for the goods in transit. Due to impracticability this retrospective adjustment is limited to 31st March 2016.

Accordingly, balances pertaining to the previous years have been restated due to the above change in E B Creasy & Company PLC and this has been reflected in the consolidated financial statements, the details are as follows:

	Reclassified/ Restated	2016 As per Audited Accounts	Change
Inventories	6,695,531	6,803,178	(107,647)
Trade and other Payables	6,164,085	6,271,729	(107,644)

31.5 Comparative Information

Comparative information have been reclassified, where necessary, in order to conform to the current period's presentation. However, such reclassifications did not have any effect on the net profit or equity of the comparative year except the impact from the adjustment for correction of prior year adjustment disclosed.

32 FINANCIAL INSTRUMENTS

Financial Risk Management

Overview

The Group has exposure to the following risks from its use of financial instruments:

- Credit risk
- Liquidity risk
- Market risk

This note presents qualitative and quantitative information about the Group's exposure to each of the above risks, the Group's objectives, policies and processes for measuring and managing risks.

Risk Management Framework

The Board of Directors have overall responsibility for the establishment and oversight of the Group's risk management framework. The Group's risk management policies are established to identify and analyse the risk faced by the Group, to set appropriate risk limits and controls, and to monitor risk and adherence to limits. Risk management policies and systems are reviewed regularly to reflect changes in market conditions and the Group's activities. The Group, through its training and management standards and procedures, aims to maintain a disciplined and constructive control environment in which all employees understand their roles and obligations.

32.1 Credit Risk

Credit risk is the risk of financial loss to the Group if a customer or counter party to a financial instrument fails to meet its contractual obligation, and arises principally from the Group's receivables from customers, investment and forward contracts.

Group's credit exposure is closely monitored. Credit given is reviewed worth the predetermine approval procedures and contractual agreement made for every high value transaction.

Notes to the Financial Statements Contd.

32.1.1 Exposure to Credit Risk

The carrying amount of financial assets represents the maximum credit exposure. The maximum exposure to credit risk at the reporting date was as follows;

As at 31st March,	GROUP		COMPANY	
	2017 Rs.'000	2016 Rs.'000	2017 Rs.'000	2016 Rs.'000
Trade and Other Receivables	7,929,745	7,721,022	51,412	2,932
Amount due from Related Companies	106,366	134,749	536,086	426,226
Cash & Cash Equivalents	1,637,426	1,620,026	119,370	115,124
	9,673,537	10,313,871	9,475,797	544,282

The ageing of amount due from related companies as at the reporting date was as follows;

	GROUP				COMPANY			
	Gross 31.03.2017 Rs. '000	Impairment 31.03.2017 Rs. '000	Gross 31.03.2016 Rs. '00	Impairment 31.03.2016 Rs. '000	Gross 31.03.2017 Rs. '000	Impairment 31.03.2017 Rs. '000	Gross 31.03.2016 Rs. '000	Impairment 31.03.2016 Rs. '000
Past due 0-365 days	(22,650)	-	6,896	-	117,377	-	45,311	-
More than one year	129,016	-	129,016	(1,163)	358,709	-	380,915	-
	106,366	-	135,912	(1,163)	536,086	-	426,226	-

32.2 Liquidity Risk

Liquidity risk is the risk that the Group will encounter difficulty in meeting the obligations associated with its financial liabilities that are settled by delivering cash or another financial asset.

The following are the contractual maturities of financial liabilities, including estimated interest payments and excluding of netting agreements.

As at 31st March,	GROUP				COMPANY			
	2017 Carrying Amount Rs.'000	2017 Contractual Cash Flows Rs.'000	2017 Less than 1 year Rs.'000	2017 More than 1 year Rs.'000	2016 Carrying Amount Rs.'000	2016 Contractual Cash Flows Rs.'000	2016 Less than 1 year Rs.'000	2016 More than 1 year Rs.'000
Non- Derivative Financial Liabilities								
Loans and Borrowings	16,490,801	16,490,801	9,491,652	6,303,602	14,865,895	14,865,895	6,418,590	5,374,243
Trade & other payables	7,412,668	7,412,668	7,382,506	30,162	6,470,328	6,470,328	6,463,701	6,627
Amounts due to Related Party	389,133	389,133	389,133	-	252,774	252,774	252,774	-
Bank overdraft	3,184,515	3,184,515	3,184,515	-	3,269,913	3,269,913	3,269,913	-
Total	27,477,117	27,477,117	20,447,806	6,333,764	24,858,910	24,858,910	16,404,978	5,380,870

It is not expected that the cash flows included in the maturity analysis could occur significantly earlier, or at significantly different amounts.

As at 31st March,	COMPANY							
	2017				2016			
	Carrying Amount Rs.'000	Contractual Cash Flows Rs.'000	Less than 1 year Rs.'000	More than 1 year Rs.'000	Carrying Amount Rs.'000	Contractual Cash Flows Rs.'000	Less than 1 year Rs.'000	More than 1 year Rs.'000
Non-Derivative Financial Liabilities								
Loans and Borrowings	182,500	182,500	61,500	121,000	195,650	195,650	85,650	110,000
Trade & other payables	90,089	90,089	90,089	-	114,585	114,585	114,398	187
Amounts due to Related Party	725,610	725,610	725,610	-	679,880	679,880	679,880	-
Bank overdraft	111,147	111,147	111,147	-	93,852	93,852	93,852	-
Total	1,109,346	1,109,346	988,346	121,000	1,083,967	1,083,967	973,780	110,187

It is not expected that the cash flows included in the maturity analysis could occur significantly earlier, or at significantly different amounts.

32.3 Market Risk

Market risk is the risk that changes in market prices, such as foreign exchange rates, interest rates etc. will affect the Group's income or the value of its holdings of financial instruments. The objective of the market risk management is to manage and control market risk exposures within acceptable parameters while optimizing the returns.

32.4 Currency Risk

The Group is exposed to currency risk on purchases and borrowings that are denominated in a currency other than the functional currency which is Sri Lankan Rupees.

Sensitivity Analysis

A strengthening or weakening of Sri Lankan Rupee, as indicated below, against the other currencies at 31st March 2017 would have increased/ (decreased) the equity and profit or loss by the amounts shown below. This analysis is based on foreign currency exchange rate variances that the Group considered to be reasonably possible at the end of the reporting period. The analysis assumes that all other variables, in particular interest rates, remain constant.

Increase /(Decrease) in Exchange rate

As at 31 March,	Effect on Profit before Tax	
	2017 Rs.'000	2016 Rs.'000
Dollar (USA) + 10%	(1,358,453)	(858,109)
Dollar (USA) - 10%	1,358,453	858,109
Pound (UK) +10%	(293)	(1,215)
Pound (UK) -10%	293	1,215
Yen (Japan) +10%	(3,312)	(46,556)
Yen (Japan) -10%	3,312	46,556

32.5 Interest Rate Risk

Interest rate risk is the risk that the fair value or future cash flows of a financial instrument will fluctuate because of changes in market interest rates. The Group's exposure to the risk of changes in the market interest rate relates primarily to Group's long term debt obligations and investments with floating interest rates. The Group utilises various financial instruments to manage exposures to interest rate risks arising due to financial instruments. However, the company does not have material long term floating rate borrowings or deposits as at the reporting date which results a material interest rate risk.

Notes to the Financial Statements Contd.

The following table demonstrates the Group sensitivity to a reasonably possible change in interest rates, with all other variables held constant, of the profit before tax.

As at 31 March,	Effect on Profit before Tax	
	2017 Rs.'000	2016 Rs.'000
Variable rate instrument (1% decrease)	79,984	29,095
Variable rate instrument (1% Increase)	(79,984)	(29,095)

32.6 Capital Management

The Board's policy is to maintain a strong capital base so as to maintain shareholder, creditor and market confidence and to sustain future development of the business. The Board of Directors monitors the return on capital and level of dividends paid out to ordinary shareholders.

Bank Overdrafts with variable interest rates are used to manage the working capital requirements of the Group. Major projects are financed by funds received from long term borrowings as well as reserves of the Group.

The Group's net debt to equity ratio at the end of the reporting period was as follows:

As at 31st March,	GROUP		COMPANY	
	2017 Rs.'000	2016 Rs.'000	2017 Rs.'000	2016 Rs.'000
Total Liabilities	31,013,027	28,534,779	1,135,952	1,110,776
Less: Cash and Cash Equivalents	1,637,426	1,620,026	119,370	115,124
Net Debt	29,375,601	26,914,753	1,016,582	995,652
Total Equity	6,886,805	7,706,025	1,512,934	1,444,261
Net Debt to Equity Ratio	427%	349%	67%	69%

There were no changes in the Group's approach to capital management during the year and the Group is not subject to externally imposed capital requirements.

32.7 Fair Values

Fair Values Versus Carrying Amounts

The fair values of financial assets and liabilities, together with the carrying amounts in the Statement of Financial Position, are as follows:

As at 31st March, 2017	Note	Available for Sale	Held-for Trading	Loans & Receivables	Held to Maturity	Other Financial Liabilities	Total Carrying Value	Fair Value
		Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000
Group								
Investment in Equity Securities	16	451,220	-	-	-	-	451,220	451,220
Unit trust	16	169,161	-	-	-	-	169,161	169,161
Debentures and Fixed deposits	16	-	-	-	-	-	-	-
Trade & Other Receivables	19	-	-	7,929,745	-	-	7,929,745	7,929,745
Amounts due from Related Parties	30	-	-	106,366	-	-	106,366	106,366
Other financial assets	16	-	759,601	-	-	-	759,601	759,601
Cash & Cash Equivalents	20	-	-	1,637,426	-	-	1,637,426	1,637,426
		620,381	759,601	9,673,537	-	-	11,053,519	11,053,519
Trade & Other Payables	29	-	-	-	-	7,053,712	7,053,712	7,053,712
Amounts due to Related Parties	30	-	-	-	-	389,133	389,133	389,133
Loans and Borrowings	24	-	-	-	-	16,490,801	16,490,801	16,490,801
Bank Overdraft	20	-	-	-	-	3,184,515	3,184,515	3,184,515
Other liabilities		-	-	-	-	936,951	936,951	936,951
		-	-	-	-	28,055,112	28,055,112	28,055,112

As at 31st March, 2017	Note	Available for Sale	Loans & Receivables	Held-for Trading	Held to Maturity	Other Financial Liabilities	Total Carrying Value	Fair Value
		Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000
Company								
Investment in Equity Securities	16	1,662	-	-	-	-	1,662	1,662
Loans Due from Related Parties	30	-	355,500	-	-	-	355,500	355,500
Trade & Other Receivables	19	-	51,411	-	-	-	51,411	51,411
Amounts due from Related Parties	30	-	180,586	-	-	-	180,586	180,586
Cash & Cash Equivalents	20	-	3,970	-	-	-	3,970	3,970
Deposits with Banks	20	-	115,400	-	-	-	115,400	115,400
		1,662	706,868	-	-	-	708,530	708,530
Bank Loans	24	-	-	-	-	182,500	182,500	182,500
Bank Overdraft	20	-	-	-	-	111,147	111,147	111,147
Trade and Other Payables	28	-	-	-	-	48,204	48,204	48,204
Amounts due to Related Parties	30	-	-	-	-	725,610	725,610	725,610
		-	-	-	-	1,067,461	1,067,461	1,067,461

33 FAIR VALUE OF FINANCIAL ASSETS AND LIABILITIES NOT CARRIED AT FAIR VALUE

For financial assets and financial liabilities that have a short term maturity (original maturities less than a year), it is assumed that the carrying amounts approximate their fair values. Further, other borrowed funds with a variable interest rate are also considered to be carried at fair value.

Assets and liabilities (excluding financial assets and liabilities) measured at fair value - Recurring

Asset / Liability	Valuation technique	Significant unobservable inputs	Sensitivity of the input to the fair value	Level 1	Level 2	Level 3
Biological assets						
Gain arising from changes in fair value.	Discounted cash flows The valuation model considers present value of future net cash flows expected to be generated by the plantation from the timber content of managed timber plantation on a tree-per-tree basis. Expected cash flows are discounted using a risk adjusted discount rate of 16.3% comprising a risk premium of 3.8%. Trees have been valued as per the current timber prices per cubic meter which is the recent selling price of a cubic meter of the specific species.	Determination of timber content Species planted in separate blocks as at the reporting date have been identified by a qualified forestry officer of the company and the timber content has been estimated based on the age and current cubic content. the estimated fair value at the time of harvesting each specific species is sensitive to the following variables, - the estimated timber content. Determination of price of timber Trees have been valued as per the current timber prices per cubic meter which is the recent selling price of a cubic meter of the specific species.	The estimated fair value at the time of harvesting each specific species is sensitive to the following variables, - the estimated timber content. - the estimated timber prices per cubic meter. - the estimated selling related costs. - the estimated maturity age. - the risk-adjusted discount rate.	-	-	150 Mn

Notes to the Financial Statements Contd.

33 Fair value of financial assets and liabilities not carried at fair value (Contd.)

Assets and liabilities for which fair values are disclosed - Recurring

Asset / Liability	Valuation technique	Significant unobservable inputs	Level 1	Level 2	Level 3
Property Plant and Equipment					
- Freehold land and buildings	Market comparable method This method considers the selling price of a similar property within a reasonably recent period of time in determining the fair value of property being revalued. This involves evaluation of recent active market prices of similar assets, making appropriate adjustments for difference in size, nature and location of the property.	Price per perch / Per Square Feet	-	-	8,921 Mn
Investment property					
- Freehold land and buildings	Market comparable method / Income Method Market comparable method: This method considers the selling price of a similar property within a reasonably recent period of time in determining the fair value of property being revalued. This involves evaluation of recent active market prices of similar assets, making appropriate adjustments for difference in size, nature and location of the property. Income Method: The net income generated by the property is used in conjunction with certain factors is used to calculate its fair value.	Price per perch / Per Square Foot and Cash flows from Investment property discounted at an appropriate rate	-	-	767 Mn

34 CAPITAL AND FINANCIAL COMMITMENTS

34.1 COMPANY

The Company had no material capital or financial commitments as at the date of the Statement of Financial Position.

34.2 GROUP

The Group had no significant capital or financial commitments as at the reporting date other than those disclosed below:

Agarapatana Plantations Limited

	31.03.2017 Rs. Million	31.03.2016 Rs. Million
a) Field Development	178.4	175.6
b) Machinery & Factory Development	61.7	119.3

Lanka Special Steels Limited

The outstanding forward exchange contracts entered into by the company as at 31st March 2017 was amounting to Rs. 178 million (2015/16 - Rs. 56 million).

35 CONTINGENT LIABILITIES / ASSETS

There are no material contingent liabilities / assets outstanding as at the Reporting Date, other than those disclosed below:

35.1 Company

The Company has issued Corporate Guarantees for the borrowings by the subsidiary companies as indicated below,

Financial Institutions/Companies	Name of the Company	31.03.2017 Rs.'000	31.03.2016 Rs.'000
Commercial Bank of Ceylon PLC	American Lloyd Travels Limited	10,000	10,000
Inter Company Balances	York Arcade Holdings PLC	3,307	3,307
Pan Asia Banking Corporation PLC	Beruwala Resorts PLC	25,000	25,000
Pan Asia Banking Corporation PLC	Sigiriya Village Hotels PLC	25,000	25,000
		63,307	63,307

35.2 Group

35.2.1 Contingent Liabilities

(i) E.B.Creasy & Company PLC

Contingent liabilities exist in relation to guarantees issued by E.B.Creasy & Company PLC to financial institutions on behalf of its subsidiary to obtain facilities from Financial Institutions are as follows:

	31.03.2017 Rs.'000	31.03.2016 Rs.'000
Darley Butler & Company Limited	230,000	230,000
	230,000	230,000

(ii) Lanka Special Steels Limited

Lanka Special Steels Limited has given a grantee of Rs. 25,100,000 to Sri Lanka Custom and it was outstanding as at 31st March, 2017.

(iii) Lankem Ceylon PLC

Contingent liabilities exist in relation to guarantees issued by Lankem Ceylon PLC to third parties on behalf of its related companies are as follows:

	31.03.2017 Rs.'000	31.03.2016 Rs.'000
Darley Butler & Company Limited	130,000	130,000
Galle Fort Hotel (Private) Limited	110,423	98,663
Lankem Developments PLC	62,080	62,080
SunAgro Foods Limited	185,000	185,000
SunAgro LifeScience Limited	310,000	210,000
Waverly Power (Private) Limited	70,000	70,000
Agarapathana Plantations Limited	200,000	-
	1,067,503	755,743

Notes to the Financial Statements Contd.

35 CONTINGENT LIABILITIES / ASSETS (Contd.)

35.2 Group (Contd.)

35.2.1 Contingent Liabilities (Contd.)

(iv) C.W. Mackie PLC

The following contingent liabilities exist as at the reporting date on account of the letters of comfort and guarantees given by the Company:

	2017 Rs. Million	2016 Rs. Million
Ceymac Rubber Company Limited	99	99
Ceytra (Private) Limited	8	8
Kelani Valley Canneries Limited	90	-
	197	107
	2017 Rs. Million	2016 Rs. Million
Outstanding short term loan facility		
Ceymac Rubber Company Limited	72	50
Kelani Valley Canneries Limited	65	-
	137	50

These corporate guarantees have been provided for Hatton National Bank PLC and Commercial Bank of Ceylon PLC on behalf of the subsidiary companies Ceymac Rubber Company Limited, Ceytra (Private) Limited and Kelani Valley Canneries Limited for short term loan facilities, where repayment terms are less than 12 months.

(v) Lankem Tea & Rubber Plantation (Private) Limited

Lankem Tea & Rubber Plantations (Private) Limited has given a corporate guarantee to People's Leasing Company Limited on behalf of Agarapathana Plantations Limited, to secure term loan of Rs.4.85 million.

(vi) Lankem Developments PLC

Corporate Guarantee given to Agarapathana Plantations Limited amounting to Rs.160 million.

(vii) KIA Motors (Lanka) Limited

KIA Motors (Lanka) Limited was a bona-fide purchaser of land in extent of 3 Acres, 1 Rood and 4.4 Perches at Malabe in 2012. The cost of which is shown under freehold land in Note 10 to these financial statements. The property is the subject matter of litigation, as informed to the KIA Motors (Lanka) Limited, by a petitioner who had made a Revision Application. KIA Motors (Lanka) Limited has intervened in this matter in the Supreme Court and has been defending its position since 2013/2014. Legal advice indicates that KIA Motors (Lanka) Limited will not forfeit physical possession of the property. However, as at the date of issue of these financial statements, final outcome of the litigation cannot be determined as per the legal counsel to KIA Motors (Lanka) Limited.

KIA Motors (Lanka) Limited has filed two Writ applications against the orders of the Consumer Affairs Authority in the Court of Appeal, in relation to customer claims. The matters are fixed for argument on 12th October, 2017.

KIA Motors (Lanka) Limited has been defending a case filed against the company by a service provider for purported invoices raised for services on designing, planning, and management of the construction of the showroom and services complex. The company has disclaimed the liability and preferred a counter claim. No provision in relation to this claim has been recognised in these consolidated financial statements, pending a final outcome from the court.

36 GOING CONCERN

GROUP

The Financial Statements of The Colombo Fort Land & Building PLC do not include any adjustments in relation to the recoverability and the classification of recorded asset amounts or to amounts and classification of liabilities that may be necessary, if any of the following companies are unable to continue as going concern:

(i) Agarapatana Plantations Limited

Agarapatana Plantations Limited, a subsidiary has recorded a profit of Rs. 27.7 million during the year ended 31st March, 2017 (2015/16 - Rs. 394.97 million) and as at 31st March 2017 the Current Liabilities of the Company exceeded its Current Assets by Rs.1,827.93 million (2015/16 - Rs.1,725.04 million). The Company has a serious loss of capital as defined in Section 220 of the Companies Act No 07 of 2007.

The Directors of the Company are confident that the financial position of the Company will significantly improve in the near future in view of the finance facilities available from the banks and related companies together with the recent changes in the tea market and the proposed action plans appended below to circumvent the current liquidity crisis which affects the going concern position of the Company in the future .

- The weather conditions experienced during the previous years improved and the company is experiencing heavy crops during the months of April May and expect to continue this trend during the balance part of the year. From the month of September 2016 to March 2017, Net Sale Average has improved by Rs. 172 per kg from Rs. 444 per kg to Rs. 617 per kg resulting in an overall increase by 38% showing a tremendous turnaround in the Auction prices. The company expects the prices to remain at this level during the next year.
- The company has already started the Bought Leaf lines that was closed during the last year, which has already shown favourable results during the current period.
- The Company is expecting to receive a Tea Board Loan during the month of May 2017 for the application of Fertilizer.
- Management Fee has been fully waived of for the current year by the managing agent Lankem Tea & Rubber Plantations (Pvt) Ltd. Company has already called for a rights issue of shares to raise Rs.454 million to strengthen the equity capital.

The Financial Statements of the Company have been prepared on the assumption that the Company is a going concern.

(iii) SunAgro Foods Limited

SunAgro Foods Limited, a subsidiary has incurred a loss of Rs.46 million (2015/16 – Rs.86.2 million) for the year ended 31st March, 2017 and as at that date accumulated loss was Rs.360.39 million (2015/16- Rs.314.4 million). Further total liabilities exceeds the total assets by Rs.310.39 million (2015/16- Rs.264.4 million) and the current liabilities exceeds the current assets by Rs.402.36 million (2015/16-Rs.337.0 million). Further, company's net assets are less than half of the stated capital and face a serious loss of capital situation. These factors have effects on company's ability to continue as going concern. However the management has set an action plan which is monitored by the Board to prevent further such losses or to recoup the losses incurred. Accordingly the Directors of the Company are of the view that the company is able to continue as a going concern.

Notes to the Financial Statements Contd.

37 EVENTS OCCURRING AFTER THE REPORTING DATE

37.1 COMPANY

The Directors of The Colombo Fort Land & Building PLC have recommended the payment of a First & Final Dividend of Rs. 0.15 per ordinary share which will be declared at the Annual General Meeting to be held on 27th September 2017. In accordance with the Sri Lanka Accounting Standard (LKAS) 10 - "Events Occurring After the Reporting Date", this proposed dividend has not been recognised as a liability as at 31st March, 2017.

The Tertiary Mortgage Bond executed by the Company jointly with York Arcade Holdings PLC on the Land at Leyden Bastian Road for Rs. 127.5 million, is in the process of cancellation as the loan obtained from Sampath Bank PLC has been settled by the Company.

37.2 GROUP

(i) C.W. Mackie PLC

C. W. Mackie PLC and Co-Ro A/S from Denmark has entered into a joint venture agreement on 24th February 2017, with the purpose of manufacturing, processing and marketing Co-Ro's products in the form of concentrates and ready to drink (RTD) products marketed under "Sunquick" brand. Two Limited Liability companies, named Sunquick Lanka (Private) Limited, in which Co-Ro A/S will own 51% and Sunquick Lanka Properties (Private) Limited, in which CWM will own 51% will be established under the joint venture. Two venture companies were registered on 04th May 2017 and expected to commence operations by 1st June 2017.

The Directors of C.W. Mackie PLC have recommended the payment of a first and final dividend of Rs. 3.50 per ordinary share amounting to Rs.125.96 million for the year ended 31st March, 2017 which was approved by the shareholders at the Annual General Meeting held on 28th June, 2017. The dividend was paid to the shareholders on 07th July, 2017.

This proposed dividend has not been recognised as a liability as at 31 March 2017.

(ii) C M Holdings PLC

The Board of Directors of C M Holdings PLC has proposed a First and Final Dividend of Rs. 6.00 per share for the year ended 31st March, 2017. The dividend so proposed is subject to the approval of the shareholders at the Annual General Meeting (AGM) of C M Holdings PLC and has not been recognized as a liability in the Financial Statements as at 31st March, 2017.

(iii) Union Investments (Private) Limited

The Board of Directors of Union Investments (Private) Limited recommended a First and Final Dividend of Rs.2.00 per share for the year ended 31st March, 2017. The Dividend was approved by the Shareholders at the Annual General Meeting held on 23rd June, 2017. The date of payment of the Dividend was 23rd June, 2017.

(iv) Carplan Limited

The Board of Directors of Carplan Limited recommended a First and Final Dividend of Rs.4.00 per share for the year ended 31st March, 2017. The Dividend was approved by the Shareholders at the Annual General Meeting held on 10th July, 2017. The date of payment of the Dividend was 10th July, 2017.

(v) Lankem Ceylon PLC,

Lankem Ceylon PLC, having previously acquired 72.5% of the Equity Capital of JF Packaging (Private) Ltd in January 2015, has on 11th April 2017 acquired the Balance Stake of 27.5% of the said JF Packaging (Private) Limited for a consideration of Rs.320,000,000/-.

The Company on 4th May 2017 announced a issue of 12,000,000 Ordinary Shares at a price of Rs.40/- per share by way of a Rights Issue in the proportion of One (01) new Ordinary Share for every Two (02) existing issued Ordinary Shares held, subject to approval by the Shareholders. The Company is in the process of obtaining approval of the Colombo Stock Exchange (CSE) for the listing of the said shares. The purpose of the Issue is to raise funds to settle inter-company borrowings and for working capital requirements.

JF Packaging (Private) Limited

JF Packaging (Private) Limited, on 3rd May 2017, acquired 100% equity stake in Kiffs (Private) Limited for a total consideration of Rs.225M. Kiffs (Private) Limited is engaged in the business of manufacturing and distribution of PET Bottles.

JF Packaging (Private) Limited has on 24th May 2017, acquired 100% equity stake in Alliance Five (Pvt) Limited for a total consideration of Rs.150M. Alliance Five (Pvt) Limited is engaged in the business of Injection Moulding.

York Arcade Holdings PLC

On 2nd August 2017 the Board of Directors decided for the Company to Repurchase 4,500,000 of its Ordinary Shares out of the total Issued Ordinary Shares of 12,000,000 at a price of Rs. 17/- per share on a Pro Rata basis of Three (03) Ordinary Shares for every existing Eight (08) Ordinary Shares held subject to Shareholder approval. The total consideration for which the Shares are to be Repurchased would amount to a maximum value of Rs. 76,500,000/-.

The Directors also resolved that the Shares in the Company following the completion of the proposed Repurchase of Shares, to the extent of a maximum of 4,500,000 Ordinary Shares, which shall then amount to 7,500,000 Ordinary Shares, be Consolidated, on the basis of every Ten (10) Ordinary Shares being Consolidated into One (01) Ordinary Share thereby reducing the number of Shares of the Company to 750,000 Shares subject to obtaining Shareholder approval and other regulatory approvals.

In the event the number of Shares Repurchased were to be less than 4,500,000 Shares, the number of Shares to be Consolidated and the reduced number of Shares arising out of such Consolidation would be more than the amount that is stated above. (i.e more than 750,000 Shares).

The proposed Repurchase and Consolidation of Shares shall not result in a change to the Stated Capital of the Company.

38 OPERATING LEASE

The buildings of Beruwala Resorts PLC, Sigiriya Village Hotels PLC and SunAgro Farms Limited are constructed on land obtained on operating leases.

Company	Unexpired Period of the Lease
Beruwala Resorts PLC	30 Years
Sigiriya Village Hotels PLC	30 Years
SunAgro Farms Limited	29 Years

Beruwala Resorts PLC

Beruwala Resorts PLC's buildings have been constructed on a land which was leased out from Sri Lanka Tourism Development Authority for 30 years commencing from 01st August 2007. The lease period will expire on 31st July 2037. The Company has paid Rs. 1,836,000/- as lease rent during the year 2016/2017 (2015/2016 Rs. 1,832,940/-).

Sigiriya Village Hotels PLC

Sigiriya Village Hotels PLC's buildings have been constructed on a land which was leased out from Sri Lanka Tourism Development Authority for 30 years commencing from 02nd September 2009. The lease period will expire on 01st September 2039.

Notes to the Financial Statements Contd.

39 NON CONTROLLING INTERESTS IN SUBSIDIARIES

The following table summarises the information relating to subsidiaries that have material non controlling interest (NCI), before any intra-group eliminations.

	Trading Companies Rs.'000	2017 Leisure and Other Rs.'000	Plantation Rs.'000	Trading Companies Rs.'000	2016 Leisure and Other Rs.'000	Plantation Rs.'000
Revenue	37,931,200	2,316,528	6,604,854	33,348,949	2,344,800	6,621,958
Operating Profit / (Loss)	965,554	99,776	289,919	1,192,322	24,132	(477,737)
Finance Cost	(1,190,036)	(198,077)	(704,810)	(951,635)	(139,422)	(675,232)
Income Tax	(120,311)	(48,356)	14,503	(243,565)	580	98,361
Profit/ loss After Tax	(344,793)	(146,657)	(400,388)	(2,878)	(114,710)	(1,054,608)
Total Comprehensive Income	(384,979)	(169,543)	(221,172)	(31,172)	(157,027)	(886,773)
Profit/ (Loss) allocated to NCI	34,440	(51,831)	19,524	90,409	(48,203)	(267,759)
Non Current Assets	8,862,010	4,221,614	9,356,850	8,442,275	4,143,921	8,886,198
Current Assets	18,412,610	1,852,416	1,862,757	17,607,137	1,959,697	1,943,092
Total Assets	27,274,620	6,074,030	11,219,607	26,049,412	6,103,618	10,829,290
Non Current Liabilities	3,607,037	798,487	5,611,424	2,386,822	814,928	5,992,004
Current Liabilities	17,919,553	2,819,147	6,021,980	16,623,400	2,723,006	5,396,614
Total Liabilities	21,526,590	3,617,634	11,633,404	19,010,222	3,537,934	11,388,618

Names of Subsidiaries with material non controlling interest (NCI)

Trading Companies	Principal Place of Business	NCI Effective Holding	
		2017	2016
E. B. Creasy & Company PLC	No .98, Sri Sangaraja Mawatha, Colombo 10	40.12%	40.12%
Lankem Ceylon PLC	Nawam Mawatha, Colombo 2	41.02%	41.02%
Colonial Motors Ceylon Limited	297, Union Place, Colombo 02	34.58%	34.58%
C M Holdings PLC	297, Union Place, Colombo 02	34.58%	34.58%
Muller & Phipps (Ceylon) PLC	No .98, Sri Sangaraja Mawatha, Colombo 10	69.28%	69.28%
Pettah Pharmacy (Private) Limited	No .98, Sri Sangaraja Mawatha, Colombo 10	69.28%	69.28%
E. B. Creasy Logistics Limited	No .98, Sri Sangaraja Mawatha, Colombo 10	40.12%	40.12%
Darley Butler & Company Limited	No .98, Sri Sangaraja Mawatha, Colombo 10	40.12%	40.12%
Creasy Foods Limited	No .98, Sri Sangaraja Mawatha, Colombo 10	40.12%	40.12%
Laxapana Batteries PLC	No .98, Sri Sangaraja Mawatha, Colombo 10	69.11%	69.11%
C. W. Mackie PLC	No.36, D.R.Wijewardena Mawatha, Colombo 10	65.36%	65.96%
Lankem Paints Limited	Nawam Mawatha, Colombo 2	41.02%	41.02%
Lankem Consumer Products Limited	Nawam Mawatha, Colombo 2	41.02%	41.02%
Lankem Chemicals Limited	Nawam Mawatha, Colombo 2	41.02%	41.02%
Associated Farms Limited	Nawam Mawatha, Colombo 2	41.02%	41.02%
Sunagro Foods Limited	Nawam Mawatha, Colombo 2	41.02%	41.02%
Leisure and Other			
Sigiriya Village Hotels PLC	Sigiriya	60.61%	59.90%
Marawila Resorts PLC	Thalwilawella, Thoduwwa, Marawila	61.60%	61.24%
Colombo Fort Hotels Limited	8-5/2, Leyden Bastian Road, York Arcade Building, Colombo 01	38.63%	38.19%
Galle Fort Hotel (Private) Limited	Galle	38.63%	38.19%
Baruwala Resorts PLC	Moragalla, Beruwala	53.37%	52.29%
BOT Hotel Services (Private) Limited	8-2/1, Leyden Bastian Road, York Arcade Building, Colombo 01	48.22%	52.29%
Plantation			
Kotagala Plantations PLC	53-1/1, Sir Baron Jayatilaka Mawatha, Colombo 01	44.57%	44.57%
Agarapatana Plantations Limited	53-1/1, Sir Baron Jayatilaka Mawatha, Colombo 01	60.85%	60.85%
Lankem Developments PLC	No .98, Sri Sangaraja Mawatha, Colombo 10	49.13%	48.12%
Lankem Tea & Rubber Plantations (Private) Limited	53-1/1, Sir Baron Jayatilaka Mawatha, Colombo 01	19.74%	19.74%

Segment Information

	Trading of Consumer Products			Trading of Industrial Products			Leisure		Plantations		Others		Total	
	2017 Rs.'000	2016 Rs.'000		2017 Rs.'000	2016 Rs.'000		2017 Rs.'000	2016 Rs.'000	2017 Rs.'000	2016 Rs.'000	2017 Rs.'000	2016 Rs.'000	2017 Rs.'000	2016 Rs.'000
Revenue	27,066,892	21,348,899		10,864,308	12,000,050		1,414,470	1,299,017	6,604,854	6,621,958	931,958	1,141,306	46,882,482	42,411,230
Inter Segments	(5,190,012)	(4,574,691)		(174,806)	(544,821)		(1,407)	(6,531)	(207,033)	(141,780)	(292,750)	(283,303)	(5,866,008)	(5,551,126)
Revenue from External Customers	21,876,880	16,774,208		10,689,502	11,455,229		1,413,063	1,292,486	6,397,821	6,480,178	639,208	858,003	41,016,474	36,860,104
Segment Results after Eliminations	1,115,435	1,036,773		52,849	(32,175)		169,698	238,425	(33,364)	(233,751)	(180,106)	270,719	1,191,239	1,279,992
Gain from Bargain Purchase	-	-		-	-		-	-	-	-	193	193	193	193
Finance Expenses	(504,158)	(520,672)		(685,878)	(430,963)		(173,368)	(134,702)	(706,072)	(675,232)	(43,196)	(26,418)	(2,112,672)	(1,787,987)
Share of Results of Associate	-	-		-	-		-	-	-	-	4,794	(10,662)	4,794	(10,662)
Profit Before Tax	611,227	516,102		(633,029)	(463,139)		(3,670)	103,723	(672,708)	(908,983)	(218,316)	233,832	(916,447)	(518,465)
Taxation	(82,264)	(171,920)		(38,047)	(71,645)		(19,781)	(21,749)	14,503	98,361	(36,227)	5,201	(161,816)	(161,752)
Profit for the Year	529,013	344,182		(671,076)	(534,784)		(23,451)	81,974	(658,205)	(810,622)	(254,542)	239,033	(1,078,262)	(680,217)
Equity Holders of the Parent	382,485	214,752		(469,631)	(502,901)		33,302	87,410	(569,755)	(362,211)	(255,880)	251,649	(879,480)	(311,301)
Non Controlling Interest	146,528	129,430		(201,445)	(31,883)		(56,753)	(5,435)	(88,450)	(448,412)	1,338	(12,617)	(198,783)	(368,916)
Total	529,013	344,182		(671,076)	(534,784)		(23,451)	81,974	(658,205)	(810,622)	(254,542)	239,033	(1,078,262)	(680,217)
Depreciation and Amortisation	412,648	374,644		245,197	311,861		130,715	134,285	424,959	360,445	44,955	35,733	1,258,473	1,216,968
Property, Plant & Equipment Additions	980,598	703,818		263,476	342,857		106,444	355,796	1,375,157	1,289,800	138,665	25,215	2,864,339	2,717,486
Non-Current Assets	5,160,408	5,173,207		2,439,091	2,419,210		3,567,433	3,616,359	7,210,676	6,814,993	1,063,298	965,804	19,440,906	18,989,573
Property, Plant & Equipment	-	-		-	-		-	-	471,036	548,263	6,670	-	477,706	548,263
Leasehold Properties	-	-		-	-		-	-	23,196	25,638	91,569	102,865	424,535	440,869
Investment Properties	137,516	137,952		15,110	17,270		157,144	157,144	1,521,779	1,390,876	-	-	1,521,779	1,390,876
Biological Assets	-	-		-	-		-	-	-	-	-	-	-	-
Investment in Associates	-	-		-	-		-	-	-	-	-	-	-	-
Other Long-Term Investments	461,021	427,928		42,085	39,549		212	234	109,011	89,675	2,652	2,482	614,981	559,868
Retirement Benefit Obligations - Plan Assets	25,526	23,068		81,855	72,451		-	-	-	-	-	-	107,381	95,539
Deferred Tax Assets	92,307	55,749		44,741	25,935		17,913	17	(119)	(24)	33,443	33,059	188,285	114,736
	5,876,778	5,817,924		2,622,882	2,574,415		3,742,702	3,773,754	9,335,579	8,680,450	1,640,419	1,568,446	23,218,359	22,414,989
Goodwill	-	-		-	-		-	-	-	-	-	-	826,520	826,520
Income Tax Recoverable	-	-		-	-		-	-	-	-	-	-	142,771	110,230
Non-Current Liabilities	471,784	485,538		1,938,462	753,322		648,161	675,861	3,070,701	3,349,421	174,494	110,101	6,303,602	5,374,243
Interest-Bearing Borrowings	17,453	19,940		214	-		-	-	560,328	565,483	-	-	577,995	585,423
Capital Grants	228,888	233,491		37,708	41,576		59,277	45,182	119,223	156,672	68,836	72,858	513,932	549,779
Deferred Tax Liabilities	570,809	516,001		212,678	227,872		29,079	26,891	1,610,226	1,750,286	21,190	19,618	2,443,982	2,540,668
Retirement Benefit Obligations	18,276	4,480		-	-		-	-	-	-	11,886	3,173	30,162	7,653
Rent Received in Advance	1,307,210	1,259,450		2,189,062	1,022,770		736,517	747,934	5,360,478	5,821,862	279,579	205,750	9,869,673	9,057,766
Current Liabilities	-	-		-	-		-	-	-	-	-	-	328,794	295,806
Income Tax Payables	-	-		-	-		-	-	-	-	-	-	-	-

Group Financial Summary

As at 31st March,	SLFRS							2010 Rs.'000	2009 Rs.'000	2008 Rs.'000
	2017 Rs.'000	2016 Rs.'000 Restated	2015 Rs.'000 Restated	2014 Rs.'000 Restated	2013 Rs.'000	2012 Rs.'000	2011 Rs.'000			
TRADING RESULTS										
Group Revenue	41,016,474	36,860,104	35,384,600	35,029,794	29,918,015	31,771,237	27,758,034	14,633,342	12,813,383	12,610,909
Profit/(Loss) before Tax	(916,447)	(518,466)	85,726	53,749	1,596,841	2,757,954	2,564,025	981,738	283,934	989,791
Income Tax Expense	(161,816)	(161,751)	(334,213)	(329,384)	(396,877)	(649,892)	(424,969)	(311,598)	(234,434)	(272,402)
Profit/(Loss) for the Period	(1,078,263)	(680,217)	(248,487)	(275,635)	1,199,964	2,108,062	2,139,056	670,139	49,500	717,389
Other Comprehensive Income	339,965	224,102	58,039	(142,790)	(229,597)	(1,762,361)	-	-	-	-
Attributable to :										
Equity Holders of the Parent	(740,430)	(236,610)	208,795	(94,546)	647,598	(129,352)	1,146,897	412,803	65,436	360,048
Non - Controlling Interest	2,132	(219,505)	(399,243)	(323,879)	322,769	475,052	992,159	257,337	(15,936)	357,341
	(738,298)	(456,115)	(190,448)	(418,425)	970,367	345,701	2,139,056	670,140	49,500	717,389
CAPITAL EMPLOYED										
Stated Capital	327,000	327,000	327,000	327,000	327,000	327,000	327,000	327,000	327,000	327,000
Capital Reserves	20,058	20,058	20,058	20,058	20,058	20,058	20,058	1,789,242	492,016	492,016
Revenue Reserves	6,539,747	7,358,967	7,717,790	7,477,502	7,477,502	7,196,989	7,348,455	999,807	561,541	484,169
	6,886,805	7,706,025	8,064,848	7,824,560	7,824,560	7,544,047	7,695,513	3,116,049	1,380,557	1,303,186
Non - Controlling Interest	4,003,925	4,246,250	4,443,556	4,993,804	4,993,804	5,411,705	5,563,904	3,175,588	1,866,273	1,925,767
Total Equity	10,890,730	11,952,276	12,508,404	12,818,364	12,818,364	12,955,753	13,259,417	6,291,637	3,246,830	3,228,952
Total Debt	19,675,316	18,135,808	15,064,936	12,477,962	12,477,962	8,932,057	6,794,671	5,115,969	3,893,082	3,413,622
	30,566,046	30,088,084	27,573,340	25,296,326	25,296,326	21,887,810	20,054,088	11,407,606	7,139,912	6,642,574
ASSETS EMPLOYED										
Property, Plant & Equipment	19,440,906	18,989,573	18,522,474	16,039,000	16,039,000	12,816,158	11,368,935	9,620,957	6,571,111	5,914,019
Other Non-Current Assets	4,761,462	4,485,260	4,384,477	3,569,478	3,569,478	3,929,215	5,464,619	1,730,604	1,051,711	1,034,926
Current Assets	17,493,433	17,012,222	16,728,532	15,832,651	15,832,651	12,560,110	10,257,705	6,481,451	4,348,928	4,707,769
Assets Held for Sale	207,956	-	-	-	-	-	-	-	-	-
Liabilities Net of Debt	(21,143,353)	(19,478,040)	(17,480,580)	(15,287,631)	(15,287,631)	(10,319,085)	(8,064,766)	(6,425,406)	(4,831,838)	(5,014,140)
	20,760,404	21,009,015	22,154,903	20,153,498	20,153,498	18,986,398	19,026,493	11,407,606	7,139,912	6,642,574
CASH FLOW										
Net Cash Generated from/(used in) :										
Operating Activities	726,188	(1,904,014)	(1,386,736)	1,643,947	(542,829)	2,522,199	239,990	982,070	488,123	1,122,405
Investing Activities	(1,887,804)	(1,400,615)	(3,421,836)	(1,345,360)	(3,089,110)	(2,911,007)	(1,216,237)	(1,430,970)	(968,769)	(480,023)
Financing Activities	1,264,414	2,303,916	2,278,260	217,398	1,810,567	553,817	1,744,333	741,415	378,733	338,623
INVESTOR'S INDICATORS										
Earnings/(Loss) per Share (Rs.)	(4.89)	(1.73)	0.32	(0.83)	4.12	7.03	31.86	11.47	1.82	10.00
Net Asset/(Liability) per Share (Rs.)	38.26	42.81	44.80	43.47	43.47	41.91	123.68	86.56	38.35	36.20
Price Earnings Ratio (Times)	(3.70)	(11.28)	79.83	(30.73)	7.04	5.97	13.00	5.62	8.93	2.30
KEY INDICATORS										
Market Value per Share (Rs.)	18.10	19.50	25.20	25.50	29.00	33.90	400.40	64.50	16.25	23.00
Market Capitalisation (Rs.'000)	3,258,000	3,510,000	4,536,000	4,590,000	5,220,000	6,102,000	14,414,400	2,322,000	585,000	828,000
Current Ratio (Times)	0.51	0.53	0.62	1.04	1.04	1.20	1.25	0.97	0.81	0.86
Interest Cover	0.57	0.67	1.06	1.03	2.40	4.56	4.99	2.81	1.46	3.07

Share Information

DISTRIBUTION OF SHAREHOLDING

No. of Shares Held	As At 31st March 2017			As At 31st March 2016		
	No of Shareholders	Total Holding	Holding %	No of Shareholders	Total Holding	Holding %
1 - 1,000	1,247	470,771	0.26	1,325	527,177	0.29
1,001 - 10,000	810	3,203,507	1.79	908	3,621,891	2.01
10,001 - 100,000	237	7,347,092	4.08	260	7,835,699	4.35
100,001 - 1,000,000	47	16,152,359	8.97	57	17,912,056	9.95
Over 1,000,000	20	152,826,271	84.90	19	150,103,177	83.40
Total	2,361	180,000,000	100.00	2,569	180,000,000	100.00

ANALYSIS OF ORDINARY SHAREHOLDERS

	31st March 2017			31st March 2016		
	No of Shareholders	Total Holdings	%	No of Shareholders	Total Holdings	%
Individuals	2,185	26,895,661	14.94	2,375	31,090,733	17.28
Institutions	176	153,104,339	85.06	194	148,909,267	82.72
	2,361	180,000,000	100.00	2,569	180,000,000	100.00

PUBLIC HOLDING

The percentage of shares held by the public as at 31st March 2017 was 32.01% (2016 - 32.59%)

PUBLIC SHAREHOLDERS

The number of Public Shareholders as at 31st March 2017 were 2,341

MARKET VALUE OF SHARES

	2016/2017 Rs.	2015/2016 Rs.
Highest	25.30	29.00
Lowest	17.50	15.50
Year end	18.10	19.50

NET ASSETS PER SHARE

	Rs.
31.03.2017	8.41
31.03.2016	8.02

TWENTY MAJOR SHAREHOLDERS

Posititon	Name	31st March 2017		31st March 2016	
		No. of Ordinary Shares	%	No. of Ordinary Shares	%
1	Colombo Investment Trust PLC	25,103,109	13.95	25,103,109	13.95
2	Property and Investment Holdings (Private) Limited	24,799,690	13.78	26,399,690	14.67
3	Colombo Fort Investments PLC	21,701,905	12.06	21,701,905	12.06
4	Capital Investments Limited	19,484,375	10.82	21,084,375	11.71
5	Corporate Holdings (Private) Limited A/C No.02	9,099,080	5.06	8,204,800	4.56
6	Financial Trust Limited	7,047,100	3.92	5,742,643	3.19
7	Sampath Bank PLC/Mr.A. Sithampalam	6,831,189	3.80	6,773,865	3.76
8	Seylan Bank PLC/Dr. T. Senthilverl	6,144,320	3.41	3,406,525	1.89
9	Seylan Bank PLC/Mr. A. Sithampalam	5,000,000	2.78	5,000,000	2.78
10	Sampath Bank PLC/ Dr. T. Senthilverl	4,945,158	2.75	150,000	0.08
11	Union Investments (Private) Limited	4,089,680	2.27	4,089,680	2.27
12	Commercial Bank of Ceylon PLC/Capital Investments Limited	3,600,000	2.00	2,000,000	1.11
13	Commercial Bank of Ceylon PLC/Property & Investment Holdings (Private) Limited	3,600,000	2.00	2,000,000	1.11
14	Corporate Holdings (Private)Limited A/C NO.01	1,953,265	1.09	1,853,665	1.03
15	Mr. R. Senathirajah (Deceased)	1,858,500	1.03	2,752,780	1.53
16	Mr. R. Maheswaran	1,800,000	1.00	-	-
17	Ms. A. Radhakrishnan	1,800,000	1.00	-	-
18	Ms. M. P. Radhakrishnan	1,800,000	1.00	-	-
19	Associated Electrical Corporation Limited	1,157,900	0.64	1,157,900	0.64
20	Mr. A. Sithampalam	1,011,000	0.56	1,011,000	0.56
	Total	152,826,271	84.90	138,431,937	76.90

Notice of Meeting

Notice is hereby given that the One Hundred and Eighteenth Annual General Meeting of The Colombo Fort Land & Building PLC will be held at the Grand Oriental Hotel, No. 2, York Street, Colombo 1, on 27th September, 2017 at 3.30 p.m. and the business to be brought before the meeting will be:

- To receive and consider the Annual Report of the Board of Directors and the Statement of Accounts for the year ended 31st March, 2017 with the Report of the Auditors thereon.
- To declare a First and Final Dividend of Rs.0.15 per share for the year ended 31st March, 2017, as recommended by the Directors.
- To re-elect Mr. S.D.R. Arudpragasam, who retires by rotation in accordance with Articles 85 and 86 of the Articles of Association, as a Director.
- To re-elect Ms. A.K. Gunawardhana, who retires by rotation in accordance with Articles 85 and 86 of the Articles of Association, as a Director.
- To re-elect Mr. P.M.A. Sirimane, who retires in accordance with Article 92 of the Articles of Association, as a Director.
- To re-elect Mr. Sanjeev Rajaratnam, who retires in accordance with Article 92 of the Articles of Association, as a Director.
- To reappoint Mr. A.M. de S. Jayaratne, as a Director. As Mr. A.M. de S. Jayaratne is over 70 years of age, Special Notice has been received from a shareholder of the intention to pass a Resolution, which is set out below in relation to his reappointment. (See Note No. 02).
- To reappoint Mr. A. Rajaratnam, as a Director. As Mr. A. Rajaratnam is over 70 years of age, Special Notice has been received from a shareholder of the intention to pass a Resolution, which is set out below in relation to his reappointment. (See Note No. 03).
- To reappoint Mr. R. Seevaratnam, as a Director. As Mr. R. Seevaratnam is over 70 years of age, Special Notice has been received from a shareholder of the intention to pass a Resolution, which is set out below in relation to his reappointment. (See Note No. 04).
- To reappoint Mr. C.P.R. Perera, as a Director. As Mr. C.P.R. Perera is over 70 years of age, Special Notice has been received from a shareholder of the intention to pass a Resolution, which is set out below in relation to his reappointment. (See Note No. 05).
- To authorise the Directors to determine contributions to Charities.
- To reappoint Messrs. KPMG, Chartered Accountants as Auditors and to authorise the Directors to determine their remuneration.

By Order of the Board,
Corporate Managers & Secretaries (Private) Limited
Managers & Secretaries

Colombo
25th August, 2017

Note:

1. A member is entitled to appoint a Proxy to attend and vote in his/her stead and a Proxy need not be a member of the Company. A Form of Proxy is enclosed with this Report. The instrument appointing a Proxy must be completed and deposited at the Registered Office of the Company, not less than forty-eight hours before the time fixed for the meeting.
2. The Company has received Special Notice from a shareholder of the Company giving notice of the intention to move the following Resolution regarding the reappointment of Mr. A.M. de S. Jayaratne, as an Ordinary Resolution:

“Resolved –

That Mr. A.M. de S. Jayaratne who is seventy seven years of age be and is hereby reappointed a Director of the Company and it is further specially declared that the age limit of 70 years referred to in Section 210 of the Companies Act No.07 of 2007 shall not apply to the said Director, Mr. A.M. de S. Jayaratne.”

3. The Company has received Special Notice from a shareholder of the Company giving notice of the intention to move the following Resolution regarding the reappointment of Mr. A. Rajaratnam, as an Ordinary Resolution:

“Resolved –

That Mr. A. Rajaratnam who is seventy six years of age be and is hereby reappointed a Director of the Company and it is further specially declared that the age limit of 70 years referred to in Section 210 of the Companies Act No.07 of 2007 shall not apply to the said Director, Mr. A. Rajaratnam.”

4. The Company has received Special Notice from a shareholder of the Company giving notice of the intention to move the following Resolution regarding the reappointment of Mr. R. Seevaratnam, as an Ordinary Resolution:

“Resolved –

That Mr. R. Seevaratnam who is seventy four years of age be and is hereby reappointed a Director of the Company and it is further specially declared that the age limit of 70 years referred to in Section 210 of the Companies Act No.07 of 2007 shall not apply to the said Director, Mr. R. Seevaratnam.”

5. The Company has received Special Notice from a shareholder of the Company giving notice of the intention to move the following Resolution regarding the reappointment of Mr. C.P.R. Perera, as an Ordinary Resolution:

“Resolved –

That Mr. C.P.R. Perera who is seventy three years of age be and is hereby reappointed a Director of the Company and it is further specially declared that the age limit of 70 years referred to in Section 210 of the Companies Act No.07 of 2007 shall not apply to the said Director, Mr. C.P.R. Perera.”

Notes

Notes

Form of Proxy

I/We of

 being a member/members of THE COLOMBO FORT LAND & BUILDING PLC hereby appoint
 of
 whom failing

- | | |
|--|---------------------------|
| 1. Alagarajah Rajaratnam | of Colombo or failing him |
| 2. Sri Dhaman Rajendram Arudpragasam | of Colombo or failing him |
| 3. Ajit Mahendra de Silva Jayaratne | of Colombo or failing him |
| 4. Ranjeevan Seevaratnam | of Colombo or failing him |
| 5. Anushman Rajaratnam | of Colombo or failing him |
| 6. Ms. Anandhiy Krishnajina Gunawardhana | of Colombo or failing her |
| 7. Chrisantha Priyange Richard Perera | of Colombo or failing him |
| 8. Parakrama Maithri Ashoka Sirimane | of Colombo or failing him |
| 9. Sanjeev Rajaratnam | of Colombo |

as my/our Proxy to represent me/us to speak and to vote on my/our behalf at the One Hundred and Eighteenth Annual General Meeting of the Company to be held on 27th September, 2017 and at any adjournment thereof and at every poll which may be taken in consequence of the aforesaid meeting.

	For	Against
• To receive and consider the Annual Report of the Board of Directors and the Statement of Accounts for the year ended 31st March, 2017 with the Report of the Auditors thereon.	☐	☐
• To declare a First and Final Dividend of Rs.0.15 per share for the year ended 31st March, 2017, as recommended by the Directors.	☐	☐
• To re-elect Mr. S.D.R. Arudpragasam, who retires by rotation in accordance with Articles 85 and 86 of the Articles of Association, as a Director.	☐	☐
• To re-elect Ms. A.K. Gunawardhana, who retires by rotation in accordance with Articles 85 and 86 of the Articles of Association, as a Director.	☐	☐
• To re-elect Mr. P.M.A. Sirimane, who retires in accordance with Article 92 of the Articles of Association, as a Director.	☐	☐
• To re-elect Mr. Sanjeev Rajaratnam, who retires in accordance with Article 92 of the Articles of Association, as a Director.	☐	☐
• To reappoint Mr. A.M. de S. Jayaratne, as a Director. As Mr. A.M. de S. Jayaratne is over 70 years, Special Notice has been received from a shareholder of the intention to pass a Resolution which is set out in the Notice of Meeting.	☐	☐
• To reappoint Mr. A. Rajaratnam, as a Director. As Mr. A. Rajaratnam is over 70 years, Special Notice has been received from a shareholder of the intention to pass a Resolution, which is set out in the Notice of Meeting.	☐	☐
• To reappoint Mr. R. Seevaratnam, as a Director. As Mr. R. Seevaratnam is over 70 years, Special Notice has been received from a shareholder of the intention to pass a Resolution, which is set out in the Notice of Meeting.	☐	☐
• To reappoint Mr. C.P.R. Perera, as a Director. As Mr. C.P.R. Perera is over 70 years, Special Notice has been received from a shareholder of the intention to pass a Resolution, which is set out in the Notice of Meeting.	☐	☐
• To authorise the Directors to determine contributions to Charities.	☐	☐
• To reappoint Messrs. KPMG, Chartered Accountants as Auditors and to authorise the Directors to determine their remuneration.	☐	☐

As witness my/our hand(s) this day of, 2017.

.....
 Signature of Shareholder

Note:

1. A Proxy need not be a member of the Company.
2. Instructions as to completion appear on the reverse hereof.

INSTRUCTIONS AS TO COMPLETION OF FORM OF PROXY

1. To be valid, this Form of Proxy must be deposited at the Registered Office of the Company No. 8-5/2, Leyden Bastian Road, York Arcade Building, Colombo 1, not less than 48 hours before the time appointed for the holding of the meeting.
2. In perfecting the Form of Proxy, please ensure that all details are legible.
3. Please indicate clearly how your Proxy is to vote on the resolution. If no indication is given the Proxy at his discretion may vote as he thinks fit.
4. In the case of Corporate Members, the Form of Proxy must be under seal or under the hand of an Authorised Officer or Attorney.
5. Where the Form of Proxy is signed under a Power of Attorney (POA) which has not been registered with the Company, the original POA together with a photocopy of the same, or a copy certified by a Notary Public must be lodged with the Company along with the Form of Proxy.

Corporate Information

Board of Directors

A. Rajaratnam - Chairman

FCA

(Alternate - Anushman Rajaratnam)

S.D.R. Arudpragasam - Deputy Chairman

FCMA (U.K.)

Anushman Rajaratnam - Group Managing Director

B.Sc.(Hons.), CPA, MBA

A.M. de S. Jayaratne

B.Sc. (Econ.), FCA (Eng. & Wales), FCA (ICASL)

R. Seevaratnam

B.Sc. (Lond.), FCA (Eng. & Wales), FCA (ICASL)

Ms. A.K. Gunawardhana

LL.B (Hons.) (Colombo)

LL.M (Distinction) (Georgetown)

Attorney-at-Law

C.P.R. Perera

P.M.A. Sirimane

FCA, MBA

S. Rajaratnam

B.Sc., CA

Name of the Company

The Colombo Fort Land & Building PLC

Legal Form

A Quoted Company with limited liability, incorporated under the provisions of the Joint Stock Companies Ordinance 1861 & 1888 on 30th April, 1895 and re-registered under the Companies Act No. 07 of 2007 on 3rd July, 2008.

Company No.

PQ172

Registered Office

No. 8-5/2, Leyden Bastian Road,
York Arcade Building, Colombo 01.

Stock Exchange Listing

The ordinary shares of the Company are listed on the Colombo Stock Exchange of Sri Lanka.

Bankers

Commercial Bank of Ceylon PLC
Standard Chartered Bank
Hatton National Bank PLC
Indian Bank
Sampath Bank PLC

Auditors

Messrs. KPMG, Chartered Accountants

Legal Advisers

Julius & Creasy
Attorneys-at-Law

Tax Advisors

Messrs. KPMG, Chartered Accountants

Managers & Secretaries

Corporate Managers & Secretaries (Private) Limited
No. 8-5/2, Leyden Bastian Road,
York Arcade Building, Colombo 1.
Tel: 011 2344485 - 9

